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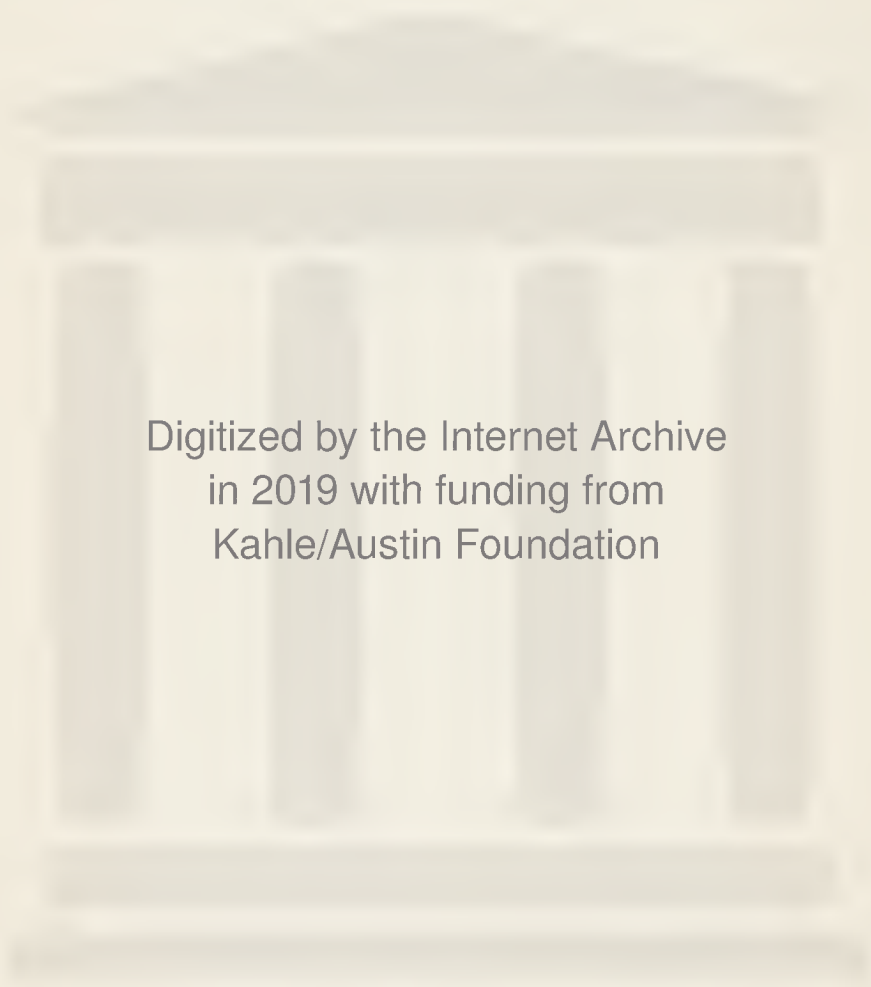
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OUVRARD



Gabriel Julien Ouvrard. Lithograph by Villain. From Ouvrard's *Memoirs*, vol. III, 1827. (*Otto Wolff Collection*)

OUVRARD

Speculator of Genius

1770-1846

by

OTTO WOLFF

Translated by

STEWART THOMSON

With an Introduction and Notes by

T. A. B. CORLEY

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IN A REVIEW

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Introduction

by T. A. B. CORLEY

Otto Wolff (1881-1940) was a rarity among biographers, a businessman who found the time, while presiding over the fortunes of a vast industrial and commercial empire which he had built up, to write the life of an earlier man of affairs. The fact that the author's life-work—unlike that of his subject—endured after his death, in spite of war, defeat, inflation and reconstruction, shows that he was well qualified to assess Ouvrard's gifts and limitations. He was familiar with the world of financial deals and with the lore of the commodity and stock markets; similarly he fully understood the subtle and often intricate relationship between commerce, politics and diplomacy and the problems of survival and success in an epoch of violent changes in the social and political scene both at home and abroad.

As he tells us in his Preface, Wolff was primarily interested in probing the real relationship between economics and politics, a subject that today still presents a challenge to historians and economists alike. In particular, we still do not know nearly enough about the economics of the period 1793-1815, that lies at the centre of Ouvrard's life; indeed, except for the nature and immediate effects of the Continental System, the economic aspects of this turbulent period of European history have not yet been described in a coherent form to the English reader. This biography of a Frenchman, who was the leading army contractor and financier of many of the campaigns that took place at that time, therefore helps to fill a gap and to illuminate some hitherto

unsuspected connections between economic trends, problems of logistics, and political, diplomatic and strategic events.

Ouvrard's enterprises and operations were on such a grand scale, so abundantly was he endowed with imagination, resourcefulness and sheer animal spirits, so impressively did he combine the lack of scruples of a financial soldier of fortune with outstanding powers of improvisation and innovation, that the contemporary comparisons between him and Napoleon no longer appear as entirely without substance. "I was born with a passion for big business, which I find essential to the full activity of my mind", wrote Ouvrard in his *Memoirs*. "It gives me a kind of gambler's excitement which neither experience nor reason can overcome." Together with his genuine passion for gambling he had the looks, bearing, spontaneous generosity and charm of manner of the man of the world. These qualities and his unfailing resilience made him capable time and again of rapid moral and intellectual adjustment to the sudden transition from palace to prison. And, as Wolff shows, he had his moments of greatness, of constructive foresight and economic vision, which carried him at times to the forefront of the stage of European history.

The star of this great drama was of course Napoleon, who at once hated Ouvrard and found him indispensable in times of necessity. Not unexpectedly, there were close similarities in the circumstances of the two men's rise to fame. They were contemporaries: Napoleon was born in 1769 and Ouvrard in 1770. Both men courted official suspicion by their activities after 1789 and, having come to Paris at the age of twenty-two in order to plead their respective cases with the authorities, they became rapidly drawn into the centre of affairs, partly through their remarkable gifts and partly through getting to know the right people: the Director Barras, Josephine de Beauharnais and Madame Tallien.

While Ouvrard did not endear himself to the Directory or to Napoleon by the sixty million francs he amassed between 1795 and 1799 as army contractor and naval victualler-in-chief, he did nevertheless tender very sound advice to the Directors about the folly of feeding inflation by continuing to print unbacked paper money—the notorious assignats—and about the need to fund the

national debt in an attempt to mobilize the country's resources. After the *coup d'état* of the 18th Brumaire, Napoleon had to call on him to supply the Marengo campaign of 1800 and to relieve the severe famine of 1802. Yet Ouvrard could not expect any favour of the First Consul, whom he later criticized in his memoirs as "knowing no other sources of revenue but taxation and conquest". Napoleon, indeed, was constantly trying to squeeze Ouvrard's war profits out of him. Ouvrard chose not to resist openly, but to bide his time and meanwhile to apply himself to building up financial empires behind "men of straw" and to salting away his wealth beyond the reach of the authorities.

Wolff has rightly described his agreement of December 1804 with the King of Spain as "unparalleled in economic or political history". Its main object was to bring Spanish treasure worth more than 260 million francs—nearly twice the combined reserves of the Bank of France and the Bank of England at that time—through the British blockade. It is amazing how nearly he succeeded. The bold conception and the incisive analysis of a given situation was, once more, sustained by his personal powers of persuasion and charm of manner, which later captivated even the crusty Duke of Wellington. Thus he managed to win over all the men whose services were essential to his scheme, from Napoleon and his ministers to the two foremost bankers in Europe, Hope of Amsterdam and Baring of London. What almost surpasses belief is that Baring, at Ouvrard's behest, should have persuaded Pitt to despatch four frigates of the Royal Navy in order to bring back the first sixty millions. The Bank of England, however, badly needed the bullion in order to fortify its reserves, as British subsidies to Allied governments and other war expenditure overseas totalled for 1805 and 1806 alone the equivalent of seventy-five million francs. Once more Ouvrard's grasp of circumstances and opportunities shows the touch of a master.

Pitt's less sagacious successors refused to allow the other 200 millions to pass through the blockade as specie. In accordance with Ouvrard's alternative plan, therefore, this vast wealth streamed across the Atlantic in the form of colonial goods, bought in the United States with the Mexican piastres and carried to

Continental ports in neutral ships. Nelson's old captains, still maintaining their endless vigil offshore, shook their heads over this apparent wide-open breach in the blockade. Yet although the French benefited directly or indirectly from the use of these goods, the British, living up to Napoleon's contemptuous characterization as a "nation of shopkeepers", were rapidly expanding their exports of manufactured goods to the New World in order both to acquire the piastres and to replace the markets now closed to them on the Continent through Napoleon's decrees.

Wolff suggests that the whole gigantic operation collapsed as a result of the Emperor's high-handed interference. However, later research has revealed that it continued until its completion in the summer of 1808, interrupted only temporarily by Jefferson's Embargo Act of 1807 which forbade American ships to sail to foreign ports. Yet it was regarded as important enough for the United States Secretary of the Treasury specifically to exempt it. The total proceeds did not come up to Ouvrard's original expectations, but world trade benefited by the millions of francs' worth of bullion that had been drawn into international circulation, and a number of the main parties did well enough out of the transaction. Barings, Hopes and their American agents pocketed twenty-two million francs, while Ouvrard's own share was allegedly a further twenty-four millions.

Throughout the years of Napoleon's ascendancy, Ouvrard's foremost allies were characteristically Talleyrand and Fouché. These three great pragmatists and opportunists knew better than anyone how to anticipate subtle shifts in social and political power. Thus they formed a harmonious trio, as each member could only profit from co-operation with the others—the wily diplomatist, the astute and ever-alert police chief and the indispensable financier. That the two former were in the latter's pay most of the time was of equal benefit to all three: but that was not the whole story, for irrespective of such simple monetary considerations, their affinity of outlook, method of operation and interest would surely have brought them together. In consequence the three of them, by deliberate choice, or impelled by circumstances beyond their control, were bound to part company with

the Emperor, once he appeared to have embarked irrevocably on his collision course against the rest of Europe and specifically against Britain and Russia. As soon as it became clear that no manoeuvre and no persuasion could have stopped Napoleon and healed the fundamental rift in European power, all three—though each in his different way—were waiting for the day of reckoning, biding their time in readiness for a new régime to take over after the collapse of the Empire, which now seemed to them unavoidable.

Although Napoleon was enlightened enough to establish the Bank of France and lay the foundations of an equitable taxation system, to the end he adhered to his outdated weapons of economic warfare, namely indemnities and blockades. As Ouvrard said in his *Memoirs*, "Napoleon, when he came to power, knew no other means of replenishing his Treasury than those he had employed as general to fill his military chest: war indemnities, the spoliation of sovereigns and peoples, subsidies imposed on his allies—who were often as ill-treated as his enemies—blockades, ports closed to free commerce and opened by licences. . . . Credit was to him an abstract idea, in which he saw merely the dreams of ideologists and the empty notions of economists." The Emperor even smugly pointed to the Rothschilds' shipments of bullion across the Channel from 1811 onwards as evidence that his blockade was driving Britain to her knees. He never grasped that the network of international finance was, by means of bills and smuggled letters of credit, simply transferring the money to Wellington's Peninsular Army, which would otherwise have starved for lack of supplies. Ouvrard could have explained all this, and on the eve of the Russian campaign of 1812 he did try to impress on the Emperor, by letter, that in the end it is cheaper to pay for supplies than to requisition them. As it was, he was kept in more or less close confinement until 1814 when, as Talleyrand's protégé, he accompanied the Bourbons on their triumphal re-entry into Paris.

This change of loyalties did not deter Napoleon from summoning him urgently to the Tuileries at the outset of the Hundred Days, appointing him army contractor-in-chief and extracting

from him a loan of fifty million francs, cash down. Ouvrard was present on the field of Waterloo, but the Bourbons were not too proud thereafter to make use of his talents or to follow the Napoleonic practice of squeezing large sums out of him. Even if the grand project of paying off the Allied reparations by borrowing the funds from the Allies themselves was not solely Ouvrard's intellectual property, he certainly played an important and characteristically audacious part in its conception and execution. This operation successfully mitigated the financial plight of the Bourbons and in 1818 prematurely terminated the occupation of France. Thus Ouvrard and his friends anticipated by a century the similar solution to the German reparations problem after the First World War. Incidentally, how well does the ingenuity—and one may almost say, painless elegance—with which the great bankers and statesmen of old Europe arranged matters compare with the tortuous and dilatory methods of their successors in the twenties of this century!

The memory of this momentous operation had hardly begun to fade before Ouvrard figured prominently and with undiminished powers in the highly bizarre episode of the French invasion of Spain in 1823. France had a quarrel with her neighbour; the army was massed on the Pyrenees. The Duke of Angoulême arrived at Bayonne to take command, and found an army virtually without provisions for man or beast. He therefore did what all sensible men in those straits had done for the past thirty years: he sent for Ouvrard. Ouvrard, having foreseen this situation, had already cornered the market in those commodities that the army most needed. He then put into practice his maxim of paying handsomely for the necessary supplies in Spain, and thus did precisely what Napoleon had so disastrously failed to do during the Peninsular War a decade earlier. Now, fortified by ample provisions, the royal Commander-in-Chief emulated the grand old Duke of York by marching all the way to Cadiz via Madrid—with Ouvrard energetically buying ahead even as far afield as Morocco—and then marching back again in triumph to Paris. French honour was amply satisfied; that is, until Ouvrard presented the bill. The subsequent *affaire Ouvrard* raged for

years in and out of the Chambers, the courts, commissions of enquiry and the Press. The cause of it all, once more behind bars, added to the sensation by writing his memoirs.

After that episode, a slow decline in his fortunes set in. Ouvrard was eventually released from prison and no doubt he was still able to back his assessment of trends, which rarely failed him. He was still able to play the market with a nimble but firm grip on operations. That neither zest nor cunning had deserted him was amply borne out by his large-scale bear operations against the French *rentes*. He had convinced himself that the Bourbons were on the way out and that the Rothschilds, by then the established government bankers, were still backing the régime and thus the wrong horse. But these were considerable though temporary successes, brilliant coups which had no lasting impact on affairs, on an historical scale. The Rothschilds and their competitors, imitators and successors were by then “in” for keeps, and Ouvrard was “out”. At the end Ouvrard, the one-time *grand seigneur* of Raincy, died in 1846 in a small apartment in London, off Oxford Street, of no account now, and entirely oblivious of the fever of railway speculation that then raged in the country.

In a sense Ouvrard was born before his time, as have been most bold and imaginative innovators, not only in the field of finance and commercial enterprise. Unlike the Comte de Saint-Simon—who had also grown rich and had lived in splendour under the Directory—he gave little conscious thought to the future of man and of society. Nevertheless, the promoters who impelled France into her most rapid rate of growth in the nineteenth century owed their economic ideas partly to Saint-Simon and partly to Ouvrard. The watchword of the Pereire brothers, founders of the *Crédit Mobilier*, was almost identical with his own phrase that “the present can be safeguarded only by mortgaging the future”; like him, they eventually overreached themselves and vanished into obscurity.

Nor did his vision of exploiting the New World’s untold wealth die with him. Whilst in prison, in 1826, he sketched out a project for linking the Atlantic and Pacific oceans by means of a canal through Nicaragua; exactly twenty years later a political

prisoner, who happened also to be Bonaparte's nephew and heir, wrote a pamphlet on the same topic. Louis Napoleon grasped the boundless economic possibilities of Mexico and, when he had become Emperor, launched his disastrous expedition against that country.

Ouvrard had another link with the Second Empire. As Wolff tells us, he had hoped to found a financial dynasty similar to that of the Barings, but his legitimate son rose no higher than county councillor and deputy, serving without distinction on the Chamber's finance committee. It was left to the offspring of his union with Madame Tallien to re-create in the society of the Second Empire some of the elegance and dash that Ouvrard had displayed in the First. Dr. Cabarrus was a good-looking man of the world, whose wit, bedside manner and skill in treating ailments of the larynx made him highly sought after, both professionally and socially, by the theatrical *monde* and their friends. Oddly enough, Dr. Cabarrus married the sister of Ferdinand de Lesseps, the man who realized the Saint-Simonian dream of linking East and West by means of the Suez Canal. Mademoiselle de Lesseps was also a cousin of Empress Eugénie. How the subject of this fascinating biography would have relished the irony of such a bond, however remote, between his family and that of Napoleon.

NOTE

During most of Ouvrard's lifetime the rate of exchange was 25 francs to £1. In order to convert sums mentioned in this book to present-day values, the New Franc being worth about 1s. 6d., it is necessary to multiply those sums by four or five.

In 1801, for instance, a franc (or 9½d.) would buy about 5 lb. of white bread in the provinces, but prices were of course higher in Paris and other big towns. The daily wage of an unskilled worker was about 1½ to 2 francs (say, 1s. to 1s. 6d.), but a highly skilled man, particularly in the building industry in Paris, might earn up to 4 francs, or 3s., a day. In England at this time the 4lb. loaf cost about 7½d., and the wages of a skilled worker in the building trade were about 3s. a day.

Author's Preface

In the year 1818 the banker and military contractor, Ouvrard, devised and executed an ingenious financial operation, which resulted in the premature withdrawal of the Allied forces from his native soil. In my search for historical parallels, which might give me a better understanding of the problems of my own time, I came upon Ouvrard and felt an urge to enquire more closely into the fortunes of this extraordinary man. His contemporaries were so passionately divergent in their judgements of him that it is extremely difficult to paint an objective picture of his life and his business career. So strong was the imprint of his personality upon his own period that even today, a hundred years later, writers continue to attack him as if he were still alive.

Ouvrard lived at the turn of a century and of an epoch. He was a child of the French Revolution. He developed as the age in which he lived developed, with all its ups and downs. Although at the outset he was concerned only with his own advancement, the great economic problems of his day became an overriding interest. The real relationship between economics and politics is something we know little of, either from history or from tradition; this book is an attempt to ascertain it.

My thanks are due to Dr. Alfred Ludwig Schmitz, Berlin, for his collaboration in this book.

OTTO WOLFF

A Controversial Figure

THE chief source for Ouvrard's life is his own autobiography. However, as a source autobiographies suffer from obvious faults, since they often lack objectivity and do not always tell the reader what he would like to know. Other sources are the comments of contemporaries, but here the biographer of Ouvrard is overwhelmed by the diversity of their opinions.

For example, Fouché wrote, "It is impossible to find a man who is more skilful and, in his character, more obliging and more captivating." Marshal Marmont, Duc de Ragusa, described Ouvrard as "a clever man who is equal to any critical situation and whose foresight and shrewdness never fail him". Savary, Duc de Rovigo, Napoleon's Minister of Police, said of him that he was "the man who, by his powerful and highly skilful intervention in the financial affairs of Spain, had at one time more weight and influence in Spain than her leading politician, Godoy". His agent Nolte said Ouvrard was "indisputably the man who first revealed to his own country the basic elements of the credit system and used it himself in his audacious ventures at a time when Napoleon barely understood, much less seriously grasped, the art of national economy". Villèle publicly acknowledged the importance of Ouvrard's work in providing supplies for the Spanish campaign. Lamartine, whose political experience lends weight to his views, wrote with enthusiastic admiration of Ouvrard: "Just as Archimedes discovered the lever, Newton the law of gravity, Mirabeau public opinion, Frederick II and Napoleon the science

of modern warfare, and Law credit, so Ouvrard discovered confidence and speculation, immeasurable and mysterious forces concealed in the depths of commercial life. They can, in one single moment, increase a hundredfold the prodigious power of private and public wealth for the wellbeing of the individual, of society and of the State."

On the other hand, Thiers condemned him as "one of the most successful and shrewdest speculators in any kind of business transaction". Sarran called him a sinister financier, unscrupulous in commerce, shamelessly and incurably fraudulent, a notorious purveyor with a dozen rogues at his beck and call. Beaurepaire said that from the beginning he was an intriguer. Tourton, a fellow financier, described him as a genius at duping those with whom he did business. Contemporary pamphleteers called him a trickster; a nobody, important only because of his money; almost illiterate.

Partisan strife has always been kindled by outstanding personalities. But this remarkable conflict of opinions may also be due to the nature of his career. For more than half a century, from his arrival in Paris in 1793 to his death in 1846, there was not a single government in France which did not benefit by his advice, his help or his loans. Yet he spent several years in prison for debt. At the age of twenty-one he had already made 300,000 francs and at twenty-nine he possessed twenty-nine million francs. Five years later, Napoleon's refusal to honour debts incurred in his service brought Ouvrard to the brink of ruin. Yet he immediately embarked upon the vast Mexican Silver project which Nolte described as "the most splendid edifice which commercial enterprise had ever undertaken for the benefit of both monarchies". In the second decade of the nineteenth century he seemed a kind of financial Vicar of Bray, for though he had served Napoleon, he was asked to help the restored monarchy. He then financed Napoleon during the Hundred Days and after Waterloo was asked by Richelieu for his assistance and gave it. His greatest achievement was the plan which became the basis of the Treaty of Aix-la-Chapelle and helped to end both French insolvency and the occupation.

But after his rapid initial rise to fame complete success nearly always eluded him. He founded no dynasty of financiers, and died—as far as is known—relatively poor. What characteristic or capacity was it that he lacked? It is to consider why he failed as well as to tell the story of his remarkable career that this biography has been undertaken.

Two

The First Deal

O UVRARD was seventeen when he left the high school at Clisson and went to the nearby town of Nantes. His character was already completely formed and remained basically unaltered until his death. In his memoirs, he says that he was born on 11th October 1770 at Clisson in the district of Poitou et Bretagne, that he was one of eight children, and that his father owned a paper-mill. That is all he has to say of his youth. He seems to have decided from quite an early age that he was interested in commerce, rather than in industry. His father's factory provided—and apparently provided amply—for a family of ten, but Ouvrard had made his own observations on industry. Although the paper-mills in the Department of Charente were important and there were other major industries, such as the flourishing lace-manufacture in the north, the silk-production of Lyons and the linen-mills of Brittany, industrial production seemed to him to be too risky. He may already have heard of industrial failures like that which some years later befell his friend Marmont. When the Marshal retired from the army to his château at Châtillon, he built a large iron-foundry on the English pattern complete with rolling-mill, puddling- and blast-furnaces, in which he could produce thirty tons of iron in twenty-four hours. Before long this expensive installation was at a complete standstill. Instead of using French workers, who could produce only bad iron, skilled labour had to be imported from England at great expense. Wood-firing, which should have been cheaper and on which the whole enter-

prise was costed, proved impracticable, because the smaller iron-foundries in the provinces forced up the timber prices to prevent competition. After fresh estimates had been drawn up, based on coal, the price of iron, which was high, came down. Finally, when a cartel of small ironmasters brought the price down still further, Marmont was forced out of business.

Incidents of this kind were certainly not unfamiliar to Ouvrard. But his decision to concentrate on commerce was also vindicated when, a few years later, the industries of Brittany were destroyed by the Revolutionary and Counter-Revolutionary armies and Ouvrard had to petition the Committee of Public Safety in Paris for compensation for the loss of his father's factory.

The city of Nantes played a crucial part in Ouvrard's youthful dreams and commercial ambitions. When he arrived there in 1788, towards the end of his eighteenth year, it had a population of 80,000 people. By the standards of that period it was a large city. His first impression was one of real wealth. He had never realized until then that so much money could be concentrated in so few hands. He met merchants who thought nothing of placing an order for fifty tons of tobacco. He learned that men like the Thoinet brothers were in a position to advance the city a round million francs to purchase grain supplies. In these circles, into which Ouvrard as the son of a Clisson manufacturer gained immediate entry, he soon acquired a self-confidence which remained one of his most striking characteristics and which stemmed from the conviction that his profession was of vital importance. The merchants and financiers of Nantes were democratic citizens long before it even occurred to anyone in France to abolish the King, the nobles and the clergy. The leading men of Nantes had felt closer than ever to America since the Peace Treaty of 1783. They were ship owners, merchants and bankers. Trade which satisfies the most elementary human needs seemed to them to be the cornerstone of the State. A new era was beginning, a new "Kingdom of Commerce" was being established. Those citizens who were engaged in commerce regarded themselves as better informed than any other section of society about public affairs; they alone could offer a guarantee of permanent prosperity. They

looked upon themselves as the true backbone of the nation. It was hardly to be wondered at that Ouvrard adopted this self-assured view of life with enthusiasm. It grew and blossomed in his lively imagination. The final result was an almost messianic awareness of the importance of his commercial mission.

If such an attitude was particularly appropriate in Nantes, this was because commerce there had quite a different character from that of other French ports. It was not internal trade within national boundaries; it was not even confined to the Continent; the citizens of Nantes were world traders and it was thanks to their commercial activities that France was able to buy the products of many a remote foreign country. They imported goods unobtainable in Europe: coffee-beans and tea, tobacco and cane-sugar, a great variety of spices and a particularly fine brand of wheat. They also, of course, had interests in "black ivory", the export of African negroes to America, and far from being troubled by any moral scruples, they simply regarded such interests as confirmation of their versatility. When their ships sailed up the Loire they were laden with the riches of Cayenne and San Domingo, of India and Africa.

For young Ouvrard all this was an unforgettable spectacle. At first he was filled with wonder, but he very soon realized what it meant, that there were undreamt-of possibilities for anyone not merely engaged in European trade but also conducting international operations from bases overseas. At this early stage Ouvrard acquired the limitless vision which was to shape his subsequent career. His early experiences in Nantes ultimately bore fruit in the most grandiose venture he ever embarked upon, the scheme he devised some fifteen years later to recover the silver treasure of Mexico.

In Nantes, however, one could learn not merely how to make money but also how to spend it. The orators of the French Revolution condemned the "Asiatic luxury" of life in Nantes, but this was an exaggeration. On the whole, the merchants lived well but not luxuriously. In the household of the Hummels, for instance, five thousand gold francs were spent on food in the year 1793 and the family dressed expensively but with restrained

elegance. Merchants took an interest in architecture. All the splendid houses along the Loire from the Bourse to Salorges were built during this period. The city acquired a new Chamber of Commerce and a large theatre. Ouvrard, who was, as it were, a country boy, acquired a completely new outlook on how the individual should spend money. Everything the citizens of Nantes undertook was the result of careful and sometimes even timid planning; in Ouvrard's bold imagination their schemes assumed gigantic proportions and soon the pupil was to leave his teachers far behind. Once he was installed in Paris his guests marvelled at such princely luxury.

Ouvrard came to know and understand the power of credit; he realized "how it increases one's financial resources and how, by adding to one's private fortune, one also increases the prosperity of the nation". A building contractor named Graslin became, quite unknowingly, his teacher. When the Peace Treaty was signed with America in 1783 a wave of prosperity broke over Nantes, bringing with it a taste for a better, more comfortable and more modern way of life. Graslin, the building contractor, was the man to satisfy this taste. He had the courage to plan on a large scale and to weigh up the public's needs. He was not content, as was customary at the time, to build single apartments or houses. He planned in the more ambitious style of our own time, erecting whole blocks of houses, whole streets, in fact a whole new quarter of the city. The people of Nantes, for whom this was something new and spectacular, expressed their approval by naming the new quarter after Graslin. But in his boldness he overreached himself. He had put a large proportion of his money into the building sites, most of his building materials had to be paid for on delivery, and a considerable time had to elapse before the dwellings and shops were ready for occupation and yielded any cash return. As Graslin could not see why a shortage of ready cash should rob him of the certain success that awaited him, he extended his financial backing artificially. Trusting in his reputation, he issued a kind of token money in the form of pieces of paper giving an assurance that they were covered by the building sites, which had already been paid for, and by the houses under

construction. These were known as "*Bons Graslin*" or "building papers". Inevitably they went into circulation, because the workers received no other form of wages. And, lo and behold, the new currency was accepted everywhere without question, although it was without cover.

For Ouvrard, who had seen through this trick and followed it with amused interest, the affair took a dramatic turn when the basis of the whole credit operation, confidence in Graslin, began to falter. His competitors spread the rumour that he was in difficulties, and at once people came running with their "*Bons Graslin*". Anxious shopkeepers, into whose tills this private currency had found its way, quoted the printed assurance on the *bons* that they could be converted into cash at any time. But Graslin thought of a way out. The people, who rushed into his office, gesticulating angrily, were assured that they would get their money. But in copper coins! They must surely realize that there was just not enough silver, which was already in short supply, to cover sackfuls of paper! They would have to make do with small change! But repayment in pennies and halfpennies was naturally a slow business, and when it became known that Graslin was, in fact, paying, day in, day out, slowly but surely, confidence in him was gradually restored, the *bons* were no longer presented and building was resumed.

Ouvrard saw how successful Graslin had been and how he had achieved it. He found it hard to believe that public confidence could have such magical powers. He had learned a lesson which he never forgot. "This incident showed me", he wrote in his memoirs, "how credit adds to one's resources." In these few sober words the budding capitalist drew his own moral. Yet there can be no doubt that this was the most important single experience in Ouvrard's life. Many years later he embodied the same moral in a much more pretentious axiom: "Treasures of gold and silver do not last for ever; the only treasure which is never exhausted, which grows and multiplies, is credit."

Before long it was clear that everything Ouvrard had seen and learned at Nantes assumed quite different dimensions and opened up quite different commercial possibilities in his mind. When he

arrived in Nantes in 1788 his first aim was to serve some kind of apprenticeship. He joined the firm of Guertin, Loret & Co., wholesale grocers, but he did not stay there long. Not surprisingly, for what others took years to learn he picked up in a flash. He could tell almost by the smell of a place if he was wasting his time there. So Ouvrard left. It all happened very quickly, because he derived no pleasure from watching others making money. For the time being, however, he remained in the trade. "Guertin et Ouvrard", also dealing in wholesale groceries, was his first business. But it was not his first venture in big business. Ouvrard himself sensed that this was not the right line for him. He twisted and turned on the high stool behind the counter. It gave him no real pleasure to be chained to a desk and to write reports on currants, sugar and liquorice. Sooner or later, and probably later, it would bring in money and in Nantes it was a highly respected occupation, but to him it seemed dull and unappetizing. He was itching to embark on something more ambitious, to take up commerce in a big way. So long as he remained a wholesale grocer he would be one citizen among many, a bourgeois among bourgeois. He had to get out. And the very moment when he was ready to take the plunge coincided with one of the great moments of history: on 14th July 1789 the Revolution broke out in Paris.

This was all Ouvrard needed to bring off his first major coup. It was as simple as the story of Columbus and the egg. The storming of the Bastille gave rise to a nation-wide debate on the form of the new social order. Characteristically, Ouvrard kept his own counsel. His head was quite unaffected by the new ideas, his vision undimmed by the fog of emotional verbiage. He left others to do the talking. Determined to move onwards and upwards, his sure instinct told him which class of society would be in the ascendant. He sensed that the bourgeoisie, not the proletariat, were preparing to take over from the old aristocrats. They would do so anyway, and certainly without his help. His sole preoccupation was to engineer for himself as favourable a position as possible in this new society. There was no room for sentimentality.



While Ouvrard was looking round for some way to exploit the new situation, which would free him from an office desk and enable him to enter the great world of unlimited wealth, he suddenly found himself, to his surprise, back in his father's firm. Not physically but in a business context. When he had decided a year before—and a mere twelve months had, in fact, elapsed—to trade in groceries rather than produce paper, it had not crossed his mind that he might ever again take an interest in paper. When this did happen in 1789, however, it did not imply any radical change in Ouvrard's plans. He was not harking back from trade to production but merely trading in paper. For the knowledge he had acquired automatically in the family firm made him realize at once that there was one market in particular which must be the first to be affected by the Revolution.

✓ At this early stage the Revolution had produced few tangible results. But one thing was clearly apparent: the freedom to speak, the freedom to write, the freedom to print. The freedom of the Press had been won. There was a positive deluge of placards: speeches, manifestos and official declarations. Periodicals would follow. Newspapers would soon appear: the *Paris Revolution*, the *Picardy Correspondent*, the *Free Press*, the *People's Tribune* and many others. Ouvrard saw from the beginning the way things were moving and he had enough expert knowledge of the trade to realize that the French paper industry was too small to meet such an increase in demand. Supply must inevitably lag behind demand, which meant that the price of paper would rise steadily.

The price would, of course, only rise if the freedom of the Press remained. But would it remain? No one could answer that question, because no one could possibly foresee what course political events would take over the next two years. The Revolution, after all, did not lead to the immediate establishment of a republic. The monarchy, which was to survive another three years, might well have regained its former hold, in which case public opinion would have been even more fettered than before. Another possibility was that one man might come to power who would declare, as Napoleon did later, that he could not hold out three months with a free Press. Napoleon allowed only one news-

paper in each Department and reduced the number of papers in France from seventy-three to thirteen. He introduced postal and stage censorship. Louis XVIII after his restoration even censored every book of less than twenty pages. Ouvrard, in short, was taking a considerable risk when he set out to gain control of the paper market. But throughout his career one of his outstanding qualities was courage, the intellectual courage which is much subtler and rarer than its physical counterpart. He himself had very little capital to invest, but he had learned from Graslin that, for a time at least, one can pay with trust. The trust he needed could be borrowed from his father, who was known and respected in the trade.

At the beginning of the Revolution Ouvrard travelled round the paper-mills of Poitou and Angoumois. From the unsuspecting manufacturers he bought up their entire production for the next two years; at normal prices, of course; and on his own account. The demand for paper began to increase, the prices rose and printers were compelled to seek out Ouvrard.

This, his first major business deal, was also his first masterpiece and bore all the hall-marks of subsequent ventures. It was characteristic of him that he refused to become involved in questions of detail. They no longer interested him. What excited and satisfied him was the overall conception; it was enough for him to realize an overall profit. The entire paper supply for two years, produced and unproduced, was sold en bloc to a few firms in Tours and Nantes. Ouvrard had made 300,000 francs. He was nineteen years old.

A Fugitive from the Revolution

TO be nineteen years old and in possession of 300,000 francs is unusual. The appetite of youth for enjoyment, for a life of ease and elegance, can complicate matters and may even undo much of what has been done. But where the money has been earned, not inherited, this danger is greatly reduced. Ouvrard was never mean and even at this early stage he did not count his pennies. He lived up to his greatly improved circumstances but nevertheless exercised the sort of moderation that comes from respect for one's own capital. Apparently calm and relaxed, he was in fact waiting with feverish impatience for an opportunity to repeat his first, brilliantly successful, coup. His fellow citizens might be content with the modest and pious ambition to emulate those gentlemen whose dignified gait, as they paced through the streets of Nantes, was indicative of their millions, but Ouvrard had other ideas.

He could not go around indefinitely with the 300,000 francs in his pocket. But it was no easy matter to know where else to put them. A revolution had broken out and it was too early for anyone to foresee or even guess what effect it would have on trade. In Nantes in 1789, on the other hand, there had so far been relatively little change. Life went on much as before. The King was still on the throne, the same city council was in office, and the face of the city was unaltered. Had Ouvrard not possessed that sixth sense, which no amount of rational thought can replace, then he would undoubtedly have followed the example of all sea-

loving people in Nantes and invested his capital in property overseas. There was much to be said for it. Anyone who acquired a sugar plantation in the French colonies could be sure of increasing his capital by 10 per cent each year. Cotton plantations brought in between 12 and 15 per cent. Coffee plantations yielded at least 20 per cent. These were sound investments, for people have always remained loyal to their pleasures, especially those of a more noxious variety. Ouvrard could see only one drawback—and no one else seems to have realized this—that there was no guarantee how long the slaves in the colonies would remain slaves working for starvation wages. There was always the danger that the growing unrest inside France would lead to a breakdown of authority in overseas territories, that the natives would rebel and that property and investments would disappear.

Ouvrard was not prepared to expose his money and his future prospects to such a risk. It was not the element of speculation that he minded. Nothing was further from his mind than to look for gilt-edged securities. Speculation was the breath of life to him. But the future of overseas property was too unpredictable. So, for the time being, he returned to the business he knew; he bought, not colonial property, but colonial produce. Again he did not act on his own. He had his reasons. Ouvrard's associates on this occasion were wholesale grocers in Nantes and the Brothers Baour & Co. in Bordeaux. This deal was based on the same kind of assumption as the paper transaction, namely that groceries, in particular, must become scarcer and the prices must rise. The precise outcome of this venture is not known. Ouvrard's terse comment was: "I did very well out of it."

At this point the historian loses track of Ouvrard until 1793. He probably spent these years in similar, highly profitable, deals, buying produce from the colonies wholesale and selling it by the bag to shopkeepers. He seems to have returned voluntarily to the routine of wholesale trading.

Then something happened that changed the course of Ouvrard's life yet again. As luck would have it, the Convention in Paris chose to despatch to Nantes a particularly fanatical revolutionary, Jean-Baptiste Carrier, as Commissioner, and

Ouvrard was compelled, this time almost against his will, to return to mid-stream. It was in the year 1793. A few months earlier Nantes had sent Joseph Fouché, who was later to become Napoleon's Minister of Police, to Paris to represent it on the Convention. Before his election Fouché had sworn by all that was sacred that he would do everything possible to protect trade and property. Apart from the fact that he had never been foolish enough to regard any promise he made as binding, it would have been virtually impossible for Fouché to fulfil his promise. By the end of 1792 there was such a general shortage that prices, especially of grain, sugar, coffee and wine, doubled and trebled. At the same time there was also a shortage of money. Monsieur Graslin would no longer have dared to build his terraces of houses. The English were just outside the city gates. It was impossible to sail out of the Loire into the open sea. Ships rotted at the quaysides, transport stood idle, ships' carpenters and ropemakers, wheelwrights and caulkers were all out of work, and the city council was finding it more difficult every week to provide adequate supplies, even of flour, for a city which had always received most of its provisions by sea. A general malaise spread over the city like a dark cloud. Threatened from outside by the Counter-Revolutionary Army, the city was also under increasing strain internally as conditions deteriorated. It was the sort of atmosphere which breeds bitterness. Fouché's *Amis de la Constitution*, which was a fairly harmless club, was replaced by the *Club des Cordeliers*, with a shopkeeper as president. Wigmakers, weavers, coopers and umbrella-manufacturers and members of other small trades dabbled in revolutionary jargon. For those citizens who were still influential this was no laughing matter; within a few months this faction was to launch a bloody reign of terror.

To begin with, however, this new activity took rather comic forms. The shortage of supplies became increasingly acute. This encouraged trade in small quantities and, while this was the kind of trade in which the big businessman had little or no interest, for that very reason it opened up new vistas for the little man. Ouvrard and his colleagues found the situation more and more

difficult as the masses, not the money, assumed more and more importance. The Société Populaire Vincent-la-Montagne replaced the Club des Cordeliers and took over control of the city. A colder wind was now blowing. Food supplies were rationed. Trade was strictly controlled. It was difficult for the big wholesaler to dispose quietly of a hundredweight, but a black market in ounces and pounds was a simple matter for the small retailer. Shoemakers took to selling oil, soap could be bought at a blacksmith's, and wigmakers traded in sugar and coffee. This was not, of course, a situation that pleased Ouvrard. When little people were making money and the big people could not do business, the world was standing on its head. When a city was supplied not by wholesalers but by bureaucrats, the divine order of things was completely upset. Ouvrard was incapable of tolerating a system in which the first became the last and the last the first.

Ouvrard might have awaited the outcome of these developments with the same philosophical calm as he was to show later during five years in a debtors' prison in Paris. But gradually he found himself being too closely involved for his own comfort. He and his colleagues were being pushed against the wall. Anyone who did not loudly proclaim himself a Jacobin was suspect. The Compagnie Marat, the Inquisition of the Société Populaire Vincent-la-Montagne, issued a manifesto demanding death for the monarchists. (Ouvrard did not feel threatened.) Death to the elegant fops. (This touched him rather more, for Ouvrard had always been elegant in his dress.) Death to all moderates, "regardless of the mask or colour behind which they may conceal themselves". (This formula was as meaningful and meaningless as a blank cheque.) At all events, the situation in Nantes was growing uncomfortable.

It became even more uncomfortable when Jean-Baptiste Carrier arrived from Paris with full powers as Commissioner. He had only one aim and one passion: to "sansculotte" the refractory citizens of Nantes. It was left entirely to him, a renegade from Holy Orders, to decide exactly how he did it. Ouvrard sized the man up, as soon as he set eyes on him: a fanatic, an unfrocked priest, and not a man to be trifled with. This character

would keep the promise he had given to the Convention in Paris: to teach the citizens of Nantes to dance the carmagnole and like it.

Carrier was not so bloodthirsty and perverse as history makes him out to be. His sullen expression, his harsh manner and, above all, his dour silence had alienated even the Jacobin friends of this forty-seven-year-old native of Auvergne. He was consumed by a burning passion for the ideas and blessings of the new age. When he made one of his tempestuous speeches in the People's Assembly, tossing his black mane of hair, no one could possibly doubt his belief in humanity. Nor was it possible to believe that he would ever compromise even in his own interest. While, on the one hand, his devotion to his social mission was utterly disinterested—when he died a year later, he was a poor man, although more than half a million francs had passed uncontrolled through his hands—he showed no mercy to those who tried to impede him in his life's work.

Rather naturally, Ouvrard, like the other leading citizens of Nantes, was not interested in understanding Carrier's character. It was a matter of complete indifference to him that this man helped the poor, loved flowers and was kind to animals, that the anti-revolutionary propaganda might be quite wrong in depicting Carrier as an alcoholic who raped women prisoners, that Carrier, who was both Commissioner of Nantes and the mainstay of the French army in the west, worked twenty hours a day and contrived somehow to keep the beleaguered city supplied with food. Ouvrard was bound to treat him as an enemy, who threatened his livelihood and even his life. In the fear-ridden minds of the people of Nantes the number of arrests was multiplied a hundredfold. (Yet this occurred before the unfortunate prisoners from the Counter-Revolutionary army were drowned in their thousands in the Loire by the leaders of the Revolutionary army in Nantes.) But Ouvrard had no intention of joining the hundred or two hundred or five hundred people who were to be sacrificed to the Revolutionary cause. He had no intention of exposing his person, which he held very dear, to Carrier's dogma that the individual is nothing, the Republic everything.

Ouvrard had all the more reason to feel disturbed as he

belonged to a social group which in troubled times invariably attracts unfriendly attention from the masses. His money was not stowed away safely in a mattress or even invested in houses, plantations, timber or State securities, but in large quantities of edible goods, which would be one of the first targets for the mob. It is sometimes a short step from a raid on a baker's shop to a campaign against a wholesaler's.

In Nantes any attempt to conceal stocks was severely punished and profiteering was punishable by death. The Widow Mallet was thrown into prison because she had been hoarding 70,000 lb. of tobacco. The Brothers Thoinet fled the city when a night search of their house revealed 3,000 cwt. of flour. There was general consternation when some people who had laid in a stock of turnips, and others who had tried to bribe sentries with a few ducks, were shot out of hand. Carrier knew everything that was going on, because he had turned the secret police, which he originally set up in the Army of the West, on to the city fathers. There were spies everywhere. People no longer dared to write, they barely spoke and they almost stopped thinking. Carrier's secret police was omnipresent.

Soon it was Ouvrard's turn. Maybe his wealth was in itself enough to make him suspect or maybe he really did something that was not permissible in Nantes in 1793. At all events he was denounced as a profiteer.

It was difficult to defend oneself. So far, few had succeeded in escaping from the city. There seemed to be even less future in waiting calmly for a trial, which would be loaded with prejudice. For a man with Ouvrard's unerring instinct, however, there was a third way of escape: he must place himself under the protection of some influential person.

Ouvrard did not hesitate. He knew he had no chance with the Jacobins. Carrier could not be swayed by money, personal charm, or the knowledge of a man's position in society. That left only the commanding General. It was not pure chance that Ouvrard chose Boivin. Unless he was very much mistaken, the General must know something about him. And indeed, when Ouvrard sent in his card, General Boivin thought he remembered reading

the name somewhere before. In the course of conversation with his elegant visitor, the General learned that Ouvrard was a partner in the firm of Guertin et Ouvrard, whose invoices he had frequently seen in the house of his father, a grocer in the Saint-Sulpice quarter of Paris. This reminder was the best possible reference; under the influence of nostalgic memories the General proved accommodating. He appreciated that the situation in Nantes condemned Ouvrard to idleness, that he hated nothing more, and that it seemed only right to give him some occupation in the framework of the New Order. He appointed Ouvrard his adjutant.

In his new function Ouvrard was not only rendered immune from the civil authorities, he also felt more confidence than ever in his own *métier*. For once again it was commerce that had saved him; its solidarity had once more been demonstrated.

For the time being, however, his sole concern was not to trade but to serve. For someone as adaptable as Ouvrard, who in later years had to make the best of quite different situations, it was not too difficult to fit himself unobtrusively even into a military machine with which he was quite unfamiliar. His position was that of a private secretary rather than an officer. Moreover, thanks to his exceptional talents, he succeeded before long in making a niche for himself quite outside his official post. In consequence he was soon able, if his own account is to be believed, to act more or less independently. For example, the Revolutionary Committee issued a decree, condemning a number of outstanding and wealthy citizens of Nantes to be shot:

“We hereby order the Commandant of Nantes to muster three hundred soldiers. Half of them will march to the Boufflay prison, where they will remove the prisoners named in the attached list. They will be bound together by their hands in pairs. These people will be taken to Éperonnière. The second group of soldiers will conduct prisoners from Saintes-Claire, whose names are on the list, to the same place. The inmates of the prison at Éperonnière are also to be brought out, and all, without

exception, are to be shot. The precise method of execution will be left to the Commandant.

Nantes, 15 Frimaire of the year II of the Indivisible Republic [5th December 1793]

Sgnd. Gaulin, M. Grandmaison,
J-R. Minguet."

When the list of condemned men reached the adjutant's office, Ouvrard saw to his horror that it included a number of business friends, whom he knew to be innocent. Within a few seconds the fateful document had disappeared. When enquiries were made, it was pointed out that the list had unfortunately gone astray. There was acute embarrassment in the Revolutionary Committee, for no copy had been made. The executions had to be postponed. But clearly the real guardian angel of Nantes was the General himself, for only his humanity and sense of justice made it possible for his adjutant to take such liberties without risking his head. Nevertheless, Nantes gradually became too hot for Ouvrard. Suspicions were mounting, rumours gaining ground, and it was not exactly reassuring to see one former class-mate after another disappear behind prison bars. Ouvrard finally decided to make his escape. He realized, however, that it would have to be done quite openly. Any other way would be too dangerous.

He escaped to the army. In modern times it has become customary for men who wish to avoid danger to claim exemption from military duty; in those days one was more likely to succeed by showing willingness to shed one's blood for *la patrie*. A soldier of the National Guard, who shouted on parade shortly before the storming of the Tuileries: "We will fight for the King to the death," only escaped with his life at the hands of the republicans by taking refuge in an Alpine Corps.

Ouvrard did the same; he joined the Western Army. He went with recommendations to General Kléber, who was stationed at Remouille, and, as luck would have it, at headquarters he met Merlin de Thionville, Commissioner of the Convention. Merlin once saved the life of one of Ouvrard's brothers, and, as a good

deed often proves more binding on the doer than on the recipient, Ouvrard felt he could count on Merlin's friendship.

It is not easy to visualize Ouvrard, who, as Boivin's adjutant, had always been a civilian soldier, in the camp at Remouille. He was now in the uncomfortable position of hearing the rattle of musket-fire. Although he was spared an actual battle, he was obliged to witness the skirmish at Torfou. He suddenly found himself "commander of a detachment", but this detachment is not likely to have been large enough to require any decisive action on his part. As it turned out, Kléber was wounded and his troops defeated. Ouvrard, on the other hand, was unharmed and far from beaten.

It is a measure of his complete self-confidence that he agreed to take part in an unintentional piece of comedy: the good soldier Ouvrard was entrusted with the task of taking the captured enemy colours to Paris! Standards captured from the foe have always been greatly prized, more especially in France. In December 1797 when the Directory met in special session to greet the young general who had conquered Italy, Napoleon found the courtyard of the Palais du Luxembourg festooned with flags captured in the revolutionary campaigns. Berthier wanted to set up on the banks of the Seine the trophies which had been won on the banks of the Nile. And when on one occasion Napoleon, as Consul, bowed his head before the tattered, powder-blackened colours of French regiments in the courtyard of the Tuileries, the crowd burst into a mighty roar.

Ouvrard's colours were of a different, rather special kind. They too were trophies, which had been wrested from the foe in battle and which were doubtless stained with the blood of both the assailant and the assailed, but they were, nevertheless, trophies of defeat. The engagement was lost, the General wounded.

There is, unfortunately, no record of how Ouvrard and his unusual flags were received in the capital. The Convention in Paris can hardly have felt any great urge to play out this comedy with the civilian Gabriel Julien Ouvrard, wholesale grocer, and his trophies of military prowess. The colours were probably deposited together with other relics in an appropriate room.

No one could have been less put out than Ouvrard. If he was entrusted with this rather delicate assignment, then it was undoubtedly because he himself had asked for it. Ouvrard knew what he was doing. He saw the army as merely a stepping-stone to the conquest of the world. For him the world was Paris.

Four

Paris: the Great Opportunity

WHEN Ouvrard arrived in Paris the atmosphere was one of personal insecurity and complete political instability. The situation was, in fact, every bit as critical as in Nantes. The cobbled streets of the capital were slippery. Only a few weeks before, in October 1793, Marie-Antoinette had laid her head under the guillotine. Anyone who was someone or had something, or even who had been someone or had had something, was in particular danger. The banker Duruet was sent to the guillotine by the Revolutionary Tribunal because he honoured a bill for 6,000 francs made out to him in London and thereby, it was held, had conspired with a foreign power. A former banker, van den Niver, suffered the same fate despite his advanced years. The ninety-one-year-old citoyenne Prévost, who had a fortune of 100,000 francs, was accused of counter-revolutionary sympathies and was punished for her affluence by imprisonment in the building which still bears the name "Port libre". So it went on, day in, day out. It paid, if one wanted to remain both rich and free, to be as shrewd as M. Récamier, who took his seat under the guillotine every morning to show in public how interested he was in the progress of the Revolution. But even this was not always sufficient.

Ouvrard was undoubtedly aware of all this before he decided to go to Paris. He must have heard the grossly exaggerated reports that circulated from house to house and from town to town.

According to counter-revolutionary sources, 32,000 people, including 15,000 children, were drowned in Nantes, whereas the real figure was 4,074, of whom 3,793 were members of the Counter-Revolutionary Army. Ouvrard must also have heard figures from Paris which were just as astronomical. If he decided, none the less, to walk into the lions' den, then he clearly had his own good reasons. It is not difficult to guess what they were. Ouvrard had a feeling that the great opportunity of his life lay in Paris. It was a dangerous city, in which the mere business of staying alive was fraught with risks. But Ouvrard, as a merchant of standing, knew that, where the risks were greatest, there also were the greatest opportunities.

He had studied the French character. Earlier than most others he realized that in the not too distant future stirring words and exalted ideas would lose their potency. The French were an industrious people, as he well knew, and he could not believe that they would let themselves be fooled indefinitely. He wanted to be there when the reaction set in, so that he could have his share of the power which must take over when the rule of ideas came to an end: the power of money.

Ouvrard was prudent enough, however, to plan only a short visit to Paris to begin with. He made arrangements that, if life in the capital was too uncomfortable, he could hand over his trophies and, after a few days of "leave", return to the safety of the army. But, after studying the situation at first hand, he decided that he could stay. The risks involved in doing business so close to the epicentre of the Revolution seemed, after all, not unreasonable. His completed mission was now followed by an extended leave.

The time had now come for Ouvrard to discard the petty bourgeois guise he had worn in Nantes. Before long that city meant little more to him than a name on the map. At most it served to remind him of the distance he had travelled since he first set out. In the first few months, however, there was still much talk of Nantes. He could not easily forget the fate suffered by so many of his fellow citizens at the hands of the incorruptible Carrier, and, before he could launch out on fresh business

ventures, he became quite unexpectedly involved in an errand of mercy, which was not without its dangers. In a Paris prison lay 132 citizens of Nantes, whom Carrier had despatched to the Revolutionary Tribunal at five o'clock in the morning of 27th November 1793. Chained together in pairs, they had been driven out of the town without seeing their families to walk the long road from Nantes to Paris in all kinds of weather. Dragged from gaol to gaol, they finally ended up on the rotting palliasses of the Conciergerie. "Prison sickness" took its toll, the bucket which had to serve their most primitive needs polluted such air as there was and their diseased bodies were weakened still further by the inadequate and often uneatable food. Before the tribunal had even seen them their number had been reduced from 132 to 84. These citizens from the provinces, who had no contacts in Paris, would have stood utterly defenceless before the Revolutionary Tribunal had not Ouvrard intervened on their behalf as soon as he had found his feet in Paris. Just as he never lacked moral courage, so too he was always ready to help others, unconditionally.

However, the rescue of his fellow citizens was no easy matter. In dealing with fanatics like Robespierre or Fouquier-Tinville, the notorious Public Prosecutor, money was of no avail. Therefore he decided to appeal to Robespierre himself through the family of Duplay, a cabinet-maker, with whom Robespierre lived in the Rue St. Honoré. The Duplay family exercised considerable influence over Robespierre, because they had been amongst the first to give him unqualified support. "Father, mother, sons, daughters, and cousins, both male and female—all swore by Robespierre and by him alone", wrote a contemporary observer contemptuously. "Mère Duplay was the Mother Superior of Robespierre's pious acolytes, and the daughters became the overseers of this devout Community." Ouvrard, having sized up the situation with his usual shrewdness, addressed himself to the daughters, confident that he would be able to make a sufficiently strong impression. With all a young man's eloquence he described the appalling sufferings of the unfortunate citizens of Nantes. The gamble—this time a purely psychological

one—came off: the girls promised to try to arrange an audience with Robespierre.

When Ouvrard was actually received two days later, in the most informal atmosphere, he thought the game was already won. There was something almost idyllic about that friendly yet cautious conversation between a revolutionary dictator and a wholesale merchant, who was at heart a counter-revolutionary, with two carefree young girls dispensing morning coffee. The outcome, however, was completely negative. Robespierre could not trespass on the preserve of Fouquier-Tinville, the Prosecutor of the Revolutionary Tribunal and executioner of Paris, and he could only advise Ouvrard to approach Fouquier-Tinville or his private secretary. Ouvrard, who was a past-master at making contacts, knew how much influence was wielded by subordinates. But he only succeeded in seeing the private secretary's wife. On the other hand, she gave him an excellent piece of advice: the only way to achieve anything with Fouquier-Tinville was through a beautiful woman.

Ouvrard at once thought of the young and very beautiful Mademoiselle de M., whose father was very ill in prison. She actually gained an audience with Fouquier and, in a moving display of indignation and despair, timidity and innocence, begged him to have the citizens of Nantes moved to a hospital. Fouquier seemed quite amenable but he made one condition: the beautiful young woman must meet him alone the following day at two in the afternoon, on the terrace of the Tuileries. With such a preamble, one would be justified in assuming the worst. But nothing untoward happened. The only hazard to which Mlle de M. was exposed was a strange *déjeuner à deux*, during which scarcely a word was uttered. And it ended in complete success: her plea was granted. The unfortunate prisoners were at least transferred from the Conciergerie, the prison which was usually the final stage before the guillotine.*

The man to whom the Committee of Public Safety looked for concrete evidence against the prisoners was Robert Lindet, the

* Six months later it was Fouquier-Tinville's turn to lay his head under the guillotine.

financial expert of the Revolution and a man with a highly developed sense of justice. He deliberately took so long to provide any evidence at all that by the time the prisoners came up for trial Robespierre had fallen and they were acquitted. It is virtually certain that Ouvrard was partly responsible for the fact that the evidence produced was favourable. Lindet also supported Ouvrard in another plea which at that time was fraught with danger.

Ouvrard had not lost sight of his original purpose in coming to Paris: to do business. He set about it in an unusual, original and fearless way: he asked the Committee of Public Safety for substantial compensation for the loss of his father's paper-mill, which had been burnt down during the fighting in the Vendée between the Revolutionary and Counter-Revolutionary armies. The prisons were full of citizens who were suspected, quite wrongly, of having robbed the State or even a neighbour. A certain citizen Fougeret had just been guillotined, because he thought his private fortune had been much too highly assessed, at 30,000 francs, and was rash enough to voice his objections. Ouvrard clearly took the view that everything depended on the individual and his approach. Success proved him right. On the basis of a report by Robert Lindet, the Committee of Public Safety, which was the official organ of the Terror, approved an indemnity of 200,000 francs.

Within a few months of his arrival in Paris, Ouvrard had, therefore, scored a second major success. He managed to add a third almost immediately. At the age of twenty-four he married the daughter of one of the citizens of Nantes, for whose release he had been largely responsible. As one can well imagine, she came from no ordinary family. On such an important question Ouvrard acted completely in character. This was not a pure love match. Her father was Monsieur Tébaud, a man of excellent antecedents, who belonged to the same class from which Ouvrard had acquired a pride in his calling. And he was very rich. Jean Baptiste Tébaud was one of the most competent and wealthiest merchants of Nantes, a fact which undoubtedly influenced Ouvrard's choice of a wife. He lived in an age which was anything but emotional and

still less sentimental. Whenever one of his generals discussed a prospective wife with Napoleon their main concern was usually with the dowry.

Mademoiselle Tébaud was the first woman to play any part in Ouvrard's life. She was not the ideal partner for him. On the contrary, her simplicity was in striking contrast to his brilliance, and she is not likely to have shown much understanding of her husband's boundless energy and intellectual drive. Ouvrard devoted to her only a few sentences of the thousand pages of his memoirs. But he spoke well of her. The simple wedding ceremony—in 1794 it could hardly be otherwise—would, even in more congenial times, still have appealed to the bride. "The quality of her mind and the nobility of her soul enabled her to find in a life of retirement the sort of tranquil pleasures which a worldly life could not have given her." (*Memoirs*.) She found natural fulfilment in bringing up her three children. Ouvrard took the view that the main reason for his wife's early death in 1818 was the unjust persecution to which he was subjected for much of his life. There is no doubt that Mme Ouvrard was deeply affected by her husband's misfortunes, but a more immediate reason for her early death was probably the distress caused her by his infidelity.

But that still lay a few years ahead. Meanwhile, Ouvrard used his own fortune and the large dowry his wife had brought to build up the enormous financial power which made him banker to three governments. All this was, of course, only possible once he enjoyed complete freedom to negotiate, and this he achieved with the fall of Robespierre and the end of the Terror—on 9th Thermidor, or 27th July 1794. The face of Paris was changed overnight. When the head of the dictator from the Rue St. Honoré dropped into the basket all opposition to unrestricted private trading disappeared. But with it, for the time being at least, went an incorruptible government. Money ascended the empty throne of the Kings of France. Ouvrard, as one of its most loyal and experienced servants, stood to gain more than most by this new reign.

Not that his sole concern was to amass riches for himself. He

was always ready, without receiving any immediate reward, to help strengthen the financial foundations of the State, the supreme importance of which he recognized more clearly than anyone else. Even during the Terror he tried to help by impressing upon the Committee of Public Safety the relationship between paper money, the value of gold and credit. The government cut the ground from under its own feet by flooding the country with assignats, so that by the beginning of 1794 the real value of this paper currency was only a third of its nominal value; a galloping inflation had set in. In November 1795, when the Directory needed twenty-four millions, this represented 3,000 millions in paper. By the end of 1796 the louis d'or was worth between 23,000 and 25,000 paper francs. And yet the government persisted in upholding what to any merchant was an absurd fiction, that a franc was still a franc. In vain Ouvrard proposed that assignats should be accepted in payment only at the current rate, thus ensuring that taxes, not worthless scraps of paper, were collected. Those in authority were too busy with personal quarrels and discussions, political demonstrations and manifestos to give any thought to vital problems of State. They failed to realize that, just as financial collapse alone had made the Revolution possible, so their own untenable financial position was paving the way for the counter-revolution. Ouvrard, whose approach to such problems was quite elementary and in consequence correct, warned them in vain. "Is it not remarkable," he said in retrospect, "that among the many talented people who influenced the Legislative Assembly, and among the senior State officials, so few really knew anything about finance!"

As Ouvrard's services were not required in public life, he was able to concentrate on furthering his own plans. The complexion of the firm very quickly changed. Wholesale groceries were no longer the main line of business, for Ouvrard was now a banker and the firm was a "Banking and Trading House". The transition to purely monetary transactions opened up undreamt-of prospects at a moment when the value of money was constantly changing and when the timid and uninitiated had no inkling of the direction in which things were moving. Ouvrard's head-

quarters was in the Rue d'Amboise, one of the narrow streets which ran parallel to the Boulevard des Italiens, and in which two carriages could barely pass. But in the overcrowded centre of Paris this was a distinguished address, for the house had been the head offices of Rougemont et Hottinguer, a firm of high repute.

Little is known of Ouvrard's monetary transactions. He was apparently reluctant to talk about the profits he made then. He had, at all events, become the centre of attraction in the renascent Bourse, where his big decisions and his bold gestures aroused more and more admiration. Ouvrard only becomes talkative again when his original line of business crops up: the grocery trade. On this subject he is unashamedly vain. In one single sentence he records—it must have been early in 1796—how, together with a few other capitalists from Bordeaux, he bought a consignment of groceries on which he alone made a profit of half a million francs in three months. But he was careful not to give precise details which would enable the reader to compare the returns with the size of the order, to work out the ratio between risk and profit!

This is the only concrete transaction that has been recorded between November 1793, when Ouvrard arrived in Paris with the captured trophies of war, and the spring of 1796. It may be that he simply felt no desire to give an account of each of the many small transactions, which seemed to him insignificant trifles. And, following his report of the 500,000 francs which he earned in Bordeaux, no more is heard of profits running into thousands. From then on Ouvrard dealt in millions.

Profits of this magnitude were only feasible if he could extend the scope and increase the tempo of his commercial transactions, and there was only one way to achieve this, namely, by obtaining government contracts. Since the fall of Robespierre and the end of the Terror, it had become increasingly easy to establish good relations with leading men. The period of the Directory, 1795–9, was one of strong reaction against the ascetic Puritanism of the Terror. Even in the first month or two after the 9th Thermidor, though trade and industry were at a standstill, public amusement-

places shot up in the bloodstained streets of Paris in astonishing numbers.

In the first year of the Directory there were 644 dance-halls in Paris. A ball, called the "Bal des Victimes", was held and only those who could show the death-certificate of a father, mother, brother, sister or other relation liquidated by the Revolution, were admitted. As in the period after the First World War, moral ties were relaxed or broken. Relations between the sexes became more uninhibited. Since divorce had been introduced in 1794, marriages had been breaking up. The number of prostitutes was rapidly increasing. The theatres were crowded. There were famous hairdressers about whom the women raved. The gulf between rich and poor grew wider every day. The communist, Babeuf, displayed his 11th Article on placards: "The Revolution is not over. The rich still have the money. It is they who still govern. And the poor, as before, are no more than slaves of labour." But it made no impression. Everyone, even the man in the street, lived beyond his means. More and more food and drink were consumed and gambling spread. There was a universal craving for attractive or expensive clothes. Trading began again in the street and on the Bourse, and never since the South Sea Bubble had so many people been interested in speculating. Enjoyment and easy earnings were the popular cry.

The men who came to power in 1795 were not strong enough to stem the current. Tallien had already been open to corruption when, as Commissioner of the Convention in Bordeaux, he controlled the guillotine. Barras, the key figure, handsome, pleasure-loving and a former officer from a noble family, had also forgotten, when he ordered executions in Toulon and Marseilles, that he was present at the storming of the Bastille. When he became, at forty, a member of the Directory, he seemed content merely to satisfy his taste for elegance. In his lace cravat, knee-breeches and silk stockings he was a picturesque figure, but he also created an impression of strength and determination. In fact he was too susceptible to feminine charm and sensual pleasures. Life was much more enjoyable in a beautiful old château outside the gates of Paris, where splendid fêtes could be

held in an enormous park, than in the exhausting round of State affairs. "Barras combined all the vices of the ancien régime and the new era." It took money to satisfy these vices, a great deal more money than a member of the government could earn. "At that time everything was for sale," Napoleon said later to Bourrienne. "Government posts, supplies, foodstuffs, uniforms, military equipment; they sold everything and were even paid seventy-five million in advance."

Ouvrard knew exactly how to handle a man like Barras. He knew from experience that really big business with the government was not possible without personal outlay. He waited for a convenient occasion. Since the autumn of 1795 he had met Barras on several occasions in Madame Tallien's salon, where the cream of Parisian society forgathered. It may well be that Ouvrard had been of service to the beautiful Madame Tallien and had thereby gained the confidence of her intimate friend, Barras. It was about the same period, in September 1795, that Napoleon, still a "little" man, a mere brigade-commander in the artillery, obtained material for a new uniform by virtue of a letter from Madame Tallien to the Paymaster of the 17th Division.

Ouvrard had certainly had plenty of opportunities to explain to Barras his proposals for the restoration of a solvent paper currency before February 1796, when the assignats were withdrawn from circulation and a new currency, the "mandat", was introduced. It is not known whether his advice was taken, although he maintained that Barras was very impressed by his proposals. Ouvrard would have had good reason not to advertise any contribution he made, for in quite a short time the mandats proved just as valueless as the assignats had been. Moreover, Ouvrard's main concern at this point was not to help the government achieve real financial stability, for he could see that, for the moment, the right personalities were lacking.

His primary objective was to make an impression on Barras and win his support. No one could rival Ouvrard at this game. It was very noticeable, on occasions when people were still eager to play the market but were short of ready cash, that Ouvrard was always in funds and had ample resources to draw on for further

investments. Credit facilities were, on the whole, hard to come by. But, even when he was asked for credit, Ouvrard displayed the same nonchalance as in any major business deal. His inexhaustible optimism carried conviction simply because his remarkable business acumen was so obvious. There was no dearth of bankers and businessmen in Madame Tallien's salon: Récamier, the Brothers Michel, Perregaux, Hamelin, Tourton, Bazin and many others, but, as soon as Ouvrard appeared, he stood out unmistakably as a financial genius.

Ouvrard, who was also an accomplished and elegant conversationalist, can have found no difficulty in convincing Barras, even without talking to him, that he stood head and shoulders above the rest of the business community. It was not in his nature to sit brooding over a desk, like a chess-player, laboriously working out new ideas and fresh schemes. Always friendly and cheerful, he seemed quite happy to decide on the impulse of the moment what he should do or not do. It was as if he carried an invisible divining-rod about with him. His magic formula remained a mystery, and mystery lent an even brighter halo to a head which only a few months before had been completely unknown.

Barras, the grand seigneur, also paid his tribute. He realized that Ouvrard was a man with whom it would pay to co-operate and who, however big the deal, would always remain solvent. Soon it was the most natural thing in the world for Ouvrard to suggest an informal meeting. Indeed, the day came when the leading statesman in France called on Ouvrard at his country residence at Vitry just outside Paris. What the two men discussed between four walls was never disclosed. Barras makes no reference to it in his memoirs; Ouvrard maintains a discreet silence in his. But that the discussion was fruitful for both parties can be deduced from Ouvrard's terse observation: "That day marked the beginning of my business relations with the government. It changed the whole course of my career." (*Memoirs.*)

This change involved Ouvrard in a return to his first field of activity. His banking activities receded once more into the background, and trading in foodstuffs was resumed. The scope,

however, was enormously increased and the market was guaranteed. To begin with, at least, Ouvrard did not have to worry about selling his goods. For a year and a half, from May 1793 until the end of 1794, the people of Paris had been largely dependent on the government for their food supplies, but that ideal state of affairs was now over. On the other hand, the State's fighting troops were lamentably short of supplies, and Barras was ultimately responsible for the army's Commissariat.

Naturally, Ouvrard found no reason to criticize such a situation. What did irk him was that private capital was not allowed to operate freely in the navy. Whereas the army had always received its supplies direct from private concerns, the navy's supplies were controlled by the State. Ouvrard was undoubtedly right when he said that in consequence "the administration of the navy was just as inefficient as that of almost all other government departments". It was, therefore, with the public interest as well as his own in mind that Ouvrard set about the formidable task in 1797 of completely reforming the navy's victualling system. Ironically enough, although it was no mere accident, when a government commission was set up, he was called upon to give a report on the merits and demerits of private enterprise. Naturally he put forward the view, which, in the prevailing circumstances and taking into account the people involved, was undoubtedly the correct view, that the most efficient business is the one run by a man with a financial stake in its success. He stressed the obvious fact that since 1793 dishonest officials had been conducting a regular black market in naval stores and that the quality of wood and iron, of cordage and sails, had left a great deal to be desired. It was well known that the Minister of Marine, Pléville-Peley, had proved himself to be a rare bird in the administration by returning to the Treasury 33,000 francs of the 40,000 set aside for a particular mission.

Ouvrard, on this occasion, certainly did not reveal all that was in his mind, otherwise he would have been obliged to add that the victualling of the navy would guarantee immense wealth to the private individual entrusted with it, that the overall cost to the State might be somewhat increased but that the result would

be an efficient organization. In his report Ouvrard showed a marked concern that the government, which must be both the controlling and executive authority, should be relieved of many small responsibilities and thereby spared much unnecessary work.

Ouvrard's intervention was completely successful. Naturally he was entrusted with the new administration. He was even given a splendid title, General Victualling Master of the Navy, and a budget of nearly sixty-four million francs. His annual profit from that point onwards was not ascertainable. Even individual prices could not be controlled. When the original listed price for wine was raised from 494 francs per ton to 650 francs, thus yielding a surplus of 775,000 francs on 5,000 tons of wine alone, this could not fairly be regarded as pure profit without taking into account the fluctuation in the wholesale purchase price and in the value of money. But one thing can be said with certainty: in a transaction of this magnitude the annual revenue ran into millions. And the most important clause in the contract, which in a period of inflation was also most unusual, required payments to be made in silver dollars.

It must have come as a great relief to Ouvrard when the meticulous Pléville-Peley, who on resigning even left his entire savings behind, had to give way to Rear-Admiral Bruix. The new Minister of Marine was a sailor of considerable repute, with whom the General Victualling Master was soon on the best of terms. In the years to come Ouvrard had much to thank him for. Nor was he forgetful of this when the Admiral died an early death in 1805. With a generosity which was one of his many distinctive traits, he immediately paid the widow of a man who could no longer be of use to him the sum of 500 louis d'or—a substantial amount in those days. He makes no mention of it in his memoirs.

It may have been Bruix, and most probably it was, who negotiated an extension of Ouvrard's naval contract to cover the ships of a friendly nation. The Minister also had under his command twenty-five ships, which lay in Brest, the chief port of Brittany. The Admiral succeeded in breaking through the English blockade with his fleet and bringing back the ships of the

Allied Spanish fleet. He sailed right round the Iberian Peninsula to a point near Gibraltar, escorted the Spaniards out of the port of Cadiz and brought them back safely to France. These ships, cut off from their home base, had to be provisioned. The cost was, of course, borne by the Spanish Government. Nothing seemed more natural than that the Spanish Admiral Massaredo should entrust the victualling of his ships to the same man whose relations with the Minister and Admiral were so cordial and who, moreover, had proved his ability to carry this heavy responsibility. A formal contract was drawn up, which was signed by the Spanish Premier Urtigo.

From Ouvrard's point of view this was a particularly profitable arrangement. As the Spaniards were on a war footing and ready to sail at a moment's notice, supplies were commissioned on a day-to-day basis, so that Ouvrard was able to demand the higher prices which had been agreed for actual operations. At the same time the English saw to it that the Spaniards were unable to return to their home ports for some considerable time. As a result, the victualling of the Spanish fleet went on for several years and earned Ouvrard, on his own admission, a clear profit of four million Mexican piastres, between fifteen and twenty million francs, varying with the expenses Ouvrard incurred in realizing the drafts on the Mexican treasury, which he received in lieu of cash. This is the third sum mentioned proudly by Ouvrard. The first was the 300,000 francs he cleared from the paper deal at the outbreak of the Revolution in 1789, the second was the 500,000 francs he earned from the sale of groceries in Bordeaux, and now, between 1798 and 1799, there was the 15-20 million from the Spanish contract. This was the sort of rising scale of profits which would make any merchant's heart beat faster. Yet Ouvrard would not have felt so elated had he been able to foresee that this enormous access of wealth would almost ruin him ten years later.

For the moment, however, Ouvrard moved on from one success to another. It is inherent in the sheer logic of economic development and trading practice that increasing profits required new ideas, further investments and fresh partnerships. He put

several millions into the firms Giradot & Co., Charles Rougemont & Co., Charlemagne & Co. in Paris and three firms in Brest, Bordeaux and Orleans. Before long these names were mere covers for his own. They were part of the "concern". His Paris offices were steadily expanding and already looked like a Ministry. They were run by Turpin, the former Director of the Treasury, and Cambacérès, both remarkable men.

In choosing Cambacérès as a collaborator, Ouvrard had again shown that shrewd psychological insight to which he owed so much of his success. Cambacérès had a rare, almost paradoxical, capacity for forgetting insults quickly and yet never forgetting services rendered to him. His friendship was of incalculable value to Ouvrard for Cambacérès rose steadily from one influential government post to another. President of the Council of the Five Hundred, Minister of Justice under the Directory, a Consul together with Napoleon, Deputy Head of the Government, Arch-Chancellor under the Empire, editor of the *Code Napoléon*, Duke of Parma: these were the various stages in a brilliant career. In a magnificent house on the Place du Carrousel he would receive the leading men of France, wearing, we are told, a velvet suit embroidered with gold and an enormous powdered wig.

Yet he continued to help Ouvrard. It was almost certainly he who sent a secret message from a session of the State Council to warn Ouvrard that Napoleon had ordered his arrest. Bonaparte himself certainly suspected as much, although Cambacérès stood high in the Emperor's favour. Some years later, on 25th December 1805, when Napoleon wrote from Austria to his brother Joseph in Paris that he intended to imprison Ouvrard and his associates, the Michel Brothers, because they were endangering the State Treasury, he expressly forbade him to inform Cambacérès. But even so Cambacérès managed to save the merchants, and particularly Ouvrard, from imprisonment at Vincennes and to arrange for the affair to be settled on a purely commercial basis.

Cambacérès' previous participation in Ouvrard's firm was all the more fruitful as the interruption of his political career cannot have been a long one. It probably came at the same time as

Ouvrard, the private financier, was first approached by a French government for a loan to tide it over a barren period. That was in 1798. Defeat after defeat was being suffered in Italy while Napoleon was in Egypt. The large sums of money which Napoleon had been sending regularly from the conquered territories to the Directory, had ceased. The government was not even in a position to pay the fighting forces. The whole army was poorly equipped and badly in need of uniforms, arms and ammunition. The State coffers were empty; no further tax revenue could be expected, although some of it had already been spent in advance. So Ouvrard was asked for an advance of ten million. This was not a large amount for him even in a time of general stagnation. Again one of his basic principles had stood him in good stead: always have a substantial amount of ready money to hand.

The momentary dependence of the government gave Ouvrard an opportunity to indulge one of his pet ambitions: cleaning up the State's finances. For the past five years he had watched three successive governments bungling through. His ten million francs would only stem the flood for a few weeks. Ouvrard was not so foolish as to believe that the individual would go unscathed, or still less that trade could prosper for long, if the State went bankrupt. But the persistence with which he returned to his financial theories throughout the years (including much more stable periods than that preceding the fall of the Directory) is a clear indication that his interest in solving the problem was partly a genuine and unselfish desire to master it for its own sake. And added to this was the awareness, which he had acquired from the patricians of Nantes, that he and the men of his profession could make or mar the future, if not of the world, at least of those living in it.

Ouvrard had discussed the financial situation with leading statesmen on several occasions. He had condemned the system of assignats as unworkable. He had advised on the introduction of the mandates. Now, in 1798, he felt convinced that his financial theories would at last be taken seriously. He sat down to work them out systematically, something he had never done before. It

was, in fact, the first time—though by no means the last—that he had put his thoughts in writing. His main recommendation was the establishment of a National Debt on the British pattern. His thesis as a whole was a repetition of the familiar arguments about the productive power of credit, which he had learned in Nantes from Graslin, the building contractor.

An essential feature of Ouvrard's memorandum was a criticism of the national budget procedure. Each year saw a new and completely fictitious budget based on hypothetical economies, which no government department had the slightest intention of making. "The only result achieved by this economy race is that, before the end of the financial year, the coffers are empty and the Ministers are not in a position to meet real expenditure." Particularly unfortunate (for suppliers and therefore for Ouvrard) was the fact that "in the last resort the State's creditors have to carry the deficit". Ouvrard warned against groundless expectations of unforeseen revenue, which could lead to a quite irresponsible acceptance of obligations. "The national economy must be run on the same principles as private economy."

Once the State has acquired debts—unfortunately not a National Debt—it must try to pay them. "Otherwise it falls into the unhappy situation of a bad debtor, with whom one may sympathize but with whom one can no longer do business." (*Memoirs*.) These debts could not be paid out of normal revenue; a special sinking fund must be set up, which would draw its income from a comprehensive National Debt Administration. This debt would have to be consolidated on a long-term basis and secured by adequate refunding operations. "Interest and amortization must be limited to a third or a quarter of the national revenue." (*Memoirs*.)

✓ Even with her existing debts, France would benefit by a large National Debt. It was the only way to stimulate the country's development; money would come pouring in from all over Europe, if a shrewd government, which enjoyed international confidence, could offer stocks with attractive prospects and a good measure of security. France would then be able to spend this money on generous, long-term projects. "Loans in the form of

fixed-interest bonds (or *rentes*), which are secured by a sinking fund, represent a public debt, which happily decreases steadily and is finally liquidated, without imposing too heavy a burden on the taxpayer and without in any way damaging the lenders. The floating of such a debt mobilizes capital and must, in fact, lead directly to an increase in the money and credit supply. It serves, in short, as a stimulus to every form of business activity. As a consequence, the taxpayers are prosperous, the tax revenue itself must automatically increase, and a sense of utter confidence prevails between the government and the people.”*

Had there been a government in France at that time which was filled with the desire to govern well, Ouvrard’s eloquence would certainly have succeeded in pressing home such clear, simple ideas. But in 1799, the last year of the Directory, as in early 1794, the period of the Terror, no one had time to study his financial system. It was easier to accept his credit than his advice.

Ouvrard understood the financial problems of his day because he was a born financier. He had never had any doubt about his vocation. From the moment when he first stood on his own feet he had known only one ambition: the accumulation of money. That is why he had remained unperturbed in 1796 and 1797, when the Revolution in Paris was in its final throes and Babeuf, the communist, tried to emancipate the people still further by abolishing private capital. These two men, so unlike in every respect, do not ever appear to have met. Babeuf, who had himself adopted the name “Gracchus” amongst his disciples, the “Equals”, had a passionate contempt for money; Ouvrard was its most persistent and fortunate devotee. Babeuf went out of his way to quarrel with anyone in a position of power who might have been of use to him; Ouvrard knew how to get on with people, even with the hard men of the Terror. The navvy’s son from Roye paid with his life for his proclamation of the new gospel—the gospel which promised universal happiness on the day that “mine”

* At this time more than half the French national debt was a floating debt and therefore in theory repayable at short notice. Interest on the public debt accounted for about half of the annual budget.—T.A.B.C.

and "thine" disappeared from the language. The man from Nantes was accused of having acted against the welfare of the people in his financial transactions. In view of Babeuf's poverty and lack of influence, Ouvrard considered his arguments about dress reform and town planning to be futile. One can well imagine Ouvrard pausing before a hoarding at a street corner to read with a contemptuous smile the communistic manifesto of Gracchus Babeuf.

For the ideas proclaimed by Babeuf fell on deaf ears in Paris, his threats had no effect. Babeuf's movement remained half-hearted, uncertain and ineffectual. Ouvrard, the realist, never had occasion to give it serious thought. In his memoirs he makes no mention of the last of the revolutionaries. Just how completely unmoved he was by the gospel of equality can be seen from the fact that he lived a life of luxury which at that time was almost undreamt of. The *faubourgs* of Paris, particularly the working-class quarter Faubourg St. Antoine, were still on the borders of starvation between 1796 and 1799, when Ouvrard was openly displaying his wealth. The number of dancing establishments in 1799 had, admittedly, almost doubled since 1795 to about 1,500, but people were still dying of exhaustion in the streets. The luxurious life of the upper classes in pre-Revolution France was now so far beyond the reach of even a few that in 1800, when Napoleon made his ceremonial change of residence from the Luxembourg to the Tuileries, carriages had to be hired for the State Councillors.

Ouvrard was one of the few who, during this period of inflation before 1800, had a very large income, and, while houses, lands, estates and châteaux were still going cheap, he invested extensively in property. He bought Preuilly with 18,000 acres of forest. By acquiring Château Neuf, Saint Brice, Marly, Luciennes and Vitry he secured his vast earnings against devaluation. Round Cologne in Gers he purchased twenty-four farms, which brought in 600,000 francs a year in rent. In Paris itself he bought the Palais Montesson in the Rue du Mont Blanc, houses in the Rue de Provence, on the Place Vendôme and in many other areas. More than one seller, who could not afford to keep his

property, complained bitterly because Ouvrard, being a merchant, would pay only in accordance with the law of supply and demand.

General Thiébault, in particular, protested furiously in his memoirs because the Château of Saint Gratien de Villedary, which his father-in-law himself offered to the General Victualling Master, was bought by Ouvrard for 350,000 francs, although Monsieur Chenais had originally paid 850,000 for it. The angry heir swore that the owner of Villedary was bemused by Ouvrard's personal magnetism, by his luxurious house, by the Grand seigneur's fine manners and finally by a well-timed bottle of champagne ("the most expensive that was ever drunk"), but this story is hard to believe. Chenais had lost his entire fortune through the revolution in San Domingo, thereby confirming Ouvrard's foresight in 1789, when he decided not to invest the 300,000 francs he had earned from the paper deal in colonial plantations. There were few people who could afford 350,000 francs for a château, and if Chenais wanted to sell he had to be content with less than half the original price. Ouvrard was not exploiting an individual but the prevailing circumstances. Chenais, in fact, was in precisely the same position as all other property owners, the value of whose real estate had dropped following the confiscation of *émigré* properties by the government. In the year 1799 alone the Directory tried to sell 125 million francs' worth of nationalized property, but, owing to a shortage of buyers, was able to dispose of only a small percentage even at very reduced prices.

One of these nationalized estates was the Château of Raincy, three to four miles outside Paris, which Ouvrard also bought. It must have been about 1797. But Raincy was no ordinary château, like the "residence with two weather-vanes" which was so much sought after, or like Vitry, Villedary and Château Neuf. Raincy was Ouvrard's great extravagance, the symbol of his wealth, his power, his social accomplishments and his scintillating personality. It was an old Bourbon property which had been inhabited by the Duke of Orleans until the Revolution. Raincy was so magnificent that in 1808 Napoleon took it from General Junot merely on the

pretext that he must have a château near Paris. Récamier, who had a country seat at Clichy-la-Charente which formerly belonged to a Duc de Levis; even Barras, who had acquired the former seat of Louis XVI's brother at Grosbois; and later Talleyrand at Neuilly—they all lived in a style befitting their station, but none of them possessed Ouvrard's consummate skill or had his truly aristocratic feeling for things cultural.

The château stands in the middle of a splendid park, which was designed by Le Nôtre. The woods are full of deer, which today gaze in anxious wonderment at the traffic streaming past from Paris. Ouvrard always regarded hospitality as "the finest attribute of wealth". After alterations had been made by the new proprietor, no house could have been more suitable than Raincy. In the splendid vestibule thirty-two Doric pillars, each one a monolith, were surmounted by an enormous entablature. The adjacent salon, octagonal in shape, was a delightful and unusually exciting room. The features, mood and colour of the figures in Lebrun's large pictures kept changing with the reflection of a thousand candles in the water of a huge basin, twenty feet in diameter, in the centre of the room. At the top of the wide staircase one entered the large Italian salon, along the entire length of which—some eighty feet—were Ionic pillars right up to the ceiling. Doors of mirror glass led to the master of the house's bedroom. But the real *pièce de résistance* of this house was the half-moon-shaped bathroom with its floor of rare yellow marble. The two enormous bathtubs, hewn out of blocks of grey-and-black Vosges granite, were the talk of Paris. A stove of verde antico gave out a comfortable warmth and when, after his bath, the master of the house reclined on a velvet-covered sofa in an alcove, he could feast his eyes on a rich fresco on the ceiling, which represented Diana and her nymphs bathing.

Twenty years later, in 1816, when the Bourbons were restored and recovered their property, the Duke of Orleans declared on seeing the bathroom at Raincy: "To create that needed a greater man than I have ever been." Here indeed Ouvrard had strained his ambition to the uttermost. Only one thing was lacking: the note of contrast struck by Fabre d'Eglantine, who also acquired his

wealth fairly quickly, and who set aside one room in his palace which contained souvenirs of his early poverty—a pallet bed, a walnut table, two straw-bottomed chairs and a dilapidated chamber-pot.

Fêtes at Raincy, which were organized by one of the leading architects of Paris, Bertheaux, always provided an impressive programme, and the guests who did not want to miss anything had to leave Paris in the early afternoon. In front of the château huntsmen blew their horns, the horses were led forward, hunting carriages drove up and the pack strained impatiently at the leash. The company moved off with Ouvrard at the head. When the happy throng returned at dusk they were greeted with hundreds of torches and coloured lanterns. The rigours of the hunt gave added zest to the luxury that followed. The dining-room was fringed by a long row of beautiful orange trees, their blossom and fruit exuding the most delicious scent. In the marble basin multi-coloured fish turned and twisted over a foundation of gold dust. The choicest of dishes were served on silver plates and golden salvers. Rare fruits from the Orient and the Occident were heaped on priceless porcelain. The walls of the adjoining coffee-room were covered with vines laden with bunches of sweet grapes. In the four corners stood shell-shaped marble basins with small gushing fountains of punch, orange-juice and almond juice. Concealed behind banks of flowers an orchestra played softly, until the time came for it to break into dance music.

But Ouvrard's hospitality was not nearly so impersonal as this glittering scene suggests. With uncommon generosity he used to offer his house and his hospitality to his friends even when he himself was not there or did not join the guests. It was also not unusual for one of his acquaintances, such as Monsieur de Norvins-Monbreton, to receive permission to spend a day with a score of his friends in the park at Raincy and to live in the charming Telegraph Pavilion. When they arrived with their picnic baskets, they found to their surprise that an excellent lunch was waiting for them, followed in due course by a no less excellent dinner. When, towards nine o'clock, tea, ice-cream, sherbet and other

delicacies were served, there was still no sign of the master of the house. He excused himself from each meal in a short note. "The reception we were given was as rich, as distinguished as one could possibly imagine, but the most distinguished touch of all was the modesty and tact of our host, who had not considered his presence fitting."

Ouvrard was certainly not exaggerating when he said later that, if visitors' books had been in vogue at that time, amongst the recorded guests at Raincy would have been not only kings, princes and lords but also the cream of the nobility, of literature and of the arts. Charles James Fox spent a whole week there hunting. Napoleon's furious enquiry as to how long his Ministers had held council at Madame Récamier's might well have been applied to Raincy after 18th Brumaire. All his leading generals, Moreau, Junot and Marmont in particular, were constant visitors. Napoleon himself went only once, to visit his War Minister when he was staying there. A number of famous women could be seen there. On one occasion Mesdames Récamier, Tallien and de Staël, the beautiful Duchess of Courland, and the seductive Visconti, the War Minister's mistress, all took the floor at a splendid ball. Another welcome guest at Raincy was Lucien Bonaparte, who on one occasion at dinner took a sensational revenge on Madame Récamier for rejecting his advances; when he asked his fellow guests for their attention and proposed a toast to the most beautiful woman present, all eyes turned to the blushing Madame Récamier, but after a brief, dramatic pause, Lucien toasted "*La Paix*": "It is Peace we all long for."

Especially favoured guests had a pavilion in the park all to themselves, so serving Ministers could enjoy free lodging on Ouvrard's estate for more or less indefinite periods. Chief among these were Talleyrand and Berthier. Ouvrard knew what he was doing, for here again his natural pleasure in social life had a firm core of commercial calculation. Berthier, Napoleon's right-hand man, lived for a lengthy period in a hunting-lodge in the park with the famous and beautiful Visconti. Raincy provided the ideal seclusion for this passionate love-affair, which was almost savage in its intensity.

Ouvrard was seldom mistaken in his assessment of the politicians and soldiers with whom he collaborated. As early as 1794, when General Bernadotte, later to become King of Sweden but at that time entirely without private means, was anxious to get married, Ouvrard advanced 50,000 francs, which was later repaid by the firm of Bernadotte's father-in-law. It may be, however, that this friendly gesture had some influence on an army contract which Ouvrard obtained under the name Boissonneau, when Bernadotte was Minister of War (1798-99). In any case he was flattered by the knowledge that he had been able to help the man, who, having begun in 1780 as a private soldier, later became Crown Prince and finally King of Sweden. Berthier became not only Minister of War but eventually one of the few men whom the suspicious Napoleon really trusted. It was Berthier who had to recover Napoleon's letters from Fouché after the dismissal of the Chief of Police. It was Berthier who was delegated to ask for the hand of the Austrian Emperor's daughter on Napoleon's behalf. And it was Berthier who in January 1806, having returned from Austerlitz to Paris a day before Napoleon, sent Ouvrard an urgent message—before he even indulged his longing for a hot bath—advising him to take “precautionary measures” against any inroads Napoleon might make on his private fortune. This advice was certainly not wasted. It is, indeed, quite likely that Ouvrard's friendly relations with Berthier, the Prince of Neufchâtel and Wagram, had already borne fruit earlier, for around 1800 Berthier was removed from the War Ministry and made Army Commander, because he had not been severe enough in his business negotiations. “He was too complaisant regarding payments due and the conclusion of new contracts.” Bourrienne, who knew everything that went on in the inner Cabinet, makes no reference to Ouvrard's benefiting more than anyone else from this complaisance. Nevertheless, he probably did.

On the whole, however, Raincy was for Ouvrard anything but a means to an end. This was the one place where his inner self found its fullest satisfaction and expression, for at heart he was a Grand seigneur with a natural talent for the grand and esoteric gesture and for a wide range of social activities. Ouvrard regarded

patronage of the arts as "one of the greatest joys of a large fortune", but to it he brought his own individual touch. He not only had his own collection of old masters but, in contrast to his contemporaries, he also commissioned a number of pictures from living artists. The whole ensemble, seen in the context of his personality, was consistent. Only one thing was lacking to make the picture complete: an intelligent and elegant wife of the same stature as himself, who would appreciate and cultivate his tastes.

Having come to Paris, a mere provincial merchant, Ouvrard had become, within the incredibly short time of five years, one of the most influential men in France. His wife could not keep pace with him. She never dared do the honours in the brilliant society at Raincy. But Ouvrard wanted to conduct the whole of his life, including his relations with the other sex, in the grand style.

So he turned to the woman who for the past five years had been the toast of Paris, Madame Tallien. On many occasions throughout the years he had seen her together with other elegant women in her salon at the Chaumière, the thatched house on the Allée des Veuves. He watched her conjure out of the social chaos of the Terror many of the former social graces of Versailles and, by sheer personal charm, attract all the influential men in the government, the army, the arts and high finance. In her salon she combined seductive grace and an air of indulgence with a strong sense of purpose; no one would ever say of her, as of Madame de Staël, that she had an extraordinarily powerful mind and an unusual command of words. But she was wholly feminine and had a woman's shrewdness. She had a full-bodied, voluptuous beauty with perfectly proportioned limbs. She liked to display her splendid white shoulders. Her pitch-black hair hung in ringlets round her face, "like a frame of polished ebony": her skin was white, smooth and fresh, her eyes were large under finely arched brows and her mouth was small with pearl-white teeth. This was a description given not by some man she might have bewitched but by a critical member of her own sex, the Duchesse d'Abrantès, who was fascinated by the beauty of those features and the "transfiguration of this apparition" by the "reflection of a gentle soul". The Duchesse felt unable to express in

words "the almost supernatural perfection" and even speaks of "an aura of divine beauty".

Madame Vigée-Lebrun confesses with the charming simplicity of a rival that she "sought in vain for a defect in this beautiful woman". Most disarming, however, is the tribute paid by the highly critical Madame de Staël, who in conversation described Madame Tallien as "a new manifestation of all that is noble and divine in the human intellect". Lamartine was particularly impressed by her temperament. "She combined in her person the fire of the South, the equanimity of the North and the grace of France. Thus she was a living embodiment of the beauty of all countries." One can begin to understand contemporary reports to the effect that people who saw Madame Tallien for the first time involuntarily uttered a cry of delight.

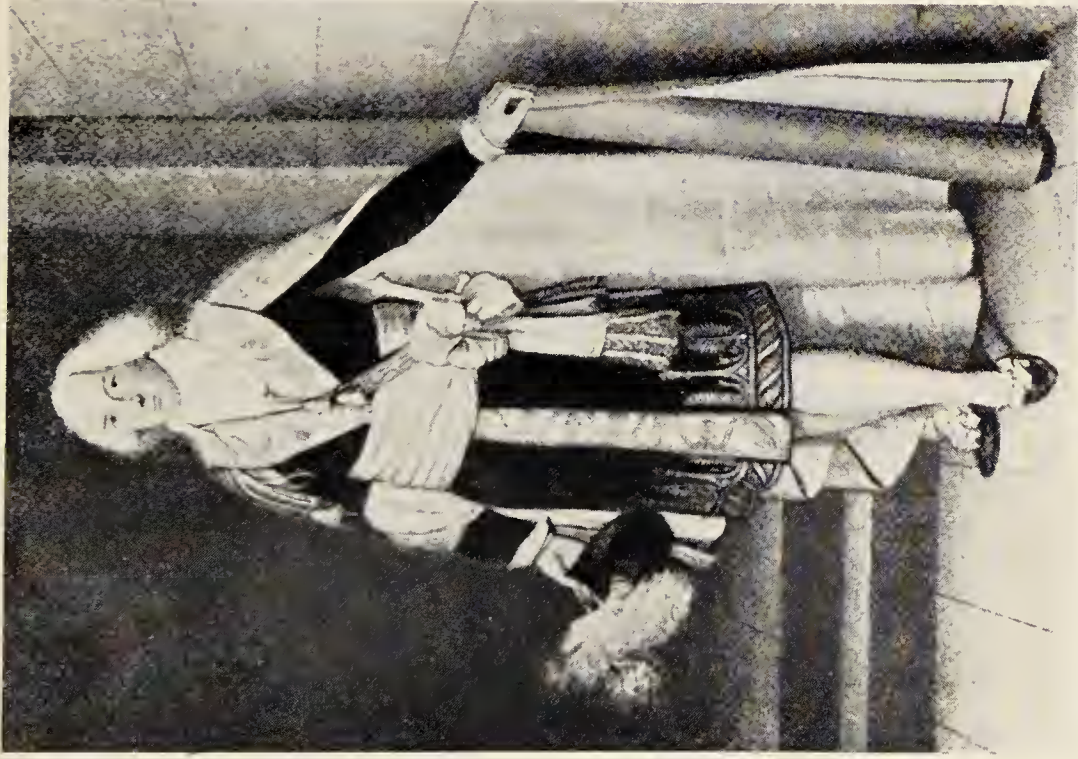
Ouvrard must have realized at a very early stage that he and this woman, to whom everyone paid homage as to a queen, were made for each other. He too was tall, nearly six foot, and well built. He had a well-shaped head, a thin mouth, a nose that was rather too sharp, and eyes that were calm yet very alive. The overall impression he gave was one of striking self-assurance, and even his enemies could not help admitting that he had great charm. He was an agreeable and highly accomplished conversationalist with a polished wit and most attractive manner. He had no need to indulge, as did the banker Récamier, in original misquotations from Horace and Virgil, which were all too often repeated.

Ouvrard and Madame Tallien had, however, much more in common than a marked similarity of personality and bearing. Ouvrard, who with characteristic reticence devoted only a few lines in his memoirs to the woman who was his close companion for several years, gave no hint of their intimate relationship when he said that "she combined courage and character with beauty and intelligence". Intellectual courage was something Ouvrard himself had always possessed. It was almost second nature to him to produce unorthodox ideas, even if others considered them disturbing or alarming, and there is no doubt that he owed much of his success to his unconventional methods. Madame Tallien's

career had shown that she, for her part, took a much bolder and more independent line than most other women in accepting the new gospel of freedom.

Born in 1773, Johanna Maria Ignatia Theresia de Cabarrus was three years younger than Ouvrard. From the beginning, however, she found it difficult to follow the examples set by her pious namesakes. A more potent force was the influence of her mother, who had allowed herself to be abducted by Monsieur de Cabarrus. When Theresia was twelve a completely infatuated uncle made a formal request for her hand in marriage. In 1788, at the age of fifteen, she married a small, red-haired Senator, de Fontenay, who lost no time in getting through her considerable fortune while having numerous affairs with shopgirls. In this hard school Theresia learned to stand on her own feet. In 1793 came her first divorce. In Bordeaux a Commissioner of the Convention, Tallien, whom she had met briefly in Paris, arranged her release from prison. He was a forceful, powerful man and she became his mistress. Once more in prison—this time in Paris—she sent a note to Tallien, saying that she had been told she was to be executed the next day. "Last night I dreamt that Robespierre was dead and the prisons were open. . . . But thanks to your cowardice there will soon be no one left in France capable of fulfilling such a dream." Three days later Robespierre fell, and she married Tallien in 1795. But the bourgeois way of life did not suit her and Tallien did not live up to his earlier promise. A new suitor appeared in Barras, a handsome, elegant ex-officer, who was the son, not of a lackey like Tallien, but of an old and noble family. Before long she was presiding openly at the table of the new ruler of France in the Luxembourg. In 1799 she was divorced but her relations with Barras remained as before.

After Napoleon became Emperor, he is said to have remarked contemptuously to Madame Tallien at a masked ball that she had had two or three husbands, and children by God knows whom! This left Ouvrard quite unmoved. As soon as he saw the possibility of winning this remarkable woman for himself, all that interested him was the singleness of purpose which motivated all her actions, the originality and consistency which were the hall-



(Above) The merchant J. J. Vanlerberghe. Lithograph by Auguste Bry. (Paris, *Bibliothèque Nationale*)



(Left) Barras, Member of the Directory. Drawing by H. le Dru. From *Kirchstein's Napoleon*, vol. III



Château Raincy in 1808. Constantine Bourgeois (del.) de Saulx (sculp.)
(*Otto Wolff Collection*)



Madame Tallien. Miniature by Isabey

marks of her character. At a time when both legality and legitimacy had disappeared from all spheres of life, the only criterion that mattered was vitality. And this woman possessed it to a much higher degree than any others he knew.

Like Ouvrard, who lent a helping hand to many, she was also kind-hearted. In Bordeaux she succeeded in taming Lacombe, the savage President of the Revolutionary Military Committee, and on more than one occasion in Paris she left her bed in the middle of the night to plead for prisoners. And if at times—though by no means always—the help she gave was not entirely disinterested, Ouvrard was both interested and amused to find a woman with such a highly developed business instinct. His early visits to her salon paved the way to an agreement with Barras. The conversation behind closed doors at Vitry bore considerable fruit, particularly his appointment as General Victualling Master of the Navy and subsequently the contract with the Spaniards. He did business with Madame Tallien's brothers in Bordeaux, and later she presented him with a son, who himself developed a marked talent for business and who was to lend him much-needed support around 1830. But most significant perhaps was the connection Ouvrard established with her father, Count François de Cabarrus, who had founded the Bank of St. Charles in Madrid. So it was through Madame Tallien that Ouvrard first became interested in the country which was later to inspire the most ambitious financial project not only of his whole life but of his century.

Perhaps the strongest of all the bonds between Ouvrard and Madame Tallien was their mutual interest in good living. They had the same passion for luxury and society. He was delighted when she added to her already considerable supply of blond, black, rust-coloured and red wigs, each of which cost 150 to 200 gold francs, for each one seemed to present her beauty in a new and charming light, or when she employed various expensive Indian shawls to lend fresh colour to her beautiful head. Madame Ouvrard had never learned the secret of encouraging and receiving gifts, but Ouvrard took a special pleasure in giving with taste and with discrimination. Madame Tallien responded to this; she took pleasure in receiving and showed it. At one point during

their liaison Ouvrard chose a particularly charming way of presenting her with a house in the Rue Babylone. He invited her one day to go for a drive in his carriage. Suddenly they stopped before a magnificent palais in the style of Louis XV. Ouvrard took a small gold key, set with jewels, from his pocket and, when they had inspected the rooms and the splendid gardens, handed it to her with the words: "Adieu, Madame, this is your home." And, indeed, when she rang, the bell was immediately answered by servants, whom Ouvrard had let into the secret.

In the circumstances Madame Tallien did not find it difficult to break with Barras and attach herself to Ouvrard. So in 1799 she ceased to be, as she was popularly known, "*la propriété du gouvernement*" and became, so to speak, Ouvrard's left hand. One of Barras's enemies, the hunchback La Révellière-Lépaux, who later tried to found a special party of his own, started the incredible rumour that Madame Tallien had been the object of a disgusting business deal. Ouvrard, it was said, had acted the lover very much against his will. He was a Grand seigneur who was prepared to sell his manhood, a gallant who, rather than forfeit profitable military supplies, agreed to relieve the head of the government of a mistress he had grown tired of. There was, of course, no truth in the story. Madame Tallien was the woman Ouvrard had long been seeking, a born mistress for Raincy, where she accepted the homage of Ouvrard's guests like a queen.*

It was at Grosbois, Barras's estate, that Ouvrard finally made his conquest. "Ouvrard and Madame Tallien", writes a contemporary, "were in adjoining rooms. The following morning,

* Wolff is here perhaps taking an over-charitable view of a not very edifying episode; elsewhere—see his dry comment on p. 107 on her "remarkable ability to sense crises in the affairs of her friends"—he recognizes her calculating nature. Her spendthrift habits were notorious. Barras either wearied of these or wearied of her and therefore passed her on to Ouvrard. Wolff omits the most amusing part of La Révellière-Lépaux' account: Barras celebrated her "hand-over" to Ouvrard by giving a ceremonial banquet in their honour, and derived much cynical amusement from Ouvrard's acute embarrassment at the figure he was cutting, for everybody knew that the guest of honour was saddling himself with a very expensive mistress, whose favours many of those present would continue to enjoy freely as they had done hitherto.—T.A.B.C.

when the hunting-horns sounded, Theresia rode one of Ouvrard's horses with Ouvrard at her side. Behind them rode two boys, one in Tallien's colours, the other in Ouvrard's livery. The couple became parted from the rest of the company. When they came down late to dinner, it was generally accepted that Madame Tallien had become the purveyor's 'friend'."

That day marked the culmination of Ouvrard's life, for, after only five years, he had virtually conquered Paris. At the age of twenty-nine he was not merely a multi-millionaire but had also won the heart of one of the most beautiful and most coveted women in France.

The Great Adversary: Napoleon Bonaparte

THROUGHOUT those five years between 1794 and 1799, when Ouvrard made his meteoric rise in Paris, there was not a single hitch, not the slightest setback. Success followed on success, both in his personal and in his business life. It was a steep and rapid climb upwards.

The picture changed when the current of events changed. So far Ouvrard had only had to deal with people who were following a similar road to his own. Barras, the bon-vivant head of the government, who constantly needed money, was the prototype of this period.

On 9th November 1799, the 18th of Brumaire, the change came. At ten o'clock in the morning a new and quite different type of man, Napoleon Bonaparte, who had returned from Egypt on 16th October, marched along the boulevards of Paris followed by a glittering escort of generals across the Place de la Concorde to the Tuileries, where the Council of the Ancients, without knowing what it was doing, issued a special decree giving the leader of the *coup d'état* supreme military power for the protection of the apparently threatened Republic.

One of the first to realize what had happened was Ouvrard. Yet even he seems to have underrated the effect this fairly open transfer of power would have on the country's economic life, for apparently he had no stake in the State rente, which rose in value within a few days from seven to thirty francs. But on the morning of the 18th Brumaire he was out early, very soon after

the unsuspecting Barras had removed his night-cap in the Palais du Luxembourg. As soon as Ouvrard drove up to the palais he realized that the situation of the man who had so often and so ably befriended him had radically changed. The Directory's body-guard had disappeared; the sentries had been replaced by Napoleon's troops. The building itself was almost deserted. Breakfast was laid for thirty people* but the chairs were empty. Ouvrard alone had the strength of character and the courage to stay with Barras in his moment of downfall. He was there at nine o'clock in the morning when General Moreau rode into the courtyard of the Luxembourg to a roll of drums and occupied the palace with half a brigade. Soon Talleyrand and Admiral Bruix appeared and forced Barras, on Napoleon's behalf, to hand in his resignation. Ouvrard's all-powerful friend became a private citizen literally overnight and from then on the only authority he wielded was on his estate at Grosbois, to which he retired.

The man with whom Ouvrard now had to deal was no stranger to him. But Ouvrard, the merchant, must have realized that the General who had just taken over power was not likely to take the same interest in business affairs as the former head of government had shown. Ouvrard remembered with disquiet how he had first met Napoleon at Madame Tallien's in 1795, when the squat, black-haired officer, then almost unknown, had come to beg for a new uniform, while Ouvrard, who was the same age, strolled round the salon a great man and a millionaire. Ouvrard had good reason to assume that Napoleon had not forgotten his first feeling of antipathy. And, in fact, from the moment he seized power, Napoleon took every opportunity of cold-shouldering and harming Ouvrard. But he had other reasons. Ouvrard's success had branded him as a symbol of the revolutionary period and this was anathema to the leader of the counter-revolution, who was destined to establish an imperial throne. Ouvrard was a prominent associate of Barras, Napoleon's enemy, whose downfall was one of his most cherished ambitions.

* Barras was accustomed to entertaining on a grand scale. On the 18th Brumaire, however, only Ouvrard sat down to breakfast with him.—T.A.B.C.

Ouvrard, the sharp-eyed habitué of the Tallien salon, knew too much at first hand about the dubious past of Josephine de Beauharnais, and Napoleon had no wish to be reminded of it. Finally, Ouvrard was fabulously wealthy. Bonaparte had always appreciated the real power of money, and for that very reason he regarded people with a great deal of money with the utmost suspicion. Of Ouvrard himself he said that a man who had thirty millions and seemed comparatively carefree was dangerous. Moreover, if he was to carry out his ambitious plans and satisfy his two overriding passions, war and fame, he himself would need vast sums of money in the public coffers. He believed that every franc a merchant earned from the State acted as a brake on his own progress.

Ouvrard, as a merchant and purveyor, was faced on 18th Brumaire with the task of maintaining his relations with a government whose new head was known to loathe the class of merchants and purveyors. To quote his own words to Bourrienne, they were "the scourge and the scum of nations", and "no aristocracy could be more intolerable". They were "sponges" which must be squeezed. "I have no love for merchants," he said later in an address to a trade delegation from Antwerp, "for a merchant would gladly sell his country for a dollar." And even in 1811, when he assured a deputation of merchants and manufacturers, who had exposed the ruinous effect of the Continental Blockade on the economy, that trading was "an honourable profession", he added a stern warning that they must be satisfied with minimum profits, a warning which showed that, at heart, he still regarded trade as legalized robbery. Not surprisingly, therefore, he came to be known abroad as the "arch-enemy of all trade", to quote a Dutch phrase, and even his closest advisers at home, such as the Minister of the Treasury, Mollien, admitted that Napoleon "was often unjustly prejudiced against the merchant class; and at the same time he liked to find excuses for delaying payments".

It is only fair to say, however, that, to begin with, Napoleon's antipathy was not entirely unjustified. In his first Italian campaign he had some shocking experiences with army purveyors. Although money for the supplies had been paid to the purveyors, the troops

were still badly equipped. English goods to the value of forty million francs, which had been confiscated for the army in the port of Leghorn, soon found their way into the hands of army purveyors, who had bought them cheaply from soldiers and officers. In Milan in the late summer of 1796 Napoleon had a number of supply scandals to deal with. Even his own generals were making money. Two million francs disappeared from the loan office in occupied Verona. His own wife even earned good commission by acting as an intermediary in dubious business deals, and Madame Talleyrand is also alleged to have received 400,000 francs from Genoese businessmen. Napoleon simply generalized particular experiences of this kind to cover the whole of the merchant community.

The uneasiness Ouvrard felt about the future on the 18th Brumaire was well founded. Napoleon was so completely biased against all merchants as "rogues" and "a pack of scoundrels" that he was quite incapable of distinguishing the good from the bad. And it was soon clear that he was also incapable of recognizing that the selling price of supplies was frequently high because of the government's unrealistic methods of payment, the amount of risk involved and the constant threat of heavy losses in interest. Bourrienne, Napoleon's Military Secretary, Marmont, his Marshal, Count Mollien, his Minister of the Treasury, and Savary, Duc de Rovigo, his Minister of Police, state in their various memoirs how difficult it was, by virtue of the number of departments involved, to settle even a long-outstanding and perfectly legitimate account.

The situation in France was not quite so bad as in Austria, where the Archduke Karl, when he became War Minister in 1792, found in the cellars sacks stuffed with 154,000 unpaid bills for deliveries which had long since been carried out. But Napoleon also clung to the general principle that, wherever possible, payments should be deferred, either permanently or long enough to force the supplier to bring down his price. His far-sighted and devoted Minister of the Treasury, Mollien, tried in vain to achieve the lowest price with the best quality by applying the principle of prompt payment. In 1803 an impartial German observer, the musician Reichardt, wrote in his *Intimate Letters from Paris* that

"if only one tenth is true of what one hears of the way the government is again . . . exploiting private suppliers, how harshly . . . it often deals with their most legitimate demands and how the ruling family is once more using them for its own ends,—then that protection must cost them dear". Napoleon did not see the connection. He noticed that though Josephine's debts were not paid for years and that though only half of the 1,200,000 francs that she owed was ultimately paid, the merchants of Paris suffered no apparent ill-effects. This merely confirmed his low opinion of commerce. And when, only a few years before Bonaparte's downfall, the banker Laffitte, by a skilful verbal manœuvre, succeeded in telling the Emperor that "trade is by its very nature a reasonable and far from aggressive occupation, which is of necessity bound to maintain stability, on which it depends for its very existence, and it only takes to opposition when it feels threatened and insecure"—even then the whole idea was still strange to Napoleon.

Such then was the man and such were the preconceptions with which Ouvrard was suddenly confronted. There were, however, certain important traits in his character which were invaluable in an emergency of this kind: his indefatigable optimism, the basic principle that he must always be solvent, and, above all, his profound sense of mission as a member of the merchant class. In 1523 Charles V was called "Emperor by the Grace of Fugger". In 1525 Bartholomæus Welser kept him afloat with two and a half millions. About the same period Sir Richard Gresham made the English money market independent of the Dutch bankers. His son, Thomas Gresham, restored the devalued coinage to its full value and rehabilitated the country's credit. The Papal Nuncio kissed the hand of John Law's daughter before an assembled company and opened the ball with her.* Louis XV

* John Law (1671-1729), a Scotsman by birth, was an adventurer and financier who succeeded in convincing the French authorities that credit creation was the only effective means of expanding their economy. He was allowed to set up the first bank in France, under royal patronage and with the power to issue its own notes; he was also granted a charter to establish a trading company in order to put into effect the famous Mississippi scheme. In 1720 he was made Controller General of the French Finances, but in the

walked in shirt-sleeves in the park at Marly with a Jew, Samuel Bernard, in order to arrange a loan. And Ouvrard may well have thought that he was destined to finance the ambitious genius, Bonaparte.

If so, Ouvrard was mistaken. Even if he succeeded in suppressing his antipathy for the conqueror in the hope of achieving his own aims, Napoleon made no such effort. True, he needed money. The 500,000 francs, which his friend Collot had placed at his disposal before the *coup d'état*, lasted only a few days. The master of France needed millions, about twelve to begin with. As early as 18th Brumaire Ouvrard offered them in a letter to Admiral Bruix, who was one of Napoleon's leading advisers. "It occurred to me that someone, who is already responsible for the major victualling services in your command, could make such an offer without indiscretion, and that you will regard this merely as proof of my devotion to the national cause, which I shall always feel in duty bound to serve." But Ouvrard waited in vain for a summons. Napoleon, it seems, was not impressed by such outspoken patriotic sentiments and preferred to go on wrestling with the finances of his movement a bit longer, before he stretched out his little finger to the merchant from Madame Tallien's salon. Ouvrard had to sit idly and angrily by, while the first Consul summoned the leading financiers of Paris on 24th November and deliberately ignored him. But at least he had the satisfaction of knowing that Napoleon, who liked to dictate, had to resort to persuasion and pleading to get an advance of twelve millions from Messrs. Récamier, Perregaux, Fulchiron, Daviliers and others, who, in the event, paid only three millions. So deep-rooted

same year both his enterprises were ruined when the speculative "bubble", similar to the contemporary South Sea Bubble in England, suddenly burst and he was compelled to flee from France. During his brief period of influence he had done some good to the French economy; however, his ill-starred schemes served only to engrain even more deeply in the minds of Frenchmen, their traditional mistrust of credit and their inclination to hoard cash and buy real estate rather than employ their savings productively. There was no State bank until Napoleon founded the Bank of France in 1800, and these prejudices severely hampered both Ouvrard's and (during the Second Empire) the Pereires' ambitious plans to develop the country.—
T.A.B.C.

was Napoleon's antipathy for Ouvrard that he even sent one of his officers, Marmont, who later became Duc de Ragusa, to Holland with extraordinary terms for a loan. The "Regent" diamond was to be deposited as security against supplies of French timber to the value of the loan. The inhabitants of a country "in which there was nothing but shrubs and bushes" (Marmont) shook their heads over this strange offer, and besides Marmont gained the impression, probably quite rightly, that the citizens of Amsterdam would have had more confidence in him if he had been acting on behalf of his father-in-law, Perregaux, than of General Bonaparte.

If Napoleon was prepared to go to such absurd lengths to borrow money, then there is no sound reason why he should not have accepted it from Ouvrard's outstretched hand. A loan is not a supply contract, and in the prevailing circumstances the risk would have fallen on the creditor, not on the debtor. Napoleon must have been swayed by purely personal considerations, and of these probably none was so decisive as the woman whose whole mental outlook and whose past had so attracted Napoleon in Madame Tallien's salon, that he felt confident he could win her away from that milieu.

Josephine, however, was the third woman who played some part in Ouvrard's life, "the good Josephine, against whom one can make no reproaches, except perhaps that she was too feminine" (Bourrienne). Ouvrard, who has recorded that "Madame de Beauharnais, by her gentle nature, her kind heart and her graceful bearing, was an ornament to Madame Tallien's circle", may have been on even more intimate terms with her. While there is no firm evidence to support this, she was "somewhat frivolous and accommodating", and, in a period when permanent bonds were frowned upon, intimate relationships were easily entered into and easily broken. In any case, she remained sufficiently friendly with Ouvrard, even after her marriage, to turn to him whenever she was short of money. When Napoleon was in Egypt, Josephine was anxious to buy the small château at Malmaison. But she could not even scrape together a deposit of 37,000 francs, much less pay the purchase price of 160,000,

although she borrowed 15,000 from a servant. There seems little doubt that Ouvrard advanced the missing 22,000, thereby committing an unforgivable crime in the eyes of the jealous Napoleon, who doubtless got to hear of this and other financial transactions between Ouvrard and his wife, even before Ouvrard's house was searched. Suspicious by nature, Napoleon must have concluded that Ouvrard's readiness to help betokened something deeper. And yet the bond between the two survived and it was Madame Bonaparte who one day warned her friend that the Consul was preparing to take certain measures against him.

Ouvrard, who was no sentimentalist, could not see why the past should prevent him from doing business with the leaders of the counter-revolution. Nor was he prepared to be ignored by a government which was indebted to him. Part of the legacy Napoleon had taken over from the Directory was the loan of ten million francs which Ouvrard had made to the State in 1798.* In December 1799, shortly after the Paris bankers had been summoned to the Luxembourg, Ouvrard put in a claim for repayment of the loan. But Bonaparte was the last person to yield to such intimidation. His reaction showed that Ouvrard had at last met an adversary worthy of him. He curtly rejected Ouvrard's claim for repayment in eight fixed instalments and decreed that he should receive instead letters of credit and national debt certificates (i.e. bills and government bonds). Ouvrard maintained that, as a result of this peculiar method of repayment, he eventually lost the money. He did not hesitate to describe it as robbery.

At first he found himself wondering whether he should regard this as one isolated act of vengeance or as the expression of a "long-term plan of deceit". He opted for the first, because he simply could not bring himself to believe that the happy days of the Directory were really over. As before, he came to the conclusion that the government was incapable of working out a proper financial policy and therefore needed his advice. So, after having already submitted his credit plan to the Committee of Public Safety and to the Directory, he went through it once again and a few days later submitted it to the new, the third, government.

* See above page 37.—T.A.B.C.

Of course, no more was heard of it, for Napoleon was so hostile to Ouvrard that it was not given serious consideration. Strangely enough, Ouvrard could not understand this. So obsessed was he with the thought of stabilizing the national finances by launching a permanent loan and setting up a sinking fund, that his normal vision was completely obscured. But Napoleon's was no less distorted. His personal feeling of antipathy deprived him of the co-operation of a man whose mental calibre was equal to his own. Later, after the colossus had crashed, Ouvrard was able to point out with understandable satisfaction that Napoleon rejected a financial project in 1799, which the Duc de Richelieu—again on Ouvrard's advice—adopted in 1817 to France's great benefit.

Although it was a project which depended for its success on public confidence and was, therefore, rather Utopian under the Directory, it would have been perfectly feasible in the more stable conditions of the Consulate. But Napoleon probably did not even look up when Ouvrard's memorandum was laid on his desk. "He told me nothing out of the ordinary; he is an ideologist, a banker. That type of person must of necessity have limited views." This was Napoleon's opinion of Necker and it was a standard cliché with which he condemned and brushed aside men like Ouvrard.

Napoleon was, however, not content merely to ignore Ouvrard. He had not forgotten that he had had the temerity to stand up to the new ruler and demand his money back at a highly inconvenient moment. So Ouvrard's great adversary played a second trump card. He ordered an enquiry into the victualling of the navy. Forfait, the new Minister of Marine, was one of Napoleon's most trusted men. There could be no doubt what the General wished the enquiry to reveal; faulty deliveries and illicit claims were, in due course, reported. It is impossible today to judge an investigation of this kind, for it was subject to no normal legal control and did not even allow of an appeal. It was a method that suited Napoleon admirably, for he had never shown any inclination to subject his own judgement to that of a court of law. On 27th January 1800—less than three months after Napoleon came to power—he ordered Ouvrard's arrest.

The skill with which Ouvrard chose his friends was once more apparent. Josephine sent a message from Malmaison to warn him what her husband intended to do. For "the charming Madame Bonaparte had not forgotten a few small services which I had rendered her in the earlier stages of our social life". Help even came from the fateful session of the State Council. One of Napoleon's Councillors—probably Cambacérès—who had tried in vain to save his friend from disaster, managed to send a pencil-written message with his coachman: "You are to be arrested; make for a safe place and issue any statements you have to give from there." It was one o'clock in the morning when the note was handed to Ouvrard's door-keeper with express instructions to give it to his master before he entered the house.

It seems that Ouvrard had time to put his papers in order before the house was searched, but this respite was hardly necessary. Anything he had to conceal was not likely to be in black-and-white. In his memoirs he himself referred ironically to the informality of "business usages" under the Directory. So there was little for him to do. But he could not resist the temptation to take a slight revenge. Amongst his correspondence were several perfumed letters from a lady, with whose handwriting Napoleon was only too familiar. Ouvrard deliberately left them on his desk, with the result that Napoleon's worst suspicions were confirmed—that Josephine, even after her marriage, had repeatedly received money from Ouvrard for Malmaison and for her personal expenses. Napoleon was furious. The blow to his vanity was all the greater because these documents had been seen by a third party.

Ouvrard gave himself a breathing-space of three days, then surrendered to the police. It was characteristic of him that he always faced up to his opponents, even when his position was morally, legally or politically unfavourable. He never once tried to run away, although on most occasions he could have escaped arrest. In the last resort this policy always paid dividends. On this occasion, in January 1800, when he paid his respects to the Prefect of Police, he learned that he was merely to be subjected to a kind of protective house-arrest. On his return home he found

that every article of furniture containing documents had been sealed. To judge by Bourrienne's account, Napoleon was far from pleased by Ouvrard's self-confidence. "The fool does not know what is in store for him. He would have the public believe that his hands are clean, but he is playing a dangerous game. He won't get the better of me. Let him talk as much as he likes! You can be sure, Bourrienne, that, when such a man has money, he cannot have acquired it honestly—besides, all such people with money are dangerous. In a revolutionary age no man should have more than three millions, and even that is too much."

Ouvrard's arrest created a tremendous sensation in Paris. The merchants of the capital were extremely alarmed by the high-handed way the new man had dealt with their most prominent colleague. A deputation of twelve businessmen was sent to Napoleon to impress upon him the disastrous effect such action could have. Meantime for several days there was a steady stream of visitors to Ouvrard's palais, where more than five hundred people called to sign their names in his visitors' book as an expression of sympathy. Ouvrard himself, encouraged by the widespread indignation, wrote a courageous letter on 31st January:

Général,

In defiance of the laws, which protect a citizen's property and person, you are threatening my freedom. In time of war and in a general's tent such an act might perhaps be tolerated, but in France and committed by the Head of State it must arouse the indignation of all decent people who are conscious of their rights.

If you are of the opinion that I have behaved contrary to the law, then allow a court of justice to decide. Till this happens, I shall not cease to protest against your action. While I may not be able to prevent your despotism, I can at least warn my fellow citizens of the danger that threatens them.

The remarkable thing is that Napoleon beat a partial retreat. Ouvrard was actually set free, although he remained under

police supervision. The financial dispute continued. Six State Councillors spent several months studying his papers and finally estimated the value of his property, money and securities at twenty-nine million francs. The outcome of the investigation was never recorded. But, after all that had been done, said and written, Ouvrard made a surprising offer to the government: he proposed to send the State Treasury the sum of 14,167,680 francs (livres), until such time as a balance-sheet had been drawn up of the income and expenditure of the former Chief Purveyor to the Army. By a formal decision of the Consuls the offer was accepted. Ouvrard carefully omits any mention of this in his memoirs and nothing more was heard of the fourteen million francs. There is no way of knowing whether this was a repayment to an overdrawn account, a refund to cover overcharging, or perhaps something quite different, a simple acceptance of power politics. At all events, Ouvrard had to submit. He also had to write off the ten millions lent to the Directory. Still worse, he was relieved of his post as Victualler-in-Chief to the Navy. His assurance that "he had always had the country's welfare at heart" did not help.

One would be justified in assuming that Ouvrard, in disgrace, was finished. Yet only a few weeks later, in March or April of the same year, 1800, Ouvrard could be seen re-entering the War Ministry. He had suddenly been summoned to play a decisive part in preparing Napoleon's biggest venture so far: a new Italian war, the Marengo campaign. Ouvrard, whose self-confidence played him many a trick, was convinced that Napoleon himself had summoned him and had finally crossed the Alps on his advice. After all that had gone before, this is unlikely. A much more probable explanation is that Ouvrard's personal contacts had once again proved their worth. Berthier, the Minister of War, was still living at Raincy, where he occupied one of the delightful pavilions in the park with his mistress, Madame Visconti. Berthier had full powers to plan and organize the whole campaign, so he restored his friend to the position from which Napoleon, who now had other things on his mind, had only recently removed him. On this occasion, however, Ouvrard had to share the

business with a grain merchant, Ignace-Josephe Vanlerberghe, who was reputed to be a shrewd businessman and had acquired the post of Head of General Supplies. But Ouvrard had only to concede a third part of the contract and had no difficulty in coming to an agreement on prices. From then on he had a partner who understood him, who shared his optimism, who admired his energy, and who did not quarrel with him when things went badly. Nor did the government make any difficulties. There was an atmosphere of reconciliation and rejoicing when the Battle of Marengo brought Italy back into the French fold on 14th June 1800.

Although the Italian campaign came to an end without any personal summons to Ouvrard from Napoleon, the great moment arrived earlier than either of them had really expected. In the year 1802 a situation arose which was very similar to that of the 18th Brumaire. Bonaparte was in a cleft stick. This time it was not so much ready money as practical advice that he needed. Prices had risen so steeply that in places there was a state of near-famine and of anarchy. Grain stores had to be guarded by soldiers. In Amiens and various other towns the granaries had already been plundered. Napoleon was faced with the choice between making himself unpopular by using force and losing authority by turning a blind eye. He turned once more to the bankers. Eight of them appeared, led by Perregaux, Récamier and Fulchiron. But they merely shook their heads. This was not their line of country. Supplies could be dealt with only by an expert. Napoleon now had no option but to turn to Ouvrard. The great moment had come. Bonaparte was forced to admit that the merchant whom he had so contemptuously maltreated was now indispensable to him.

It was eleven o'clock at night when Ouvrard and Vanlerberghe were summoned. That same night they arrived at Malmaison. Napoleon explained that he did not want money but help in organizing food supplies. In the special circumstances Ouvrard and Vanlerberghe were willing to accept only 2 per cent commission. They set to work immediately. By means of express couriers they bought up all the grain shipments which were

either lying in Dutch and English ports, or which were due there. The grain was transferred to Havre and Rouen and distributed from there.* In quite a short time the operation was completed, popular unrest died down, and order was restored.

The whole transaction had cost the tidy sum of twenty-six million francs. When the time came for the government to pay, the trouble began. Napoleon "had literally rushed at our offer", Ouvrard reported. "He made no difficulties and raised no objections, promised everything we asked for, accepted all our conditions, and all this with a joy and gratitude, which in that hour of need were certainly sincere." But when the hour of need had passed, Napoleon had forgotten everything. He had suddenly lost interest. In vain Ouvrard and Vanlerberghe presented the bills for the twenty-six million francs when they fell due, bills which had been made out to them personally. The government had no money. It was prepared to pay only the commission, but, having failed to get the partners to agree to halve their commission, it refused to pay even this. Months went by and nothing happened. Napoleon has recorded that he never forgot anything and never changed his mind. "The State always calls upon me in an emergency," said Ouvrard, "but once the emergency is over, my services are rewarded with bankruptcy."

Nevertheless, in May 1803, when Napoleon proposed that he should take over naval supplies again, Ouvrard did not refuse. Bonaparte had certainly not forgotten that he had previously cancelled Ouvrard's contract in the most high-handed way, but he had apparently learned not to allow his personal feelings to interfere with the work in hand. In 1803 he was preparing to make a landing in England. Ouvrard, for his part, simply could not say "No". In spite of all his previous experiences, he could not resist the prospect of a major business transaction which would continue for six years, but, quite apart from that, the government owed him so much money that he could not afford to reject the offer.

* It was possible to buy grain in England as the two countries had been at peace since the Treaty of Amiens, concluded two months before, in March 1802.—T.A.B.C.

Once again Ouvrard and Vanlerberghe joined forces. Building up a large landing-force, which was quite a new type of operation, was incredibly expensive, and a year later, in April 1804, when they worked out their first statement of costs, the government, according to Ouvrard, owed them 67,845,000 francs. Napoleon acknowledged receipt of the statement with a satisfied smile: "Soon Ouvrard will not even have any breath left." And, indeed, even Ouvrard, who appeared to have unlimited resources to draw on, gradually found himself in serious difficulties. Ouvrard and Vanlerberghe had to advance the State so much money, not all of which could come from their own pockets, that, according to Ouvrard, the overdraft finally reached the staggering figure of 46,296,000 francs. The government paid only a little and slowly. Ouvrard alone was twenty millions out of pocket in April. He and his partner had no alternative but to mobilize their private property. Ouvrard lost, amongst other things, half of his twenty-four estates round Cologne in Gers and with them an annual income of some 300,000 francs. Vanlerberghe had a complete mental breakdown.

These frequent incidents are so striking that one finds it hard to believe they could really have happened. But there is not the slightest doubt they did. And other merchants fared no better at Napoleon's hands. Even his friend Collot, who contributed 500,000 francs free of interest and at considerable personal risk to enable Napoleon to carry out his *coup d'état* on 18th Brumaire, was just as shabbily treated. Bonaparte behaved towards merchants—Bourrienne's comparison was very apt—more or less as he behaved towards the Beys in Egypt, whom he squeezed for money. Even the faithful General Rapp, when he tried to find excuses for Napoleon, merely succeeded in making matters worse: "Whenever a creditor, whose rights were indisputable, had to be paid, doubts were sown in his [Napoleon's] mind about the justness of the demand (precisely because he was so anxious to have doubts); he was encouraged to reduce the amount by half, to a third, frequently even to nothing at all." Ouvrard in his forthright language called this a long-term system of swindling.

In fact, Napoleon's very pronounced concept of ownership

rested on two things. Napoleon displayed no contempt for money where he himself was concerned.* As Consul he began with a fixed annual salary of half a million francs. As Head of the Italian Republic he earned a further half-million a year. Half a million came from the Treasury to put the Tuileries in order for him. Alterations to Malmaison cost three million, to St. Cloud six. The imperial coronation ("*le pape sacre un fin démon*") swallowed another 500,000 francs in direct expenditure alone. In 1802, the year in which Ouvrard and Vanlerberghe found it impossible to get the bills for the famine relief honoured, Napoleon spent thirteen million francs on household expenses. A year later they had increased to more than sixteen million. His wife's personal allowance alone amounted to 600,000 francs. In the cellars of the Louvre he had treasures collected during his campaigns worth 500 or 600 million francs, which none could touch except himself. Not uncharacteristic was the repayment of Josephine's debts (600,000 francs) in 1800 from a fine of four and a half million paid by the State of Hamburg to Napoleon, naturally as the representative of France.

There might be a hint of meanness in calling someone to account for his millions, when his unlimited power opened up unlimited financial possibilities, but Napoleon could hardly complain of being judged by standards which he applied so arbitrarily to condemn others. Compared with Robespierre's puritanical life or even the modest style in which Pitt lived, he amassed enormous wealth. And with a remarkable absence of logic he encouraged luxury and riches in his officers and statesmen but branded it as a vice in merchants, to whom it was, after all, a part of their environment. He heaped expensive gifts on Talleyrand, although they were paid for by the State. The principality of Benevento, which he bestowed on him, brought an annual revenue of 1,200,000 francs. And the same Talleyrand, who managed to combine the two professions of politics and business, was allowed

* English readers are accustomed to regard Napoleon's tastes in clothes, food and personal needs as having been simple in the extreme; it therefore comes as a surprise to learn of his profligacy. However, the recollections of his valet Constant, quoted in Bourrienne's *Memoirs of Napoleon*, make it clear that this was so.—T.A.B.C.

to increase his private fortune unmolested from eighteen to fifty million francs. As Foreign Minister, Talleyrand made an estimated profit of ten million merely by his advance knowledge of the terms of the Treaty of Lunéville and the repartition of Germany. Though on a lesser scale, Berthier had an annual income of one million francs.

Claims of that kind were promptly met, but merchants not only went empty-handed, they even made advances that ran into millions. When Ouvrard and Vanlerberghe finally realized this, in March 1804, it seemed to be too late. Ouvrard had to dispose not only of his estates round Cologne in Gers but also of the Château Neuf, Saint Gratien de Villandry, Saint Brice, Marly, Luciennes, a house on the Place Vendôme and even his own town house, the Palais Montesson in the Rue du Mont Blanc. Raincy, over which Madame Tallien still presided, remained his for the time being.

During the past few years, however, the house in the Rue du Mont Blanc had become almost more important than the château outside Paris. If, in spite of Napoleon's more or less official hostility, in spite of the general change of climate, Ouvrard had succeeded in remaining in the forefront, this was due as much to the social talents he had developed, even in the new era, as to his genius as a merchant and his indispensable professional knowledge. Around 1800 the Rue du Mont Blanc was the "millionaires' row" of Paris. Necker had lived there. In the same house, which his daughter Madame de Staël could not afford to keep, the beautiful Madame de Récamier entertained everyone who was anyone in Paris. The banker Perregaux also lived there. Nearby, at the corner of the Rue de Provence and the Rue Cérutti, the banker Laffitte took over the Hôtel de l'Empire. So, when Ouvrard moved into the Palais Montesson around 1800 and enlarged it by buying the house next door in the Rue de Provence, he chose a brilliant setting. Ten years later the palais became the official residence of the Austrian Ambassador, Prince von Schwarzenberg.

Ouvrard had the good sense to allow the former owner, Madame de Montesson, a charming old lady, to continue to occupy her apartments, and carry on her social life as before. She was

the morganatic widow of the Duc d' Orleans and had the best possible connections with any who had survived from the ancien régime. (Moreover, Napoleon held her in very high esteem. By one of those accidents of history, it was from her hands that he had received a mathematics prize at the military academy of Brienne in 1783.) He saw with pleasure how a new social group was formed from past and present, drawn together in his house by her magical charm and gaiety. So for the fourth time a woman appeared at a critical moment to act as Ouvrard's sponsor. Madame de Montesson's function was quite different from that of Madame Ouvrard, Madame Tallien or of Josephine de Beauharnais, but it was none the less important. In the evenings when hundreds of candles blazed throughout the palais, when carriage after carriage drove up, when Napoleon's friends entered in their brilliant uniforms, then not merely the material but also the moral and social foundations on which Ouvrard's life stood were broadened and strengthened.

His social status was still of enormous importance to him in this period from 1799 to 1804. This princely way of life had become a form of natural self-expression. He had an immense, spontaneous capacity for enjoying life, and even the frequent clashes with his great adversary merely served to underline his remarkable resilience. Moreover, in good or in bad times, he was always generous, particularly where the neglected arts were concerned. A characteristic example of this, and one which was known to only a few people, is shown by an incident which occurred at the beginning of the Consulate.

He visited a musical "Studio" in the Hôtel de Salm, where excerpts from an opera by an unknown composer, Nicolo Isouard, who later became fashionable, were performed before one of the most distinguished audiences in Paris. As Ouvrard left the house, he found bailiffs waiting in the courtyard with a writ for 3,000 francs, the alternative being imprisonment in the debtors' prison. To his astonishment Ouvrard learned that the unfortunate victim was none other than the composer whose music had so delighted him. Without a moment's hesitation he paid the debt and the following day he wrote a charming letter to the composer,

informing him that the debt had been settled and adding, almost apologetically, that he was enclosing a further sum of money. "As the finder of the writ takes a lively interest in your future and knows all too well how material obstacles may weigh like lead upon the most splendid ambitions and impede their progress, he begs you to accept the ten bank notes of 1,000 francs each, which you will find enclosed. Do not thank him, sir, for what is to him a trifle compared with the success the future will bring you. All that he expects of you, however, is that you will continue on the course you have chosen, that you may make ever-increasing efforts to deserve the fame which awaits you, and the pleasure this must give him will surely far outweigh the small service which he now asks you to accept."

One can easily imagine what it meant for a man, who was accustomed to make such gestures, to find himself pushed to the very brink of financial ruin in 1804 by the Napoleonic government's methods of payment. When he was suddenly compelled not merely to liquidate the greater part of his estates but also to dispense with his town house, the lights went out in the palais in the Rue du Mont Blanc. For the remaining two years of her life, Madame de Montesson had to seek shelter elsewhere, and Ouvrard had to make a supreme effort to maintain a reasonable standard of living and ensure that his chances for the future were not completely destroyed.

This, then, was the situation at the end of Ouvrard's second five years in Paris. For the time being at least, his great adversary was in full possession of the battlefield.

The Great Expectation: the Mexican Silver Treasure

OUVRARD'S fall, demonstrated by the sale of his palais in the Rue du Mont Blanc in 1804, was so dramatic that one would have expected to find him hobbling painfully on financial crutches. All his commercial interests had been so severely damaged that one would have at least assumed that he would be forced on to the defensive. And his experiences with the Napoleonic régime had been so disastrous that one would have thought any further interest in doing business with the State must have disappeared.

On the contrary, Ouvrard remained an incurable optimist, whose faith in his destiny was unshaken. He needed no crutches as long as he could draw on the vast, almost inexhaustible, reserves in his brain. He watched impatiently for an opportunity to launch a fresh offensive. For him the contest with his great adversary was by no means decided, and whenever an opportunity arose to take his revenge on the government he seized it without a moment's hesitation.

Even although the time had come when his whole future was uncertain, Ouvrard felt no need to call on special reserves of energy. He did not even have to look far for a new and ambitious plan of action. For several years he had been brooding on a commercial project of prodigious dimensions. Now more than ever, when everything was at stake, he had one great expectation: the silver treasure of Mexico. If he could succeed in releasing those hundreds of millions that lay captive, his own personal gain would be enormous.

The prospects were good, for Ouvrard had established excellent relations with Spain, the country to which Mexico and the transatlantic treasure belonged. He had connections there with such men as Monsieur de Cabarrus, Madame Tallien's father, who controlled the Bank of St. Charles in Madrid. Also since 1797 Ouvrard had been in official contact with the Spanish Government, which under a long-term agreement with the Spanish Prime Minister had entrusted him with the victualling of the Spanish fleet in French harbours. And Ouvrard arranged in the most cunning way for this close link to be formally sealed: when Napoleon gave Prince Louis of Bourbon-Parma the Kingdom of Etruria in August 1801, the royal couple, though official guests of the French Government, lived in Ouvrard's house, the Palais Montesson. For two months, while his guests moved to and fro between his house and the Tuileries and were the talk of Paris, Ouvrard had ample opportunity to make himself indispensable. As usual, he spared no effort and no expense. He even had the charming idea of commissioning the famous furniture maker, Jacob, to produce a special ebony cradle for the fifteen-month-old Crown Prince.* Naturally the Spanish Ambassador, Chevalier d'Azara, had sent detailed reports to Madrid, so the desired effect was duly produced and Ouvrard received a flattering letter of thanks from Charles IV.

This cordial relationship proved of very real value. A year later, in 1802, when Ouvrard sent his brother to America on a reconnaissance tour, he was given the highest recommendations from the Spanish Government to the Viceroy of Mexico. In Mexico City itself Ouvrard had considerable interests, for Spain, cut off from her overseas gold reserves, had to pay for her naval supplies from 1797 to 1800 with letters of credit on her Mexican treasure. The Treasurer of Mexico himself conducted Ouvrard's brother to the Treasure Chamber, in which, over the years, seventy-one million piastres or about 350 million francs had been amassed. The French merchant's representative was shown four million piastres—about twenty million francs—which had been

* Napoleon later gave it to the Empress Marie-Louise in exchange for a hundred-year-old state coach.

set aside to cover Ouvrard's letters of credit. The bags of coins were actually labelled as Ouvrard's personal property. Ouvrard, the apostle of credit, felt almost intoxicated when he heard of this vast supply of cash.

Moreover, Ouvrard was naturally impressed by the scrupulously correct business methods of the Spanish Government, for he had become accustomed to receiving nothing but promises from Napoleon and uncovered promissory notes from his Ministers. He decided to do everything possible to extend his business dealings with such a loyal government. The precise nature of them was a foregone conclusion, for it was clear that Spain's only real source of capital was her colonies. Ouvrard's plans were also confirmed by the reports he received from his brother, who spent a whole year studying the economic situation in each of the various American countries, their products and their sources of revenue.

It is one of many remarkable coincidences in Ouvrard's life that the first opportunity to put his Spanish-Mexican plans into operation, after years of careful preparation, finally came in 1804, the same year in which Napoleon drove him to the brink of ruin. Faced with the most desperate crisis of his career thus far, he turned all his attention to what was the most ambitious project of his whole life. The acute financial difficulties in which the Napoleonic government again found itself gave him both his incentive and his opportunity. In spite of his enormous military expenditure, Napoleon still refused to accept credit of any kind or to tolerate any other form of revenue except taxes and State levies. But when, as in 1804, no war contributions could be imposed, because the actual battles had not yet been fought, then the government's coffers were emptied in a matter of months. At such times Napoleon was like a captain of industry who had more imagination and intellectual capacity than financial skill. He acted like a man who builds new factories, buys the most modern machinery, installs new furnaces and opens up new branches without bothering to find out if the finance department of his firm has the necessary money.

In the circumstances, it was not surprising that Napoleon's

Minister of the Treasury, Monsieur Barbé-Marbois, treated Ouvrard as an unwelcome visitor when he called on him on 4th April and reminded him of the twenty million francs still owing to him for the preparations for the landing in England. Ouvrard, who was usually better informed about what went on in the various Ministries than the Ministers themselves, naturally foresaw that he would not be given a very warm reception. The reminder was only intended as a pretext for renewing business dealings with the government. The plan he brought with him was admirably designed to give him the revenge he was seeking. Just as the government had not hesitated, when he had completed his deliveries, to take full advantage of his defenceless position, so he was determined to exploit the government's acute shortage of money. Barbé-Marbois confessed that he was in desperate and immediate need of fifty millions and that the bankers had refused to let him have it. Without batting an eyelid, Ouvrard, who had just been compelled to sell many of his estates and even his town house, offered to obtain that sum. The Minister was astounded, moved and delighted. But it was now Ouvrard's turn to lay down conditions: the fifty million must include the twenty million which the government owed him. In this way all the debts would be paid at one and the same time, and, furthermore, the new loan, which was a purely financial transaction, was something very different from the commercial credit, which the government had shrugged off with all kinds of moral excuses. Ouvrard was no longer prepared to accept mere friendly assurances. The government must provide full security and the best at its disposal, namely, general tax-collectors' debentures.

Dealings in these debentures, covered by taxes and customs duties, which usually took fifteen to twenty months to reach the Treasury, were subject to special legal restrictions. They were equivalent to hard cash, could not be discounted and were designed exclusively to cover Ministerial bonds. Ouvrard's proposal was, of course, simply that these debentures should be discounted through him, and at no less than 9 per cent per annum in his favour as against the 6 per cent discount of the Bank of France, which, however, apparently had not thirty million to spare at

that moment. The government's financial position must have been really critical at the beginning of April, for Napoleon, surprisingly enough, signed this contract without hesitation.

This was a deal after Ouvrard's heart. It was a great success, despite the fact that he must certainly have borrowed the thirty millions, which he had to pay on top of his own outstanding credit. But the success of this operation was by no means his sole interest. He regarded the whole affair as a prelude to his great Spanish-Mexican venture. Previously he had only supplied Napoleon with goods. Now he was his government's banker, the financier who had saved it from bankruptcy. As such he found himself on quite a different footing which made it much easier for him to develop his foreign contacts.

The decisive moment came two months later, when the Minister of the Treasury, faced with a further crisis in the nation's finances, was forced to ask Ouvrard again for help, this time for 150 million francs. It was hard to reconcile this kind of situation with Napoleon's brave words in 1805, which were intended for foreign consumption, that "finances based on a healthy agriculture cannot be undermined". Yet on 8th June 1804 another, highly unfavourable, agreement was signed by the government. It had to surrender further tax-collectors' debentures to the value of 150 million francs, while receiving only 102 million: the remaining forty-eight million was to cover still more debts outstanding from previous supply contracts between the War Ministry and Ouvrard and Vanlerberghe, who had joined forces with him. A third person was involved in this latest gigantic deal, an entrepreneur and engineer called Séguin. Twenty years later Ouvrard was to spend several years in prison as a debtor to Séguin. But for the moment the position seemed extremely satisfactory. Ouvrard had become even more actively involved in France's financial administration, and it looked as if the country could not survive without his helping hand. Now, at last—how the situation had changed since 18th Brumaire!—he could be sure of a fair hearing, if he came forward with suggestions for sources of revenue.

The sources which Ouvrard proposed to tap were, in fact, not

new; all he had in mind was ways and means of collecting revenue owing but not paid. He had a personal interest in this, for France's main debtor was none other than Spain. The Spanish Government had agreed—somewhat reluctantly—to give Napoleon an annual subsidy of seventy-two million francs, but, in spite of all the Emperor's pleas and threats, not even the first instalment of thirty-two million had been sent. Napoleon's mistake lay in reckoning upon fixed sums, which Spain, in the circumstances, simply could not pay. Nothing could have been more unrealistic than his remark to Charles IV in January 1805, that there was no reason why he should be short of money, for all he had to do was to sell the treasures of the Knights of Malta and impose a patriotic levy on clergy and religious orders. And a few years later, when the tide had started to turn against Napoleon in the peninsula itself, he still boasted that he would get 2,000 million francs out of Spain. Ouvrard was much more realistic. He knew the situation in the country from many economic reports and realized that there was only one way to be sure of receiving the Spanish subsidies of seventy-two million a year: the Continental Blockade must somehow be broken, so that Spain could once more draw on her transatlantic resources. The silver treasure of 350 million, on which Ouvrard's brother had feasted his eyes in the Mexico Treasury in 1802, must be mobilized.

The blockade of Continental ports by the British fleet had been so effective that such a plan seemed preposterous and no one took it seriously. So Ouvrard contented himself with offering to raise the first thirty-two million francs in Madrid itself, without referring to the vast project he had in mind. In order to be sure of clearing at least the first hurdle, he even acceded to Barbé-Marbois's request—though not without difficulty—to advance the money before he left. Where Ouvrard found a further thirty-two million is a complete mystery, but he had become so obsessed by his dream, which now seemed about to come true, that he threw caution to the winds. His scheme involved reconciling the political and economic interests of Napoleon and France with those of Charles IV and Spain, taking British interests into account, and—last but not least—also expanding his own

business interests. The aim in itself was a bold and ambitious one, but its really decisive and original feature was the method Ouvrard had chosen to realize it.

At the end of September 1804 he left for Madrid. Barbé-Marbois was reluctantly obliged to relax his grip on the coat-tails to which he had been clinging in his hour of need. Ouvrard had not yet crossed the Spanish frontier, when a pathetic letter from the Minister caught up with him: "... I can no longer doubt that you are really on your way to Madrid. I... implore you once again not to depart before you have settled the outstanding business. ... I count upon your zeal and your shrewdness. ..."

Letters such as this, official compliments of the most flattering kind, the realization that he was indispensable, and the magnetic attraction of a goal that was now in sight, all combined to give Ouvrard an exhilarating sense of assurance, which made success seem almost inevitable.

But if Ouvrard, who had been given the rank of State Commissioner, thought that he could start negotiations as soon as he stepped out of his carriage, he was gravely mistaken. It was his first visit to Spain, and he suddenly found himself in an atmosphere that was completely new and even alien to him. He had come from an enlightened country, in which a revolution of unprecedented violence had broken with a past which had long since ceased to have any real meaning; he now found himself suddenly in an ancient monarchy whose State ceremonies were conducted with a centuries-old ritual. Accustomed to a modern style of dress, he now met courtiers who might have stepped straight out of pictures of Louis XIV's battles. Every step he took in Madrid brought fresh surprises:* the large number of monks in the streets, the heavy carriages which looked exactly like the coach in which Philip V had entered the city, the rigid etiquette, the gothic traditions, the Spanish love of formality. Ouvrard, the enlightened Frenchman, did not make the mistake of laughing at all this. The spontaneous respect he felt for these traditions proved,

* He committed his first *faux pas* when he politely declined a cigar offered to him by the lady sitting—and smoking—next to him at his first dinner party.

almost without his knowing it, to be an excellent psychological introduction to the work he had to do.

He was in urgent need of some such introduction, for, in the last resort, he was a mere merchant. He was neither a Minister nor a general, neither a diplomat nor a prince; he had no aristocratic connections, no centuries-old family tradition behind him. He was, it is true, on a mission for the French Minister of the Treasury, but his mission was not particularly welcome in Spain. The Spanish Government had observed with understandable disquiet that France, the creditor, had sent her cleverest merchant to collect money, countless millions which could be much better spent in Spain itself.

So when Ouvrard made his first overtures to the appropriate government authorities he was told the same hard-luck story as he had heard so often from Napoleon, that Spain wanted to pay and would pay, as soon as she had the money, but that she had none and was not likely to have any "until such time as it pleases Providence to ease our present situation". Ouvrard, in fact, had to admit before long that the accounts of Spain's critical financial position were not exaggerated. The country's basic needs were not being satisfied, and even the Court—which really meant something in Spain—had not been paid the 500,000 francs for the annual visits to the various royal residences. But the most serious problem was an acute food shortage, which only money could overcome.

Ouvrard was unique in that he was not prepared to leave it to Providence to solve the Spanish problem, which also happened to be France's and his own. More to the point, perhaps, he had to convince the Spanish Government that he, and he alone, had been sent by Providence to solve it. And he must bring this conviction home to the man who really counted in the Spanish Government. This man was not hard to find. The government was dependent on the King, the King was dominated by the Queen, but the Queen was completely swayed by her lover, Godoy, Prince of La Paz.

Here Ouvrard's business interests led him into an unusual family idyll. The central figure was Godoy, who had arrived in

Madrid in 1788 as a humble officer in the Royal Bodyguard. Charles IV took a liking to the tall, volatile young officer, but he appealed even more to Queen Marie-Louise. She was a little voluptuous woman, who had no pretensions to beauty but was starved of love and, according to Napoleon, her secret leanings and her past were clearly written in her face. Godoy had developed into a splendid specimen of manhood. (Though according to Napoleon he looked like a bull.) He became the last word in elegance and was an accomplished performer on the lute. He also acquired consummate skill in political intrigue. Charles IV and his wife showered favours on him, and soon Godoy, who knew how to make the most of his opportunities, was—to quote a tactful expression of the period—seeing the Queen at very close quarters. Charles, however, remained unmoved. Secure in the knowledge that he now had in the family, so to speak, a man who could be trusted to carry the entire burden of State affairs, he was able to devote all his time to the only two passions in his life, hunting and the supervision thrice a day of several dozen clocks. He was perfectly happy to be a mere figurehead and was not in the least put out when Napoleon wrote to him in 1803 that the whole of Europe was horrified by the scandal and expected him to dismiss Godoy and remount his throne. Far from following Napoleon's advice, he made his wife's lover Prince of La Paz, and gave formal recognition to a situation that had existed for some time by officially appointing him Prime Minister of Spain. Godoy was also made Commander-in-Chief of the Army and Grand Admiral of the Fleet. The King heaped official and private presents on this avaricious man, and he even sided with him in numerous quarrels with his own son Ferdinand.

Such was the man with whom Ouvrard had to come to terms, if his political mission, the payment of the subsidies, was to be successfully completed. The prospects of an agreement were not inconsiderable, for Godoy, like Barras, was not uninterested in feathering his own nest. Ouvrard mustered all his social talents to conceal the carrot and the stick with which he was plying the ruler of Spain. He assured Godoy that he was hewn from the same wood from which Napoleon made his kings, but, at the

same time, threatened him with the Emperor's fearful wrath. Undoubtedly he also offered him a financial incentive.

Soon all that Godoy lacked was not the will to pay but the opportunity. This came as no surprise to Ouvrard, who may even have preferred such a deadlock, for it enabled him to unfold his great plan. The scheme was doubly unusual in that it entailed restoration of the finances of a whole nation by a foreign merchant.

Ouvrard gradually explained to the Prince of La Paz, with whom he usually took morning chocolate, a programme, which can be summarized as follows:

1. Internal stability is a prerequisite of any national economy with international ramifications; for that reason the government must solve the famine problem by finding supplies of grain.

2. The agricultural productivity of the peninsula and with it the national revenue must be increased; this could easily be achieved by a land reform whereby property belonging largely to the clergy or the nobility, which for the most part was lying fallow, would be divided up and handed over to peasant farmers for cultivation; the approval of Rome would be necessary, and compensation for the mortmains would be paid in the form of annuities, which would become part of the national expenditure.

3. The Spanish money lying in the Mexican State Treasury, which had been rendered immobile by the British blockade, must now be transferred, in spite of the renewal of hostilities. This was not impracticable; all that was necessary was to entrust Ouvrard with the task.

4. Spain must pay France the promised subsidies without waiting for this project to bear fruit, in order to avoid complications and to fulfil her contract; this would require temporary financial measures in the form of loans (for example in Holland), which should be fully covered.

5. The government must also set about paying off its internal debts without delay.

6. In order to carry out large-scale public development plans to increase national productivity (the building of roads and bridges and irrigation), a long term National Debt should be



Minister of the Treasury, Barbé-Marbois. Lithograph by Delpeche.
(Paris: Bibliothèque Nationale)



Fouché, Duke of Otranto. Painting by Claude Marie Dubufe



King Charles IV of Spain. Anonymous contemporary engraving. (Paris, Bibliothèque Nationale)



Queen Marie-Louise of Spain. Engraved by Esteve. After the drawing by Bauzil. (Paris, Bibliothèque Nationale)

established, which would be backed by an independent and well-endowed sinking fund.

7. An essential prerequisite for the efficient implementation of all these proposals was a sound banking system; the Bank of St. Charles, founded by M. de Cabarrus, should be turned into a kind of national "Bank of Spain", and the establishment of provincial banks was also essential.

During those weeks, while Ouvrard was devoting all his energies to working out his plans in Madrid, he received another urgent letter from Barbé-Marbois: "See that all gold and silver coins are despatched to Paris as soon as you receive them, so that we do not have to wait too long—I count upon your zeal. . . ." One can imagine Ouvrard's scornful smile as he consigned the unsuspecting Minister's letter to the archives.

But even in Madrid the men he was dealing with were not much wiser. His whole plan was so bold and many of its ingredients, such as the land reform, were so far in advance of the times that Ouvrard was forced time and again to employ all his powers of persuasion. On one occasion the Prince of La Paz invited the Finance Minister to morning chocolate to hear Ouvrard expound his ideas. On another occasion the Queen came. Marie-Louise, however, seemed more interested in displaying her affection for the Prince and in showing how informally she could behave with him than in listening attentively. Yet Ouvrard felt that her visit had helped to further his cause.

It was, on the other hand, not so much his ideas as his actions that carried conviction. Not unnaturally his audience was only prepared to take his miraculous powers seriously if he could provide a few samples. Ouvrard did not hesitate to supply them. To begin with, he provided the 500,000 francs which the Court needed for its official journeys. Then he pointed out that, before leaving Paris, he had himself arranged an advance payment of thirty-two million on the Spanish subsidies, and he declared his readiness to be a very forbearing creditor—in other words to grant a sort of moratorium. The Spaniards were also very pleased when Ouvrard, at Barbé-Marbois's request, signed an agreement

on 24th October 1804 to pay a further instalment of the subsidies direct to Napoleon and thereby replace France as creditor. His major triumph, however, was the efficiency with which he dealt with the famine in Spain. The situation was such that most of the bakers in the country were unable to continue work as the price of a fanega of flour (roughly a bushel) had risen fivefold to over a hundred francs; infectious diseases were spreading and the government appeared to be helpless.

In November 1804 Ouvrard contracted to supply the Spanish markets with 100,000 tons of grain. Two couriers were despatched, one to London to ask for—and obtain—free passage for the grain-ships through the blockade, the other to Paris to get Napoleon's permission to export the required quota of wheat, which France could do without. The Emperor, businesslike as usual, imposed only one condition: four francs per hundredweight or a net gain of eight million would go to the French Government. Ouvrard could afford to accept this, for he himself would still reap a profit—though a gross profit—of eight million. Most of this, however, was to disappear, for no sooner did the announcement appear in the Spanish newspapers that Ouvrard would be selling 100,000 tons of grain on the Madrid market at twenty-six francs a hundredweight, than vast hoarded stocks of flour appeared as if by magic. The announcement alone had been sufficient to end the famine, and, before Ouvrard's first grain ship had reached Spain, the price of a fanega had dropped from 100 to 18 francs. The government was suddenly placed in the very embarrassing position of not knowing what to do with the 100,000 tons it had guaranteed. Ouvrard had no alternative but to co-operate by cancelling some of the shipments.

This was, however, in his own interest, for he had not come to Madrid to make a profit of a few millions but to gain access to the wealth of the New World. And, indeed, his transatlantic plans were now taken much more seriously in Madrid. On 26th November and 4th December 1804 an agreement was signed, which is unparalleled in economic or political history. The terms of the main agreement and the collateral agreement, the texts of which are given in the appendix, can be summarized as follows:

I. The contracting parties were Charles IV of Spain and Gabriel Julien Ouvrard.

II. They set up a company with monopoly powers.

III. This company was given the official title of "François Ouvrard & Co." (not, as it should have been, "Julien Ouvrard, Charles IV & Co.").

IV. The contract was to remain valid as long as the war between Spain and Britain lasted, which was likely to be many years.

V. Sole managing director of the company was Ouvrard.

VI. The firm was given exclusive rights in the following:

(a). The transfer of all gold and silver coins in Mexico belonging to Spain.

(b). The transportation of all goods imported by Spain from America into Europe or exported by Spain from Europe to America.

(c). The sale of all goods imported by the Spanish Government from America to non-Spanish ports in Europe.

VII. Ouvrard's profit would accrue from the following sources:

(a). Commission, i.e.

$\frac{1}{2}$ per cent on the transfer of gold and silver coins,

1 per cent of the Continental value of all goods exported to America or imported into Spain,

2 per cent of the proceeds from the goods imported from America to non-Spanish ports in Europe;

(b). A personal trade concession, which gave Ouvrard the right to at least one third of the freight space on each ship;

(c). The direct costs, as well as the commission, were to be charged separately. Spain, for her part, undertook to cover a percentage of the basic transport costs, the local incidental expenses, the insurance, and the cost of obtaining the letters of safe conduct from England.

One can imagine Ouvrard's delight when Charles IV set his name and seal under this long and detailed agreement: "Approved, I the King." Ouvrard had all the more reason to be pleased, as the government immediately took steps to carry out its side of

the bargain. Ouvrard received 500 open trading concessions, in which the destinations of the ships were left blank. By 18th December 1804, only a fortnight after the conclusion of the agreement, he had already been given 752 government bills of exchange on the Treasury in Mexico and on the firm of Garochi of Madrid. They totalled $52\frac{1}{2}$ million piastres or $262\frac{1}{2}$ million French francs! In addition a second contract was signed which gave Ouvrard two further important privileges: he was to raise a loan for the royal consolidated fund and was empowered to import silver dollars, which were rare in Paris, from Mexico into France. Ouvrard was not exaggerating when he reported to Barbé-Marbois that "no private firm had ever been entrusted with more important and more useful business to transact", and he had every reason to feel confident that "this undertaking should have the most positive effect upon both the French and the Spanish national credit, trade, industry and all other factors, which contribute to the prosperity of the State".

This was certainly the view held in Spanish Government circles, and honours fell thick and fast on the merchant Ouvrard from Paris, who, from the moment he had ended the famine, had been looked upon with awe in Madrid as a worker of miracles. He was the talk of the capital. The Prince of La Paz, who was not in the habit of giving presents, sent him eight splendid horses. The Finance Minister Soler invited him to stay at his house and placed an apartment at his disposal. Soon, in fact, the only honour which had not been accorded him was formal presentation at Court. There was one obstacle: etiquette. Ouvrard had a somewhat easier passage than Madame d'Abrantès, the wife of General Junot, who in 1805 had to don a crinoline for the occasion and made a laborious entry like an overloaded pack-mule, only to fall flat on her face at the crucial moment. But Ouvrard wore his hair cut short in the new French fashion, a Jacobin coiffure as the Spaniards called it, which was quite unsuitable for a royal reception. So he crammed an enormous powdered wig on his head and the brilliant success of his visit to Madrid was crowned by formal presentation at Court.

Ouvrard had no difficulty in resisting the temptation to

abandon himself to a round of social engagements. His one absorbing interest in life was still his work. Moreover, no one knew better than he how difficult it would be to carry through the immense venture on which he had embarked. The first problem was to acquire the English letters of safe conduct. To begin with, free passage must be obtained for the ships carrying the Mexican piastres. An agent was despatched to London by way of Lisbon, but he found the English even less co-operative than he had expected. Ouvrard had reckoned quite rightly with the English merchants' shortage of cash and had assumed that, if he offered to get American silver to England, the British Government would put aside all political considerations. But war had once again been declared on 12th December 1804. Pitt argued that the English trading houses were bound to transfer the silver, or at least its equivalent, to Spain, thereby lending aid to the ally of his arch-enemy. On the other hand, there were several individuals and companies in London which were actively interested in the deal and gave Ouvrard their support. In particular, the banking firm of the Baring Brothers and the East India Company exerted all their influence to convince Pitt that the benefit to England's trade would be considerably greater than to Spain and France. Pitt gave a certain amount of ground but only to the extent of allowing four English frigates to pass through with silver from the Mexican State Treasury. This would, naturally, cover only a part of the money—although it transpired later that the ships transported some fourteen million piastres, or about sixty million francs—and the affair suddenly became extremely complicated. So it was more important than ever that Ouvrard should find a large trading concern of world-wide connections to collaborate with him.

Just such a concern existed in Amsterdam, at that time the world's leading trading centre, in which, as early as 1650, there were no fewer than 500 certified brokers. The most important firm in Amsterdam was the House of Hope, acknowledged throughout the world to be the leading merchant-bankers of their time. They had immense stocks of colonial produce in every port on the Continent and considered themselves the equals of any

reigning sovereign in matters of finance. At the head of the firm were two outstanding men, Henry Hope and P. C. Labouchère. Ouvrard called on them in Amsterdam in April 1805.

His departure from Madrid was not merely triumphal, it was a public occasion. Ministers and nobles paid him farewell visits; cheering crowds lined the streets as his carriage passed. But with the Hopes in Amsterdam Ouvrard found a much more sober atmosphere. Ouvrard, proud of the spectacular agreement he had reached with Charles IV, began by explaining his far-reaching plans: gold shipments, Mexican silver dollars, exploitation of American mines, transatlantic loans, import and export of goods and foodstuffs, the virtual removal of the Continental Blockade, all this echoed round the quiet room in disorderly abandon. The first reaction of Ouvrard's audience to this enthusiastic outburst was one of mute astonishment: Hope and Labouchère looked at one another, obviously wondering if this man was out of his senses. They were accustomed to thinking and acting daily on a continental and even transatlantic plane, but they owed their phenomenal success to a profound sense of realism, which forbade them to risk a single gulden on ingenious commercial propositions, which had nothing but their ingenuity to recommend them. But gradually they were forced to admit that Ouvrard was not just a visionary. He produced the contract with its twenty-four clauses, bearing the joint signature of the merchant Ouvrard and King Charles IV and the royal seal of Spain. Then he laid bills of exchange for 250 million francs on the table, and they began to take him seriously.

For Ouvrard a great deal, if not everything, depended upon Hopes assuming the responsibility for carrying out his Spanish contract. No other concern in the world had the means at its disposal to carry through an essentially long-term transaction of this magnitude. But most important of all was the fact that Ouvrard could not have succeeded by himself. The painstaking, systematic and essentially prosaic task of execution did not appeal to Ouvrard. Out of his fertile mind and his restless blood sprang a constant flow of ingenious plans, but once the plans were completed he soon lost interest in them. He spent his

millions lavishly, and it never occurred to him to save. He lacked a sense of order and method; he had none of the ordinary business man's vigilance; being essentially far-sighted, his long-range vision was astonishingly clear, but he neglected to take the necessary precautions for more immediate situations. On the other hand, Ouvrard was apparently aware of his own qualities and shortcomings, for, as his first big operation, the paper deal of 1789, showed, he confined himself to the overall planning of business transactions, leaving any profit he might have made from detailed execution of his plans to other merchants.

In Hope's office in Amsterdam he submitted to a minute cross-examination. He was asked to give a detailed account of all his contracts with the various Ministries in France and Spain, a precise statement of his capital reserves, of his financial position as a whole, and of the ready cash at his disposal at that time. This cross-examination was conducted by hard-headed businessmen who, unlike Ouvrard, were not in the habit of juggling with millions, and he did not come out of it too well. Hope and Labouchère were not able to gain the sort of clear picture that they, as cautious financiers, would have liked. The solvency of their new client, who appeared in some doubt as to how many of his millions were owed to him and how many owed by him, was not conclusively proven.

For the first time in his life Ouvrard was up against men of his own profession who were his equals, and even, in the last resort, his superiors. It was characteristic of him that he immediately bowed to their superiority and accepted unconditionally the proposals which they, after a few days' reflection, put before him. One of the two parties had to show confidence; as Hopes knew too little of Ouvrard and were generally recognized to be the most stable and most reliable firm on the Continent, it was clearly up to Ouvrard to show confidence. Ouvrard agreed when he was told quite bluntly that, if he set any store by this transaction, he must surrender all initiative, rely entirely upon Hopes' discretion, relinquish any right to interfere in the execution of his plans, give his approval in advance to whatever the outcome might be, accept in advance the balance-sheet drawn

up by Hopes and for this purpose sign twelve blank letters of credit. Moreover, Hopes agreed to cover only a part of the transaction, namely, to take up the trading concessions and to negotiate the Spanish bills, the sale of which involved the enormous sum of 250 million francs and, in view of Pitt's refusal to let further silver shipments through the blockade, would present problems enough. But Hopes were also prepared to issue a loan in favour of the Spanish Government of thirty million Dutch gulden (sixty million francs). The 500 trading concessions were to be taken up in Ouvrard's name against a commission of 5 per cent of the total turnover, but Hopes had to meet the cost of the agencies. When the bills covering the Mexican piastres were redeemed, Ouvrard was to be paid not at the theoretical rate of five francs but at three francs seventy-five. Ouvrard understood, agreed and signed. On 6th May 1805 this contract was also completed.

Whatever might happen, the spectacular agreements he had concluded in Spain seemed now absolutely certain to reach fulfilment. So Ouvrard had every reason to feel extremely pleased with himself. And yet, although all he had to do was to sit and wait till Hopes brought the Mexican pigeons home to roost, his voracious appetite was far from satisfied. Before long he was back in Madrid enjoying an extra titbit. Supplementary contracts were signed giving him the concession for the lead and quicksilver mines at the average price for the previous ten years and finally making him sole supplier of the government's tobacco monopoly.

Ouvrard's dream, to become owner or guardian of the silver treasure of Mexico, was about to come true. Not surprisingly, Ouvrard was a very happy man, and the Spanish Government, for its part, was thankful for his help. On the other hand, Barbé-Marbois in Paris was feeling anything but happy. His letters to Ouvrard became more and more frequent, urging him to hurry back home, where his presence was urgently needed, for the Minister could no longer guarantee the continuance of the national exchequer. The unfortunate man was quite unfitted for such a difficult post.

If Napoleon appointed Barbé-Marbois head of the newly

created Ministry of the State Treasury in 1801, it was mainly because he attached more importance to complete honesty than to any other quality, including competence. Barbé's uprightness was certainly beyond dispute, and no one has ever spoken of him without paying tribute to his sense of justice. Although he usually gave a rather comic impression with his long, lean body dressed in an inordinately long red velvet coat and white vest and with a face that was invariably sombre and even sinister, yet he commanded universal respect. Born in 1745, he had been a school-master, Minister of Marine, Consul General in North America, Administrator of San Domingo, Counsellor in the Foreign Office, Lord Mayor of Metz and Secretary of the Council of Senators, before Napoleon gave him office. But, despite his varied career, he had lost none of his mental sluggishness. This did not particularly disturb Napoleon, as he preferred to do everything himself and to have obedient servants around him. It must have amused him to know that Barbé-Marbois had written a book entitled *The best method of giving people a taste for virtue* and that his pen was active in the interest of the cultivation of clover and esparto grass (1803). Napoleon's sole reason for calling him a blockhead was that "he imagines that one should not lie".

Entrusting, of all things, the nation's finances to such a man was bound to place the country in peril when Napoleon was absent for any length of time, as was the case in the summer and winter of 1805, which he spent preparing and conducting the Austro-German campaign. A Finance Minister, who was anxious to create a popular taste for virtue, was not likely to be a match for someone like Ouvrard, whose vast, long-term plans could only be launched with substantial government support. Barbé-Marbois realized too late that Ouvrard had not only transferred no money from Spain to tide over the crisis in France but had invested, though only temporarily of course, the reserves of the Spanish National Treasury. Worse still, Ouvrard's friends had adopted special measures to lay their hands on the last of the nation's funds and had almost forced the Bank of France to close down.

How this whole affair, which was eventually to ruin all Ouvrard's brilliant plans, came about remains something of a mystery. On 4th April 1805 Ouvrard had offered the State fifty million francs, less the twenty million owing to him. On 8th June Barbé made a fresh appeal and received a further private loan of 150 million, this time, however, against the equivalent in bonds or debentures issued by national tax-collectors. Ouvrard, who now enjoyed the complete confidence of the government, came forward at this point with his plan to collect the outstanding Spanish subsidies—seventy-two million a year—and, in order to make his position absolutely inviolable, paid, at Barbé's request, the first thirty-two million of the Spanish money out of his own pocket. Ouvrard did not hesitate to cover this advance, which had been squeezed out of him, in a way that Barbé could not entirely control. As a businessman Ouvrard realized that an insolvent creditor, like Spain, can only be expected to pay when he has become solvent. But to make someone solvent costs money. To make a country solvent costs millions, and, if the Treasury is empty, these millions can only come from tax revenues, the national reserve. This was the source from which Ouvrard met the personal expenses of the Spanish Court and set up the Consolidated Fund in Madrid, which issued its own notes. The amount in question must have been at least thirty-six million but was very probably as much as $36 + 24 = 60$ million.

Ouvrard was able without great difficulty to use the bonds as cover for the notes, because Barbé was completely at the mercy of the bankers. When Ouvrard travelled to Spain as a State Commissioner in September 1804, the Minister of the Treasury needed someone who would be responsible for arranging payment of the loan of 150 million francs pledged by Ouvrard and his friends, Vanlerberghe, Séguin and Michel, against the delivery of bonds on discount. Napoleon himself sought out this key figure: it was Desprez. The banker Desprez was already a member of the Board of Directors of the Bank of France, to which, so to speak, not even a messenger could be appointed without Napoleon's personal approval. He had been for some time *persona gratissima* with the Emperor's entourage and had formerly spent ten years

as a Treasury official, where he was a colleague of Dufresne, the Director to whom Napoleon paid eloquent tribute for his love of order and matchless probity. So it is hardly to be wondered at that everyone, and particularly Barbé-Marbois, placed almost unlimited confidence in Desprez. But Desprez was no longer a government official, he was a banker, who suddenly found himself leading an informal group of the most gifted business men in France and who felt it incumbent on him to show what he could do.

He had no difficulty in arranging that Roger, the Secretary of the Treasury and the Minister's right-hand man, should be given the authority to hand over to Desprez any bonds the latter might demand in return for the equivalent in notes. And notes were by no means confined to drafts issued by various government departments (which would have been in accordance with Treasury regulations) but also included bills of exchange and private promissory notes of all kinds. This meant, in fact, that the Treasury was completely in the power of Ouvrard's representative and that Roger, the Secretary of the Treasury, had virtually become an employee of the bankers. And very soon he confirmed this by accepting the substantial sum of 1,200,000 francs.

In these circumstances Ouvrard had naturally no difficulty in obtaining from Desprez as many bonds from the Treasury as he needed for the Madrid Consolidated Fund. In exchange the equivalent in bills from the Spanish "mint" found their way to the Treasury. Although for the moment they were virtually worthless, they would acquire their full value when the Mexican transaction was completed. Had matters been left like that, Ouvrard would never have acquired the reputation of indulging in dubious speculation. But Ouvrard and his friends could not resist the temptation to exploit the fantastic situation, whereby it was they who decided how much in the way of reserve bonds should remain in the Treasury. Not only was Desprez responsible for collecting and paying in the 150 million, not only was Ouvrard responsible for making Spain solvent, but Ouvrard, Vanlerberghe and their friends continued to hold the monopoly for supplies to the army and the navy. This enormous expenditure, which

ran into many millions, had always been reimbursed in the past by promissory notes payable by the Treasury, but, as Ouvrard and Vanlerberghe knew from painful personal experience, most of them had only been met, on Napoleon's instructions, years later and even then only partially. Now that Napoleon was away at his headquarters, an opportunity presented itself of turning the tables. They arranged immediate payment for all their deliveries and—an unforgivable sin in Napoleon's eyes—they even took generous advances instead of advancing the money themselves. All this was done with the aid of bonds, some of which were privately discounted, while others—contrary to all agreements—were sold.

Desprez did not have strong enough moral fibre to resist so many temptations. He saw wonderful prospects opening up before him, if only he had further means at his disposal. He took advantage of his seat on the board of the Bank of France to talk his fellow directors into honouring or discounting drafts bearing the most dubious signatures. On one occasion Desprez lent the firm of Grammont in Bordeaux fourteen million francs, although this same firm, according to Ouvrard, was unable to obtain even 200,000 elsewhere. Napoleon, from his field headquarters, began to criticize Barbé-Marbois, accusing him of being duped by Desprez because, for example, he had drawn a bill for one million on the paymaster of Arras, who could not pay. Bills of this magnitude were presented by Desprez, perhaps even bought up cheap and fully honoured by the bank. At one point the Bank of France had only one and a half million left in the till—and ninety-two million in claims.

The most remarkable feature of this situation was that for every five million Desprez received he needed twenty-five. He had managed to arrange for official instructions to be issued to tax-collectors that the amounts due on their debentures should be paid not to the Treasury but direct to the man who then owned them, Desprez, and, for the time being, a simple receipt was to be accepted. Desprez made the most of this by himself issuing a circular letter in which he promised higher rates of interest to tax-collectors who made abnormally prompt cash

payments. But instead of returning these honoured bonds to their drawers, he deposited them with the Bank of France and—used them as security for further loans! This, of course, was plain, unvarnished swindling.

Meanwhile, Desprez's financial juggling, in the course of which he had drawn millions upon millions from the bank, had been so successful that the Bank itself was no longer solvent. It took the obvious course of presenting to the tax-collectors what appeared to be its most valuable securities, namely, the bonds which had long since been paid, only to get back in return the receipts issued by Desprez. This was in November 1805. The result was not only a major scandal but also a bank crash, for Desprez had precious little of the money left, particularly as, in an access of megalomania, he had set himself up as financial backer of some highly dubious firms and had lent no less than fifty million francs. By August the bank's position was seriously undermined, and in the second half of September—immediately after Napoleon moved out into the field—the Bank of France had to limit its payments. Anyone presenting paper money could cash only a thousand-franc note. Night after night people queued up in their hundreds in the Place des Victoires, hoping to be the lucky ones the following morning. Then, in November, the crisis reached its peak. Bank notes dropped as much as 12 per cent in value. The police had their hands full, coping with a crowd of 2,000 people in front of the bank. Barbé-Marbois proposed in the Council of Ministers that the salaries of officials should be reduced to a quarter. When the bank finally came to the end of its resources, it chose a roundabout way of suspending payments: a thousand-franc note could only be cashed if it was presented with a certificate from the bearer's local Town Council confirming that he was in financial straits. Anyone fortunate enough to advance thus far received a written summons and, as the bank was playing for time, a bagful of hard cash was counted out, coin by coin. All major transactions, however, came to a standstill. Amongst these was the transfer of money to Madrid. As Ouvrard's Consolidated Fund was not yet self-supporting, it collapsed with a bang that resounded throughout Spain.

So Ouvrard, the State Commissioner, was brought down by his own representative, Desprez, in his capacity as head of the financial group. Robbed of his financial resources, Ouvrard could no longer hope to make Spain solvent. And yet no sooner had he returned to Paris than he made it clear that he still believed—and with some justification—that the Mexican project was as sound as ever. Once the Central American silver had reached the Continent, then all the other problems, including the bill-protests against the Consolidated Fund in Madrid, would solve themselves.

Ouvrard was not even shaken in his conviction by the behaviour of Desprez and Vanlerberghe. Like many other concerns, Vanlerberghe had been very hard hit by the bank crisis, and when he too found it impossible to obtain any more money from the government he suddenly announced that he would have to declare himself bankrupt, if he did not receive an immediate payment of twenty-six million francs for past deliveries. In the Council of Ministers the War Minister voiced his dismay, protested that, without the co-operation of the merchants, he could not keep his department going nor could he find adequate substitutes, and urged that the twenty-six million be paid. Then came a sudden thunderbolt from Napoleon. Joseph Bonaparte, Cambacérès and Barbé-Marbois received letters reprimanding them for even considering such proposals. In the meantime, following the Battle of Austerlitz on 2nd December 1805, the economic situation in Paris had taken a turn for the better. Ouvrard's optimism was once again borne out by events, for, without any change in the status of the Bank of France since the suspension of payments, it suddenly became solvent again. The thrill of victory revived so many hopes, that the run on the bank stopped and no one thought any more of converting his paper money.

This could not, of course, bring back the millions which Desprez by his sleight-of-hand had conjured out of the Treasury's coffers into his own pocket. Nor could the bills of the Consolidated Fund in Madrid, which were lying in the Treasury vaults and ran into tens of millions, be turned into hard cash

overnight. But this was precisely what the victorious Napoleon was concerned about, when he found time to look at the financial reports from Paris. With mounting dismay, with indignation, with the fury which always assailed him when he lost money but which the sacrifice of thousands of human lives never aroused in him, he saw through Desprez' swindle, Barbé-Marbois's stupidity, and the illicit use of bonds to borrow money for Spain instead of producing cash from it. He gave due warning in writing of the frightful retribution to come.

When it did come, following Napoleon's return to Paris on 26th January 1806, it exceeded even the worst fears of all concerned. Although the Emperor did not carry out his threat to return with all speed in order to clean up the financial mess—on his way back from Vienna he remained almost three weeks in Munich to marry off his stepson Eugène Beauharnais to a Bavarian princess and, contrary to his normal practice, spent one to two days in Augsburg, Stuttgart, Karlsruhe and Strasbourg—he had no sooner reached Paris, at ten o'clock at night, than he ordered the chief culprits to report at the Tuileries the following day. When Barbé-Marbois entered the Imperial presence, he said, with bowed head: "Your Majesty, I bring you my head." To which Napoleon gave the characteristically brusque reply: "Much good that will do me, you stupid lout." In a letter to Joseph Bonaparte that same day, 27th January, the Emperor wrote: "I arrived in Paris last night. I was indignant at the incompetent manner in which M. Barbé-Marbois has conducted my finances. I relieved him of his portfolio. I have appointed State Councillor Mollien to succeed him."

The meeting, to which this brief account referred, was in fact long and dramatic. It lasted from eight in the morning until five in the afternoon, a nine hours' ordeal for Barbé, Ouvrard, Desprez, Vanlerberghe, Roger, Mollien and the Finance Minister, Gaudin.* The first hour was the worst. Napoleon stormed and raged, his eyes flashing fire. He threatened to lock up all the

* The Minister of Finance was the Minister responsible for the collection of revenue, while the Minister of the Treasury controlled expenditure.—T.A.B.C.

merchants in the Tower of Vincennes and have them shot. Even Ouvrard admitted that this first outburst of rage was terrifying. Desprez broke down and wept, while the Secretary of the Treasury, Roger, tried to stammer out excuses. The only one who remained apparently unmoved was Ouvrard. It was in crises of this kind that he was at his most impressive. He sat there completely motionless, silent, impassive, waiting patiently for the storm to pass. When it finally subsided and one could hear oneself speak, it was Ouvrard who acted as spokesman.* Ouvrard took advantage of the next eight hours to save what could still be saved.

The text of a decree was read out, making the financiers jointly liable for the sum of eighty-seven million francs. "What security can you give?" Ouvrard replied without hesitation: "Sire, the Treasury will be paid, if you let us go free." Napoleon was not prepared for such an enormous commitment to be accepted so promptly. He took Ouvrard aside to one of the windows, where a more earnest exchange followed between the two great adversaries.

NAPOLEON: Monsieur Ouvrard, you degrade the ruler by turning him into a trader.

OUVRARD: Sire, trade is the life's blood of a State; it can manage very well without rulers, but not rulers without it.

NAPOLEON: Nonsense. Do you guarantee to make good the deficit?

OUVRARD: Yes, Sire.

NAPOLEON: Good. I rely upon you. I shall issue a new decree placing the piastres and other securities, which are with Hopes, at my disposal.

OUVRARD: But consider, Sire; England will not permit the export of these piastres, when she learns that they belong to Your Majesty, and, as for Spain, she will cancel our contracts.

* Napoleon's presence did not have the same effect on him as on the witty and much-fêted Madame de Staël, who confessed that she became "as stupid as a goose".

P L A N

d'Une Negotiation de TRENTE MILLIONS FLORINS Courant d'Hollande, à 51 pour Cent d'Intérêt, pour Compte de Sa Majesté Catholique *DON CARLOS*, Roi de Castille &c. &c. &c., sous la direction de Messieurs HOPE & COMP., seivant principalement, à la liquidation de tous les Capitaux et Intérêts échus dont la dite Majesté est redevable a la Hollande, Conformement aux principes d'équité et de regularité qu'elle a toujours manifesté.

Cette Negotiation sera faite pour quatorze années Consecutives a courir du 1^{er} Novembre 1806. et le remboursement s'effectuera en douze termes annuels d'un douzieme Chacun, à commencer le 1^{er} Novembre 1809.

A chaque terme de remboursement outre le Capital, il sera payé 5 pCt. de prime, de maniere que chaque Obligation de f 1000 : — sera acquittée en f 1050 : —

Sa Majesté Catholique prend a sa charge les droits de timbre pour l'Obligation principale et pour les Obligations partielles ainsi que ceux qui pourront exister par la suite.

Pour sureté de cette Negotiation sa Majesté Catholique a engagé tous les revenus de son Royaume, et il a été remis a Messieurs HOPE & COMP. comme surcroit de surété les mandats suivans sur la Caisse Royale a Mexico les quels calculés a raison de 32¹ par Florin balanceront le montant de cette Negotiation avec prime et intérêts, savoir

N ^o .	1.	echant le 1 ^{er} Juillet 1807 de	pf 1,031,250.
	2.	— — — — — 1808 —	• 1,031,250.
	3.	— — — — — 1809 —	• 2,671 875.
	4.	— — — — — 1810 —	• 2,585.937.
	5.	— — — — — 1811 —	• 2,500,000.
	6.	— — — — — 1812 —	• 2,414,063.
	7.	— — — — — 1813 —	• 2,328,125.
	8.	— — — — — 1814 —	• 2,242,187.
	9.	— — — — — 1815 —	• 2,156,250.
	10.	— — — — — 1816 —	• 2,070,313.
	11.	— — — — — 1817 —	• 1,984,375.
	12.	— — — — — 1818 —	• 1,898,437.
	13.	— — — — — 1819 —	• 1,812,500.
	14.	— — — — — 1820 —	• 1,726,563.
			pf 28,453.125.

Avec leurs lettres d'avis, pour être en tout temps appliqués au besoin, à l'accomplissement des stipulations de l'emprunt, de telle maniere que Messieurs HOPE & COMP. jugeront le plus utile aux interessés.

Les dits mandats ainsi que leurs lettres d'avis et la cédule Royale, relative a cette Negotiation seront déposés, chez le Notaire Mr. G. VAN HOMRICH, avec faculté de les delivrer a Messieurs HOPE & COMP. a leur requisition, pour en faire l'usage necessaire.

Les Recepissés provisoires a fournir par Messieurs HOPE & COMP. pour les fournissements, dans cette Negotiation, seront retirés et échangés aussitôt que possible, contre les Obligations partielles, pourvus de leurs Coupons d'intérêt.

Amsterdam 25 Mai 1807

Prospectus of a loan-issue for Spain by the firm of Hope. (Amsterdam, in the possession of the firm of Hope)



NAPOLEON: Then I will march to Madrid myself; with five hundred thousand men one can do anything.

OUVRARD: Your Majesty can achieve anything with one clever man; with five hundred thousand you will not achieve much.

When Ouvrard recorded this conversation in his memoirs twenty years later he probably put down much of what he wished he had said together with what actually passed between him and the Emperor; not a few of the phrases he claims to have used were much too bold for so critical a situation. But the fact remains that in that conversation he paved the way for a businesslike and strictly commercial solution of the crisis. At the same time, Napoleon's financial conditions were extremely harsh. The first decree, which had been read aloud at the meeting and which accused the financiers of having "embezzled" millions and "employed them for private business deals", was soon followed, on 6th February 1806, by a second in which even harsher conditions were imposed on Ouvrard, Vanlerberghe, Michel and Séguin for the honouring of all securities. And shortly afterwards, following a report by Mollien, the total sum to be refunded was increased from 87 to 141 million francs, again, of course, without any process of law or independent administrative enquiry. Any bills belonging to the financiers which could be found were immediately confiscated; their private fortunes disappeared, and their warehouse stocks were requisitioned. Those like Desprez, who could not pay, were flung into the debtors' prison of Sainte-Pélagie.

Worst of all, Napoleon tried to lay his hands on the securities Ouvrard had deposited with Hopes. His first attempt was so arrogant and clumsy that it failed. To a letter, in which he made the quite unnecessary accusation that the gentlemen in Amsterdam had earned quite enough out of the Louisiana deal, he received a cold and negative reply. When Napoleon followed this up by sending Baron Louis to make a final settlement, Hopes answered: "We are in no way obliged to inform you whether Monsieur Ouvrard has money deposited with us or not. You yourself must

surely realize that your demand is most unseemly." But, as Spain was in no position to stand up to the Emperor and as Ouvrard was out of action, the Spanish-Mexican project, which Hopes were on the point of putting into operation, went up in smoke. "That marked the end," said Ouvrard dejectedly, "of the biggest commercial and political undertaking which was ever planned and launched, an undertaking which, by virtue of the contract between a crowned head and an ordinary private individual, would have forged a closer and firmer link between the Old and New Worlds and would have solved, at one stroke, the financial problems of two States."

Napoleon behaved in a characteristic fashion. It did not occur to him to draw any distinction between, on the one hand, Ouvrard's plans for making Spain solvent and for indirect collection of outstanding subsidies and, on the other hand, the millions which, according to Napoleon, were appropriated by Ouvrard for his own personal ends—an accusation which Ouvrard hotly contested and which is no longer verifiable. Nor did the Emperor pause for one moment to think that it might be better to leave the Treasury bills which Ouvrard had invested in the Mexican affair to work their passage home rather than to call them back suddenly. He stared, as if hypnotized, at the deficit, which incidentally was no longer there, for he had brought back many millions in forced contributions from Austria. As Ouvrard said, credit for him was really "an abstract idea, the crazy conception of political economists". He thought of only two things: taxes and conquests. The "compendium of the world", as Goethe called Napoleon, lacked any commercial sense; at the same time, Napoleon was completely blind to this defect and refused to accept advice. "I do not want advice but news," he told his Minister of the Treasury, Mollien.

He meddled in everything, however important, however insignificant. In 1800 he set up "the exchange office in Paris, which bears the proud name of Bank of France", as Ouvrard remarked scornfully; side by side with the Finance Minister he appointed a Minister of the Treasury to enable him to divide and rule; the First Consul changed the national holiday in celebration of the

storming of the Bastille to a Sunday, in order not to lose a working day, which did not prevent him, however, from turning an increasing number of essential workers into soldiers. One of the steps Napoleon took to combat British trade was to compel Josephine very much against her will to wear Lyons silk instead of the modern Indian muslin. In 1810 he supervised the transport of 10,000 Spanish sheep to France, although the French army at Saragossa alone consumed 200,000 sheep; one of the first things he did on arriving in Elba was to go down into the iron quarries like an inspector of mines and then conclude a trade agreement with Leghorn.

In tidying up the country's finances, Napoleon certainly was a great improvement on the Directory, but, as soon as he went beyond the purely administrative into the commercial sphere, he was out of his depth. He tried in vain, while Bourrienne was Ambassador in Hamburg, to persuade the Hansa towns to accept French protection against a payment of six million francs each; he also failed in 1803 to buy from Louis XVIII his right to the throne and, as the latter put it, his honour; he allowed himself to be hopelessly entangled by the Rothschilds in 1811, when he thought he had deprived the British of the hard cash they so badly needed, whereas the Rothschilds used the bills drawn on Madrid against this money to finance Wellington's campaign in Portugal.* Another of his plans which failed was the secret counterfeiting of large quantities of Russian and Austrian bank notes, which the Councillor of State and Prefect of Police, Pasquier, supplied and which were to be used in the 1812 campaign; Russian merchants would only take them in very small quantities and they finally had to be burnt. The Emperor was also over-optimistic in his message from Russia to Paris that the salt-mines he had seized would produce an extra revenue of eighty million francs. Moreover, the relaxation of the Continental Blockade, which he had imposed in 1806, with the introduction of expensive permits, brought a marked but short-lived increase in customs revenue; its long-term effects on the national finances were disastrous, for the French economy was ruined by this impracticable and

* See p. xi of Introduction.

ineffectual fiction. To take only one example, the price of sugar rose to six francs a pound.

Particularly disastrous in its consequences was Napoleon's refusal to take advice on pegging the market. At moments when his devoted and experienced Minister of the Treasury, Mollien, declared it was of no consequence whatsoever whether government stocks stood a few per cent higher or lower, he insisted on face-saving measures, without having the necessary financial backing; in 1803, the renewal of war cost him twelve million, although the price of rentes still went down by 10 per cent. At the outbreak of the Spanish War, Napoleon decreed, against Mollien's advice, that the 5 per cent stock must stand at 80 at least; this cost him thirty million and was once again quite ineffectual. Had the Emperor judged himself by the same criterion as he judged Ouvrard and considered only the fact of the deficit, not the circumstances which gave rise to it, he would have been obliged to refund the millions, which had been squandered through his stupidity and obstinacy, out of his own pocket or, alternatively, to condemn himself to the debtors' prison of Sainte-Pélagie.

The plan to make Spain solvent and the Mexican project were on such a large and grandiose scale that even someone with as little natural talent for commerce as Napoleon should have realized their immense possibilities. His inability to see this was perhaps partly due to the fact that his policy was essentially European in character and that his whole attitude to commerce was European. None of his own overseas ventures had turned out well. The Egyptian campaign ended in complete military and political defeat; Louisiana, France's invaluable colonial territory in America, had to be ceded for a mere eighty million francs in 1803 under the growing threat of war with England; San Domingo in Haiti could not be held, even with 50,000 men and an enormous amount of supplies and equipment, and it was abandoned in 1803 without compensation; Napoleon's plan, to subdue his arch-enemy England by a cross-Channel invasion, finally had to be dropped. In such circumstances it was understandable that even someone like Napoleon, who

had been so successful elsewhere, should suffer from hydrophobia.

Ouvrard's efforts to make Spain and himself solvent foundered on this aversion and finally on Napoleon's outright refusal to consider an enterprise which, in fact, had already reached a most promising stage. "All the Emperor had to do was to open the ports of France to immense treasures, which far exceeded all the loot he had squeezed out of the conquered peoples with suffering, brute-force and blood. Apparently gold held no attraction for him, if it was acquired by the peaceful method of trade." In writing these words, Ouvrard overlooked the fact, of course, that, had the agreement between him and Charles IV been carried out, it would not have earned France more than the seventy-two million francs a year which Spain owed her in subsidies. But, with that qualification, what he said was true. For at the very moment when Napoleon was clumsily tearing the whole finely spun web to pieces, it became abundantly clear that Ouvrard's commercial transaction was perfectly practicable and utterly different from Law's dreams around 1716 of finding capital in the mists of the Mississippi and the savannahs of Texas. Such of Ouvrard's Spanish bills of exchange as escaped Napoleon's clutches bore the promised fruit. Ouvrard's first triumph came when Hopes, in spite of the blockade, succeeded in getting four frigates to England with Mexican silver piastres for the Spaniards, which meant that fourteen million piastres were sold at 3.75 per piastre on the Continent: from England to Hopes, from Hopes to Ouvrard, from Ouvrard to Spain, from Spain to the French Treasury. And even now, when Pitt was prepared to make no further concessions, Ouvrard still had not played his last card. His partnership with Hopes had been chosen with just such an eventuality in mind. The second method, by which this firm with its world-wide affiliations arranged for the remaining Mexican silver to be released, was both costly and complex, but it justified Ouvrard's self-confidence, when he said later that, as far as he was concerned, the blockade had never existed.

This second method was to buy goods in America with the Mexican piastres, transport them to Europe, sell them and hand

over the proceeds, after commission had been deducted, to whoever was holding the bills of exchange, namely Ouvrard or the Spanish Consolidated Fund. For a firm as experienced as Hopes this presented no great difficulty, in spite of the enormous sums involved, so long as England was prepared to wink an eye at this camouflaged transfer of piastres. The deal was much too big for Hopes to be able to pass off their shipments as neutral freight. There remained only the much more complicated method of making the shipments not apparently but really neutral. This was only possible if American merchants could be won over, who supplied direct to European firms in countries which were not at war with England. But, as America was at an early stage of development, it would obviously be very difficult to find reliable North American firms big enough to take the risk.

The plan of campaign, which was eventually worked out, was as follows:

Hopes, having received from Ouvrard the Spanish drafts on Mexico, would send them with an agent from the Amsterdam office, M. Lestapis, to Vera Cruz, where, to make matters easier, he would carry Spanish papers in the name of José Gabriel de Villaneuva.* Lestapis would then present the drafts in Mexico and receive in return the silver dollars from the National Treasury. These would be released gradually, as the opportunity arose to transmit cash.

The silver dollars would be loaded on ships specially built by Hopes' second agent, David Parish, stationed in Philadelphia, the destination of the ships. These ships and their freight must be, at least *pro forma*, American property, otherwise the British would seize them. As no reputable firm would land itself in such difficulties or incur such risks, everything depended on Parish's ingenuity.

On arrival in Philadelphia, the silver dollars would be handed over to carefully selected American commercial firms—as an advance. In return they would be committed to buying goods—cotton, tobacco, coffee, sugar and so on—and shipping them

* A Spaniard, now dead, for whom A. P. Lestapis had worked some years earlier.—T.A.B.C.

to neutral countries in Europe. These European clients were to be chosen by Hopes. The Americans would also be committed to insuring these shipments in England, thus creating a more congenial atmosphere for Hopes.

The dollar advances would be secured by bills of exchange from the American firms, to be handed to Hopes' agent, Parish. These bills would be paid by the European purchasers of the goods, who, as soon as the shipments arrived, would make their settlement with Hopes. Hopes, in turn, would settle up the Spanish bills with Ouvrard, and the money, which the British were so anxious to block, would finally begin flowing into the coffers of France's ally, Spain.

In practice this American deal proved even more complicated and risky, because in his contract with Charles IV Ouvrard had succeeded in obtaining not merely permission to transport the money but also a monopoly of trade with Mexico. The 500 trade concessions, which Ouvrard was able to hand over in Amsterdam, were extremely valuable, for it meant that the same number of ships could be unloaded in the harbour of Vera Cruz. Hopes sent these shipments (of German and English goods) not only from European ports but also from Philadelphia, so that the freight-space could be used on both the outward and the return journeys. It was the responsibility of Hopes' first agent, Lestapis, to see that the goods which arrived in Mexico reached the buyers. But many of the trading concessions could be sold at very high prices like ordinary stocks: American firms paid up to a third of their net profit as premium. The profits accruing from these sales had to be shared out in accordance with the contract between Hopes and Ouvrard and the contract between Ouvrard and Charles IV. Both transactions, the transport of the money and the handling of the trading concessions, were entrusted to a third agent, whom Hopes sent to a point roughly midway between Vera Cruz and Philadelphia—New Orleans. The name of this agent was Vincent Nolte.

Work on this vast edifice began in the summer of 1805, when Hopes' three agents moved to their respective stations in America. In the spring of the following year, before they had even finished

laying the foundations, the entire project was ruined by Napoleon's intervention. Just how much was lost emerged from a statement drawn up by Vincent Nolte for Parish at the end of 1808: the total turnover of this transaction, which had to be prematurely abandoned, would have amounted to thirty-three million Spanish dollars or 165 million French francs.

The actual settlements with Ouvrard himself, the prime mover of this vast undertaking, covered a mere fraction of the whole. Even Hopes could not afford, in the long run, not to work with Napoleon's government, which had taken over all Ouvrard's legal rights with his financial liquidation. Although the Hopes' ledgers for the years 1804-13 do not show the enormous sum involved, it is clear that the various enterprises he had launched had greatly expanded. There is no mention of Ouvrard's name in the entries for 1804, as he first travelled to Spain in September of that year. His 1805 account ("van Lerberghe & Ouvrard") showed 887,000 Dutch gulden. In 1806 there was a balance of 6,611,761 gulden, from which periodic deductions were made to cover the advance on the loan, as Hopes disposed of their loan issue. In the same year one million gulden were allowed to pass again through a special account ("August Ouvrard"). At the end of 1807 the account stood at 1,116,338 gulden, in 1808 at 1,709,049 gulden. In 1809 it shrank to 216,813, but rose in 1810 to 223,692 gulden. In 1811 Ouvrard was 152,000 in debt, but in 1812 he again had a balance of 160,721. In 1813 he disappeared from the books of the firm of Hopes. As the account was balanced at the end of each financial year, a total of twelve million gulden, some twenty-four million francs, had passed through Ouvrard's hands. So the prospects can hardly have been as bleak as Napoleon made them out to be.

The final irony, which must have given Ouvrard considerable though belated satisfaction, came when Napoleon himself tried to cash some of the Spanish-Mexican bills, which he had seized from Ouvrard, directly, by-passing Hopes in Amsterdam with the intention of evading the substantially lower European rate of exchange (3.75 instead of 5 francs a piastre). The French Consul General in Philadelphia, to whom the papers had been sent, was

completely nonplussed when no one would touch the suspect bills he was offering. The Consul had no alternative but to appeal for help to Ouvrard's business friend, David Parish of Hopes, who was kind enough to obtain part of the money from Mexico. But it was not the entire sum, which amounted to over two million piastres.

Whatever satisfaction Ouvrard may have felt, however, was of little practical value to him. Together with Spain, with Vanlerberghe, Michel and Séguin, he had been condemned to pay 141 million francs and, if he valued his freedom, he had to summon all his resources to pay his share. It is a striking tribute to the financial acumen of Ouvrard and Vanlerberghe that they were able to reduce the total debt to eighty-five million by the end of 1806. In March 1808, only fifteen months later, when the Minister of the Treasury drew up a balance-sheet, only thirteen of the 141 million were still owing. But Ouvrard and Vanlerberghe had already had enough of merely paying, particularly as the private creditors were also growing restive. So they decided to have recourse to the only legal expedient left to them, suspended payments on 31st December 1807 and declared themselves bankrupt.*

It was, however, a rather unusual type of bankruptcy. The two partners stressed the fact, with obvious relish, that their liabilities did not exceed their assets but that they were simply insolvent, because the government had quite unjustly confiscated several millions which belonged to them and which it now owed them. At the same time, Ouvrard and Vanlerberghe had apparently agreed to divide up their joint fortunes in such a way as to make Napoleon's decrees largely ineffective. They had no intention, if they could help it, of paying out more than they had invested in the Spanish-Mexican operation. This and that property must have been registered in another name, that of a friend or relative, and in good time, probably before Napoleon returned from the wars. Eighteen months later Ouvrard was in a position

* They chose the 31st December because a new Commercial Code was due to come into effect on the 1st January 1808, imposing stricter control on commercial transactions and bankruptcies.—T.A.B.C.

to pay a substantial sum in bail; in 1814 he was able to retire to an estate near Orleans; as late as 1824 he was still considering the possible industrial development of his estate at Preuilly (which included the largest privately owned forest, some 18,000 acres, in France), an estate of which Ouvrard himself said that he had bought it "a long time ago" but, owing to pressure of business, had never visited. This can only have been acquired during the inflation period of the Directory.

His ingenious method of handling his bankruptcy is illustrated by the following incident:

He still owed Monsieur Chenais 50,000 francs on the purchase of Villandry and there was a mortgage outstanding. When frequent demands for payment brought no response from Ouvrard, Chenais sent his son-in-law, General Thiébault, to see him. Three days in succession the General called early in the morning in the Faubourg du Roule but on each occasion Ouvrard was not at home. When Thiébault finally forced his way in, he made his way through a long series of empty rooms and eventually found the master of the house just getting out of bed. Ouvrard pointed out that, as he was bankrupt, he could pay off neither the cash debt nor the mortgage. The General literally besieged him, threatening to starve him out and only release him from his bedroom when he had met his commitments. After two hours Ouvrard gave way, wrote a cheque, and gave instructions for a mortgage to be issued to Monsieur Chenais on a property which allegedly belonged to his brother, August Ouvrard.

This somewhat unorthodox form of bankruptcy was eventually terminated as strangely as it had begun. Although Ouvrard remained officially a bankrupt, he came to an agreement with his private creditors on 26th October 1808 which gave him back complete freedom of action. On the other hand, while Ouvrard succeeded in resuming his full business activities and even built up certain reserves, which would have seemed like considerable wealth to the average businessman, for him, with his irrepressible financial ambitions, the liquidation dictated by Napoleon was nothing short of disastrous. A particularly striking symptom of it was the sale, which he could no longer postpone, of Raincy in

1806, and the loss of Madame Tallien, who, with her remarkable ability to sense crises in the affairs of her friends, had rushed into her third marriage with the Comte de Caraman in 1805.

The announcement of Ouvrard's bankruptcy brought his reputation as a financier tumbling about his ears. People had come to regard him as a sorcerer complete with magic wand and divining-rod; now he stood exposed before the world, apparently as helpless as any ordinary mortal. Everyone knew that Ouvrard had compelled the Emperor to turn to him in times of need, but now that accounts had been settled it was clear that Napoleon had emerged victorious, having won the contest decisively and at a fearful price to his adversary.

And yet, just how high the price had been was not to emerge immediately, at the end of 1807, but some eighteen months later. He spent this year and a half, when he must have missed the company of Madame Tallien, "quietly with his family", certainly hoping in his heart that Napoleon would consider his bankruptcy a thing of the past.* But on 21st June 1809, more than three years after that dreadful day of reckoning in the Tuileries, Ouvrard's day-dreams were rudely shattered. He was made responsible for the sum of a million and a half piastres (which, depending on the rate of exchange, was between five-and-a-half and eight million

*During 1809 he was mixed up in a number of schemes, political as well as commercial. He was already in league with Talleyrand and Fouché, who had agreed among themselves that if Napoleon should die in battle or through assassination in Spain, his vain and pliable brother-in-law Murat should succeed him. After Napoleon had learnt about this understanding and had dismissed Talleyrand in a fury, Ouvrard coolly proceeded to make arrangements with Murat, Fouché and Labouchère to ship a hundred cargoes of goods from Malta to Murat's kingdom of Naples against an equivalent value of exports. This overt attempt to breach the blockade was frustrated either by Ouvrard's incarceration in June or by Napoleon's authority being strengthened as a result of his victory at Wagram a few weeks later. Nevertheless, Murat did thereafter step up his exports to Britain of olive oil, grain and silk. As in August 1805, so now Ouvrard's schemes were helping to shape future events. For the Tsar, who had reluctantly agreed at Tilsit in 1807 to participate in Napoleon's Continental System, grew so discontented at the news of these illegal grain exports that at the end of 1810 he resolved to reopen his ports to neutral ships. Here then was one of the causes of Napoleon's invasion of Russia in 1812.—T.A.B.C.

francs) which Spain owed but had not yet paid. Ouvrard's protests were in vain. He sent a printed memorandum to the Emperor which had no effect. He was treated like a defaulting debtor and, as he did not pay, was locked up in the debtors' prison. Deprived of his freedom, Ouvrard lost what little remained to him of pleasure in life and of his reputation. He would undoubtedly have had to resign himself to an indefinite period of imprisonment in Sainte-Pélagie if he had not managed to produce adequate bail from his invisible reserves and thus saved himself from the worst consequences of the Mexican affair.

Only then, in this particular moment of crisis, was it clear how far Ouvrard had fallen. And so once again, in 1809, another five years of his life had ended with a hiatus, as if the ups and downs of his career followed a regular time-pattern. Five years earlier, in 1804, the government's inability or refusal to pay had forced him to dispose of much of his property, including his town residence, the Palais Montesson. Ten years earlier, in 1799, his misfortunes had begun with the fall of his friend Barras and Napoleon's advent to power. Fifteen years earlier, in 1794, he had started, as a soldier, on his meteoric career in Paris. Twenty years earlier, in 1789, at the outbreak of the Revolution, he had completed his first major deal with the purchase of paper supplies. It had taken him altogether ten years, from 1789 to 1799, to reach his zenith and another ten years, from 1799 to 1809, to reach his nadir.

If Ouvrard employed the days he spent in Sainte-Pélagie wondering what the next decade would bring, it is unlikely, despite all his setbacks, that he felt over-pessimistic. He still had faith in his star. He realized that he still possessed capital resources which were inalienable and irreplaceable: his great financial talent. He could afford to feel reasonably confident about starting afresh. After all, he was only thirty-nine.

*The Great Disaster:
the Anglo-French Peace Negotiations*

IN the final analysis, it was the combination of business and politics that compelled Ouvrard to start once again from the very beginning. He would not have fallen nearly so far and his financial losses would not have been nearly so heavy, if he had not felt obliged to dabble in politics in order to achieve greater success in business. During the five years in Paris from 1794 to 1799, the period of the Directory and Barras, and in the first five years of the Napoleonic era, he was content to interest politicians in his plans and ventures. For a time this worked extremely well and, even when it was less successful, at least his outstanding achievements were never in danger. But when the Mexican treasure became such an obsession that he agreed to go to Spain as a State Commissioner and to become actively involved in relations between France and Charles IV, between Spain and England, between Spain and her colonies, then business and politics combined proved too much for him.

Strangely enough, Ouvrard, who in other respects was so far-sighted, did not even realize this, when Napoleon made him responsible for the Spanish debt and deprived him of his freedom. It still had not dawned on him that the Mexican dream was over. Barely was he his own master again, than he was turning over in his mind how he could change government policy to help him in his business plans. He was convinced—and rightly so—that everything would change for the better, if only the war with

England could be ended. Then the minted and the untapped treasures of Central and South America would become freely and openly accessible; even Napoleon's opposition to Ouvrard's transatlantic plans would collapse; indeed, it would probably be unnecessary even to ask for the Emperor's approval.

Having acquired this *idée fixe*, Ouvrard, with all his untiring faith in any ideas he conceived, actually set to work to bring about peace between France and England. It was a breath-taking scheme, which called for at least the same degree of resourcefulness as Ouvrard had employed in Spain. The two countries had been at one another's throats for more than fifteen years. The time was long since past when, as during the Peace of Amiens, the English came crowding over to Paris and could be seen frequently in Madame Récamier's salon. The main obstacle to another peace treaty was, of course, Napoleon's refusal to compromise; he would not consider any treaty which did not wring major concessions from the British. This was again made abundantly clear when the peace overtures which Napoleon himself authorized in February 1810 came to nothing because the Emperor refused to budge from his position.* Ouvrard, who knew that international negotiations were in progress and who knew the English better than Napoleon, foresaw a fiasco and tried his utmost to keep the negotiations going. The obvious course was to attempt to win Napoleon over to a more reasonable and more realistic view of the situation. But all his efforts to obtain the "favour" of an audience were in vain. Again and again his powerful friends Murat, Berthier, General Rapp and the Councillor of State, Regnault, intervened with the Emperor on his behalf, but without success.

So Ouvrard's direct approach had failed. But he had never been one to abandon his plans lightly, and he immediately sought another method of approach. He turned now for help to Joseph Fouché, originally a Prefect in the Society of Oratorians, and

* Already in January 1810 Fouché had anticipated his master's intentions by initiating his own unofficial peace talks in London through a certain François Fagan. But although the talks were not unhopeful they produced no results.—T.A.B.C.

subsequently one of the strange collection of renegade monks and priests who played an important part in the Revolution; men such as Carrier, who had started as a novice in a monastery and then, as Commissioner of the Revolution, had taught the citizens of Nantes to dance the carmagnole; the Abbé d'Espagnac, who had amassed millions during the Revolution; Chabot, formerly a Capuchin monk and later a Commissioner of the Convention; Sieyès, former Abbé and then a member of the Directory; the priest, Robert-Thomas Lindet,¹ who voted for Louis XVI's execution and was the first member of the clergy to marry; Abbé Louis, Louis XVI's servant and the Emperor Napoleon's financial adviser; above all Talleyrand, who laid aside his bishop's mitre to devote himself to more worldly pleasures and pursuits. All that distinguished Fouché from most of the others was that he lasted longer. He had managed to shed the blood of counter-revolutionary citizens, to bring down the incorruptible Robespierre, to serve the Directory and Barras, to help the counter-revolutionary General Napoleon Bonaparte into the saddle and at every deliberate change of course to steer clear of the rocks. In fact, with each volte-face he had even become more powerful, so that, when Ouvrard finally approached him, he was Napoleon's Minister of Police and the second most powerful man in France.

If Ouvrard took his plan for an agreement with England to Fouché, it was not merely because his own official standing had been so undermined by the liquidation of the Spanish venture that there was little or nothing he could do by himself. Fouché was the ideal man because he had become a past master at intrigue and because he had as little love for Napoleon as Ouvrard. So the merchant, who had doubtless had frequent dealings with the avaricious Minister, called on Fouché ostensibly, as he was still under police supervision, to obtain a permit to travel to Amsterdam and settle his affairs with Hopes. The encounter was not unlike his first meeting with Barras at Ouvrard's château at Vitry in 1796. And, as on that occasion, little is known of what the two men discussed in the Ministry of Police early in 1810. Later, after

¹ Brother of Robert Lindet, "the financial expert of the Revolution" mentioned on pp. 25-6.—T.A.B.C.

the whole enterprise had failed miserably and Fouché was dead, Ouvrard maintained that the whole idea of a rapprochement with England had come from Fouché, who had brushed aside all Ouvrard's objections and used the request for a passport as a means of forcing Ouvrard to sound out opinion in England privately, without Napoleon's knowledge. And historians have so far assumed that the plan to open secret negotiations with the British, unknown to Napoleon, did originate with Fouché, who simply used Ouvrard as a means of adding to his own prestige and perhaps even damaging Napoleon's reputation. In fact the state of Ouvrard's affairs makes it likely that he had a share in the initiation of this third attempt to reach a peace settlement. Almost the only hope left to him of surmounting his bankruptcy and resuming his former exalted position was a radical change in the political situation, which would enable him, with or without Napoleon's blessing, to pursue his American plans. But, whoever may have started the ball rolling, when Ouvrard left Fouché's office it was as the Minister's confidential ambassador. His task was, while in Holland, to give the British the impression that negotiations could be resumed and that, with the Emperor's if not official at least tacit approval, fresh proposals had been worked out.

Ouvrard arrived in Amsterdam in March 1810. Fouché sent him a pass to England by courier. Ouvrard would certainly have been happier if he could have travelled again, as he did to Spain, in an official capacity, and if he did not move on to England at once it was because he was not at all sure what kind of reception he would get. Labouchère, the man whom Napoleon had entrusted in February with the task of putting out feelers in England—although the initiative had to be made to appear to come from Louis Bonaparte, King of Holland—had just returned from London to Amsterdam. He was a partner and the effective head of the firm of Hopes, and Ouvrard had collaborated with him on the Mexican project; he was therefore the emissary Fouché and Ouvrard were hoping to employ for their peace talks.

A better mediator could hardly have been chosen. He was French by birth, had married an Englishwoman and was resident

in a neutral country; he combined all the best qualities of a highly respected businessman with the courtly manners of an aristocrat; last, but by no means least, his wife was a daughter of Sir Francis Baring, whose firm controlled the entire international money market and who had excellent personal relations with members of the British Government. This match alone, which became known as the "Hope marriage", had revealed Labouchère's extraordinary skill in achieving his ends. After a three years' apprenticeship with Hopes he had asked, at the age of twenty-two, for a partnership in the firm. Although his sterling qualities were greatly appreciated, his request was, not surprisingly, turned down. He then enquired whether, if he were Sir Francis Baring's son-in-law, he would be acceptable. The answer was in the affirmative. When Labouchère asked Baring for his daughter's hand, he again received a negative reply, but, when he enquired whether he would be acceptable if he were a partner in Hopes, the answer was again in the affirmative. Both marriage and partnership were now assured. This was a measure of the diplomatic skill which Fouché and Ouvrard were hoping to employ.

However, the news Labouchère brought from London was rather depressing. Although the British Cabinet had expressed no interest in the fate of Holland, they did lay down one substantial condition, namely that the Bourbons—Charles IV and his son Ferdinand—whom Napoleon had driven out of Spain by cunning and deceit, should be restored to the throne. This showed, therefore, that the Emperor's peace overtures had met with no success whatever. Although Napoleon appeared to think seriously for some weeks about resuming the talks, he finally realized that these would be hopeless and quietly dropped the idea. In these circumstances it was clearly impossible for Ouvrard to send Labouchère back to London with fresh instructions. The memory of the courteous but firm reception the envoy had received from British politicians was still too fresh. Ouvrard therefore made use of the delay to obtain some kind of legal backing for his own plan. Having failed to gain an audience with Napoleon, he decided to try an approach in writing. On 21st March he wrote a letter to the Emperor from Amsterdam, in which he explained

how much was to be gained by making peace with England and how, at the same time, the British could be outmanœuvred: once peace had been concluded, the Bourbons, exiled from Spain, could be put on the throne in Central America, which, in any case, belonged to them; this would give France a new political base from which to operate, particularly as there would be the possibility of arranging a marriage between the Spanish Crown Prince, the Prince of Asturias, and a princess from the Bonaparte family; Central America was an ideal centre from which to reach other territories, particularly South America, where the British were already expanding their interests; finally, "the Emperor of America would give his daughter to the King of Mexico", England would thus be hemmed in and British trade would be denied not merely Continental but also all American ports. "This means the ruin of England"; to bring it about, all that was needed was not a genuine but merely a patched-up peace, which restored the freedom of the seas for about a year, so that any concessions France might have to make need not be taken too seriously.

Needless to say, he waited in vain for an answer from Paris. Napoleon was now preoccupied with preparations for his marriage to Marie-Louise and probably paid little attention to the memorandum. Had he done so he would undoubtedly have brought Ouvrard's schemes to an abrupt end. However, Napoleon did not even react a few weeks later when Ouvrard tried to renew contact by a method he had already employed before, by making a formal offer—although he was still an official bankrupt—of 100 million francs in cash.

So Ouvrard still had time to go on spinning his English web. Through Francis Baring, Labouchère made another approach to the Foreign Secretary, the Marquis Wellesley, and all three were under the impression that the proposals they were discussing stemmed from Napoleon. In fact the proposals, making several concessions, came from Fouché. What Ouvrard was now suggesting as a basis for a peace settlement, in sharp contrast to the ideas he had submitted to the Emperor, was nothing more nor less than a partition of America between Britain

and France: Britain was to annex North America, and France South America; Mexico in the middle (with her silver dollars and mines!) was reserved for Ouvrard's good friends the Spaniards.

This scheme was perhaps not so fantastic as it sounds. At any rate Wellesley and Canning (the previous Foreign Secretary, who advised Wellesley on foreign affairs) actually discussed at great length the proposals that Baring forwarded to them in April. On the 17th the proposals were accepted by the Cabinet as the basis for negotiations. When Baring reported this news from England, Ouvrard, his plans on the verge of success, set off for Paris to get further instructions from Fouché. The Minister of Police might well have been able to get official support for these plans. But unfortunately Napoleon decided to set out for Holland at the beginning of May to prepare it for formal annexation. His unsuspecting brother, the King of Holland, told him all he knew of the second visit which Labouchère had paid to London at Ouvrard's instigation. It was the first Napoleon had heard of a resumption of negotiations, without his approval and on an entirely new basis, which was absolutely unacceptable to him. Napoleon was beside himself with indignation. The earlier talks had been authorized by himself while purporting to emanate from the Dutch Government alone; the present series were entirely without his approval and yet were assumed to come from himself. His grievance was not merely that the terms were entirely unacceptable to himself, but also that Britain was a country he hated more than any other because it was, in the last resort, the British alone who stood between him and world domination. They had not even recognized his imperial title; in 1805, for example, he was informed that "His Majesty the King [of England]" had received "the message of the Head of the French Government". Whereas the Press throughout the Continent had to dance to his tune, in England it was free to caricature and laugh at him!

It was, therefore, not surprising that, when Napoleon returned to Paris, a terrifying storm broke over Ouvrard's head. When it then emerged that Fouché was also implicated, Napoleon's

rage knew no bounds. The session of the Council of State on 2nd June 1810, at which Napoleon sat in judgement on his Minister of Police, was every bit as nerve-racking as the nine-hour audience on 26th January 1806. The critical point came when Fouché—with good reason—refused to arrest Ouvrard; after all, Ouvrard had sent him regular reports from Amsterdam in invisible ink by way of a Paris merchant. Fouché was immediately dismissed and his successor, Savary, Duc de Rovigo, was told to arrest Ouvrard. So that there should be no warning given, the order was to be carried out while the Council was still in session. The police enticed Ouvrard to the house of Madame Hamelin. He was taking tea there with Madame Hamelin and Talleyrand, when a senior police officer arrived and asked to speak to him alone; he was then taken to a waiting carriage, which was escorted by eight officers of the gendarmerie.

Ouvrard's new, compulsory place of residence was, to begin with, the Abbaye prison, then, a few days later, the Tower of Vincennes. This was the prison for State criminals. Ouvrard must have realized that the same prison had housed many distinguished but also many ill-fated prisoners before him: Diderot and Mirabeau, victims of the French Revolution, and a number of priests and bishops, who had opted for the Pope and against Napoleon. In one of the rooms in the Tower the Duc d'Enghien had spent the last hours of his life, before Napoleon committed a travesty of justice and had him shot in the moat. And, as if to make Ouvrard doubly conscious of his perilous position, the prison governor objected, in his presence, to accepting the prisoner under a false name and without a written order of committal, on the grounds that, when the prisoner died, it would be impossible to make out a proper death certificate.

These gloomy prospects proved, however, to be without foundation. On the other hand, Ouvrard's position was unpleasant enough, particularly as a warder was constantly with him in his room, day and night. For someone with so many diverse interests it was extraordinarily difficult to live without books and writing material, and he kept his mind occupied by scattering a packet of pins, the contents of which he had already counted, all over the

room and picking them up again. This sometimes took hours. Fortunately, as the weeks passed, he saw signs that his position was improving. The official investigation had revealed that he did not go to London, contrary to what Napoleon had been led to believe, that the peace proposals drawn up in Amsterdam on 21st March had actually been reported to the Imperial Chancellery, and that Ouvrard had asked for the document to be returned in the event of rejection, which had not been done. Finally, after Madame Ouvrard had made a moving appeal for clemency in a private audience with the Emperor, Ouvrard ceased to be a prisoner of state.

But Napoleon's clemency took a peculiar form. No sooner had Ouvrard been released than he was rearrested as a debtor to the State. Napoleon was obviously reluctant to set such an active and uncongenial character at liberty again. It was not for nothing that he had written to Fouché's successor at the Ministry of Police to say that he had never encountered a worse example of high treason and that this scoundrel had already cost him two Ministers. So Ouvrard was confronted once more with the decree of 21st July 1809, as a result of which he had already been committed to prison, though only for a short time. He was now held definitely responsible, as guarantor, for the millions of francs owed by the Spaniards. On this occasion he was not able to gain his freedom by merely giving bail; he was to spend more than three years in the debtors' prison of Sainte-Pélagie. As he himself remarked, "in France it is always dangerous to be either creditor or debtor to the government, quite regardless whether it is a Republic, a Directory, a Consulate or an Empire—the old traditions outlast every regime, and anyone who incurs the enmity of a government is outside the law. For such wretches there is no judiciary, no court of law and no justice—only officials equipped with arbitrary powers."

The prison of Sainte-Pélagie to which Ouvrard was now transferred from Vincennes, was at least convivial. Even in the criminal section, the nephew of the Shah of Persia, Nadir Mirza Shah, who was imprisoned there in 1802 for beating his coachman in a public thoroughfare, had created complete chaos by organizing

large parties at which the guests had to sit cross-legged and eat with their fingers, and by laying on a constant supply of flowers, women and wine. Such conditions were only permitted to foreign guests in the criminal section but in the debtors' prison these facilities were available to any prisoner who could pay for them. Ouvrard, who always seemed to be able to produce money and gold out of empty pockets like a magician pulling rabbits out of a hat, soon made it clear that even in Sainte-Pélagie he could afford to live up to his station. He furnished himself a room with charming, expensive furniture, received many well-known people, including Prince Laval who frequently lunched with him; there were dinner-parties, small soirées with charades and whist; when Ouvrard received permission to hasten to the bedside of his dying mother, a fast horse was waiting for him outside the prison and he galloped off dressed in the most elegant riding habit.

When Ouvrard ran out of visitors, he still had no reason to be bored, for his old friends Vanlerberghe, Desprez and Séguin were fellow inmates on the same charge; there must have been a touching reunion when Ouvrard arrived from Vincennes. But he did not enjoy their company for very long; either they did not have his nerves of steel or perhaps they valued their freedom more than their money; in short, they were not prepared to take the risk of serving the maximum sentence of five years in Sainte-Pélagie. They made their peace with the government. Ouvrard, on the other hand, was not prepared to surrender his remaining millions and refused to compromise. Not only did he turn the situation to good account, he even made it a question of principle, assuring all his guests that his sole reason for enduring imprisonment was that at least one man must refuse to bend the knee to force and despotism; if all victims of the government were to do likewise, then it would find it much more difficult to abuse its power; such a stand, he argued, was directed against enslavement in general, in support of the community and against tyrants.

If he was so determined to cling to his remaining millions, even at the cost of five years in prison, it was perhaps because the prospects of fresh conquests were slender indeed. His contracts with the Spaniards had been cancelled, the war between

Britain and France continued to have a ruinous effect on trade, and he had even been relieved of the contract for supplying the army. For all Napoleon's fury in January 1806, he had still left Ouvrard and Vanlerberghe in charge of military and naval provisions, contrary to general expectations. With remarkable shrewdness, which, in fact, was the first indication of a business-like approach by Napoleon, the Emperor made use of their commitments to the armed forces to lay his hands on the 141 million francs he was demanding: they had to deliver the goods in full, as before, but received only a half or even a third of the money due to them, the remainder being withheld to pay off the debt. The new contract was drawn up for a period of six years and should, therefore, have lasted until 1812, but in 1809 Napoleon cancelled the agreement unilaterally, brushing aside Ouvrard's protests. He had suddenly decided that he would have no more to do with these merchants, that he could now dispense with them.

Whereas in 1797 Barras, at Ouvrard's suggestion, had turned over the provisioning of the navy from a government department to private hands, Napoleon, in order to free his own hands, reversed the situation and placed the entire army administration under State control. He set up a State organization, in which employees of the commercial firms continued to work but which was headed by State Counsellors. As long as the stocks taken over by the new company lasted, all was well, but when they ran out the trouble began. As soon as the young officials appeared in the main corn-markets to buy up supplies, everyone, knowing their lack of experience, did their best to cheat them. By the end of the year the running costs of the new organization had already gone up by a million francs compared with the cost under Ouvrard and Vanlerberghe. So Ouvrard, sitting in prison, could afford to gloat. In 1812, after he had spent exactly two years in prison, he had even better cause to gloat, when, as a result of a bad harvest in 1811, there was a serious shortage of grain. The situation was much more critical than in 1802, when Napoleon, who had hitherto refused to have any dealings with Ouvrard and Vanlerberghe, had suddenly become very well disposed and

summoned them to Malmaison in the middle of the night. In the spring of 1812 the price of grain was extremely high, and stocks were clearly being hoarded. The shortage was particularly severe in the north; in Normandy crowds of hungry beggars roamed through the fields; in Caen granaries were pillaged. In such an emergency the Emperor had no choice but to turn once more to the experts. On this occasion, however, he was not prepared to leave the merchants to solve the problem by themselves, although they had served him extremely well in 1802; he thought it would be cheaper simply to take their advice, which he did, free of charge, in early February, and then to set up a "*comité des subsistances*". But this experiment failed, because action could only be taken by a majority decision and no one individual was prepared to carry responsibility. Besides, the real expert in famine, Ouvrard, was sitting behind bars.

It was one of the most satisfying moments in Ouvrard's life when the government, after three months of fruitless deliberations, was finally compelled at the end of April to turn to him for help, even although he was in prison. There was, however, no suggestion of his release; he was merely asked for his advice, free of charge. It was an unusual situation, yet Ouvrard behaved with remarkable dignity. When the Prefect of the Paris Police, Pasquier, appeared in person to explain the desperate straits in which the government found itself, Ouvrard did not give him a cool reception or even make conditions but, perhaps from vanity, expressed his views on the situation unreservedly. The following day, 30th April, in a memorandum, he once more gave a detailed exposition of the whole supply system which he had followed since the crisis of 1802. In 1802 the blockade had made normal trade in grain impossible. Food supplies had therefore to be treated as if they were public funds, which meant that the demand could only be met in full if there was a reserve. Therefore, in this new emergency depots should be set up around Paris, from which any unforeseen demand could be met by releasing on to the Paris market specific quantities prescribed by the Prefect of Police. The size of the reserve stocks would vary according to the harvest: after a full harvest supplies for four months would

be stored, after a two-thirds harvest supplies for eight months, after a half-harvest for twelve months. This was the pattern Ouvrard had followed during his eight years' contract; the army Commissariat, on the other hand, had based its distribution on a day-to-day basis. As a result, the crisis which had arisen could only be overcome by importing supplies from abroad. Ouvrard expressed his readiness to explain in greater detail how the ban on imports could be surmounted. In giving this verbal assurance, Ouvrard doubtless remembered how, in 1804, the mere announcement that supplies were being imported had magically changed the whole situation by bringing out hoarded stocks on to the market at rapidly falling prices.

Napoleon apparently decided not to take this last-minute advice. A week later he cut the Gordian knot. Instead of tackling the problem as one of supply and demand, he simply issued a decree on 8th May fixing the price of grain at thirty-three francs a hectolitre. If this was not enough, then police truncheons would do the rest. In fact, at this particular time—the end of April and beginning of May—Napoleon was much too busy with other things. For it was 1812, the Emperor's year of destiny. And Napoleon himself, having decided to risk a Russian campaign, was more than usually restless; he had a feeling that now was the moment to stake everything on a single throw. The day after the grain decree was issued, on 9th May 1812, Napoleon left Paris for the Russian frontier.

It is a striking testimony to Ouvrard's foresight that, even behind his prison bars, he should have sensed how dangerous this Russian campaign was, and that he was one of the very few, if not the only one, to lay his finger on the weakest point. His first reaction was undoubtedly that of an impotent onlooker, which for a man of his vitality and pride must have been tremendously frustrating. He simply could not understand why the provisioning of an army of such unparalleled size should not have been entrusted to him, for he alone was equal to it. And it was beyond his comprehension that others should earn so many millions while he had to stand idly by, his hands almost literally tied behind his back. In spite of his strong personal interest,

however, for the fatally weak point in the Russian campaign touched him professionally, the words of warning Ouvrard sent to Napoleon had an almost prophetic ring about them. On 6th August 1812, several weeks after Napoleon had begun his long march, Ouvrard decided to point out not only the dangers to which the Emperor was exposing himself but also ways and means of avoiding them.

"The English," he said, "believe that the forces of nature and local difficulties are the only weapons which can be used against the Emperor. Therefore they want to lure him away from his own lands, thus waging war without fighting battles. This new system can be rendered ineffectual if all contingencies are provided against. What are these hazards after all? The climate? Not as long as the men are kept well clothed and well fed. Or distances? Not as long as supply lines are maintained."

Ouvrard then worked out in detail the safeguards which he thought were necessary and without which, as it turned out, the whole gigantic enterprise was to collapse. The first was the purchase (not the requisitioning) of an enormous stock of grain; for the divisions stationed west of Vilna silos would be set up, especially in the Baltic area, for supplies would reach them quickly and cheaply by the sea route; the troops on the march would be supplied from special depots established at regular intervals along the advance-route and adequately protected.

Ouvrard sat in the Sainte-Pélagie prison waiting for an answer, but none came. He never discovered if Napoleon, who by this time had advanced beyond Posen, had even seen the plans. But, if he did so, the Emperor probably decided that the supply-depots in Warsaw, Modlin, Thorn, Bromberg, Marienburg, Marienwerder and Danzig were perfectly adequate, and that the 300,000 cwt. of flour and two million packets of dry biscuits in Danzig alone represented an enormous reserve. In any case, even if he had recognized the value of Ouvrard's plans, it would have been too late. He could never have resigned himself to further months of preparation; his sole thought was to march and fight. But events showed that Ouvrard's predictions were completely accurate. The reserves of grain which Napoleon

had built up were hopelessly inadequate for an army of more than half a million men, and even the supplies available near the bases could not be properly distributed because of lack of horses. The Emperor, in fact, had once again adopted his old system of supplying the army largely from the territories he conquered. But on this occasion all such supplies were either removed or destroyed. Very soon, surprisingly soon, a factor which Napoleon had hitherto taken for granted became uppermost in his mind: food. The hollow cry, "Food, food", echoed across the vast, frozen Russian steppes. Then came disaster. On 5th December 1812 Napoleon began his flight home, abandoning his loyal but defeated army. Behind him he left chaos and a quarter of a million men dying the most horrible of deaths. Napoleon was oppressed by the knowledge that ten out of sixteen million francs in the Imperial Treasury had been lost in the retreat.

Even if Ouvrard's ideas had been adopted and carried out to the last detail, defeat would probably not have been averted. But the accuracy with which Ouvrard had predicted in his memorandum that the dangers were the climate and the problem of supply, showed yet again how foolish Napoleon had been to refuse the advice of someone so far-sighted and so rich in ideas, instead of making use of him.

On 18th December 1812 the Emperor arrived back in Paris. The circumstances of his return gave Ouvrard little satisfaction. Napoleon was still so widely feared and, moreover, at that moment his fate seemed so closely linked with that of France, that his power did not seem to be in any serious danger. So Ouvrard remained almost another year in Sainte-Pélagie; not until October 1813, after the Emperor's authority had suffered a mortal blow on the battlefield of Leipzig, did the gates of his prison open. He was escorted to the Chief of Police, the Duc de Rovigo, who later referred to him in the most friendly terms in his memoirs. On the pretext of a serious illness, which was described in the official document as a digestive disorder, Ouvrard was released prematurely and conducted by a police officer to his home.

Ouvrard was, in a way, the victor. He had served only three and a half years of his five years' sentence in the debtors' prison;

he had spent his period of imprisonment in the most agreeable conditions, with comfortable quarters and plenty of diversion; and he had not paid the government a single franc. Vanlerberghe, Desprez and Séguin had paid for their weak-minded compromise by losing all their money, while Ouvrard, the most remarkable of all the bankrupts, had kept his hidden millions intact.

For the time being he had to report regularly to the Chief of Police and he was not allowed to leave the capital. But within six months the hour of his great adversary had struck. At the end of March 1814, when the Allies reached the outskirts of Paris, Ouvrard was nowhere to be found. He had taken advantage of the general confusion to pack his bags, and an hour before the Cossacks rode down the Champs Elysées he had left for an "unknown destination".

In fact he retired to an estate near Orleans, which was a symbol of his victory over the Emperor, for it was one of several properties which he had managed to keep out of Napoleon's clutches.

Eight

The Banker of the Hundred Days

ON his estate near Orleans, Ouvrard had time enough to reflect on the incredible turn events had taken. The colossus had fallen. The man against whom he had fought so bitterly for fifteen years, the unconquerable, who had forced him down step by step from his former eminence, was now himself brought low, deprived of all authority, and could count himself fortunate merely to have been banished to Elba. Ouvrard, on the other hand, had preserved his life, his freedom and the remains of his fortune intact, and, although he had suffered a tremendous setback in his profession, he was nevertheless free to try to regain his old position.

Ouvrard's deep sense of satisfaction was increased when he received a message from Talleyrand calling on him to return to Paris. Early in April 1814 he was back in the capital. Here he found an unexpected and unaccustomed task awaiting him: to prepare for the return of the exiled Bourbons. Talleyrand in person appealed to Ouvrard for his assistance.* By Ouvrard's own account he agreed with an alacrity which was matched only by the shortage of time available.

Ouvrard's readiness to co-operate was undoubtedly sincere. He had everything to hope for from the new régime: peace abroad and stability at home. Peace would help trade and internal stability would foster credit. The latter was especially important:

* Talleyrand also made Ouvrard go to meet the Comte d'Artois—the future Charles X—at Livry shortly before the ceremonial entry into Paris on the 12th April.—T.A.B.C.

"Treasures of gold and silver do not last for ever; the only treasure which is never exhausted is credit." So Ouvrard had good reason to welcome the restoration of the Bourbons, who, in his view, would favour a peaceful, enduring and stable system of government.

Uppermost in Ouvrard's mind was, of course, the determination to play an active role in the new régime. The prospects were good: Louis XVIII's main problem, the state of the country's finances, was also close to Ouvrard's heart. True, the Bourbons found several hundred million francs in the National Treasury alone, and tax revenue for 1814 was still to come, but the King was heavily in debt and there were still many unpaid bills left by Napoleon. Ouvrard adopted the same method of exploiting this situation as he had adopted so often before. Without waiting to be asked, and completely "*à fonds perdu*", he had submitted a finance plan to the Revolutionary Committee of Public Safety, to the Directory, to the Consulate and to the Emperor Napoleon; once more, in May 1814, he produced a memorandum which he had printed and bound at his own expense.

He began with a profound obeisance to the Royal Throne. He addressed himself to the "good King", who "has been recalled by France to the throne of his fathers", to the "enlightened Prince" and "wise ruler". The King, Ouvrard hoped, would also lend an ear to what he had to say, for "all Frenchmen who, by their experience, are in a position to inform the government", had a duty and a right to help fulfil the three main objects: to secure peace externally, to set the internal administration in order, and to restore financial stability and credit. The necessary supply of money—and here Ouvrard began to display his wares—must not be provided, as in the time of the Revolution and the Directory, by an inflationary issue of assignats or mandats, by confiscation and public bankruptcy. He also condemned Napoleon's methods, which consisted of monopolies and excessive taxes at home, with requisitioning and forced levies abroad. Now that a new government had taken over, the monetary system could be put in order in the only sensible way, namely, with the help of credit. This meant, in plain terms, a loan which would be repaid

over a specific period—eight to ten years—from the annual State revenue. With this loan the State would gradually be able to pay off its debts of between 800 and 1,000 million francs, on which a moratorium would be declared. In consequence, the entire loan would merely consist of entries in the State ledgers, these entries to be offered, for the time being, to the nation's creditors in lieu of cash. In this way both the nation and its creditors would be safeguarded. An essential condition was, of course, that the budget, which Ouvrard went on to discuss in detail, should also be put in order.

Understandably enough, the King's Finance Minister was not greatly impressed by this memorandum. He had no intention of allowing "unauthorized persons" to interfere in his department, was annoyed by Ouvrard's reference to a "miserable budget", and finally managed to shelve any official discussion of the new proposals, although a parliamentary commission had been set up to consider them. As things turned out, this represented a considerable material loss to the State, for a few years later Ouvrard's proposals had to be revived. The loss to Ouvrard himself was strictly immaterial, for a few months later, on 1st September 1814, he found another, highly profitable, opening: he went into partnership with Doumerc. In other words, the entire State supplies of foodstuffs and fodder were once more in his hands. It was a remarkable and difficult achievement. Officially he was still a bankrupt and he did not have sufficient liquid capital at his disposal for such a major operation. But he was nothing if not resourceful. Once again he demonstrated the truth of his basic principle that credit makes money. Hopes in Amsterdam financed him and provided cover for his business transactions abroad. In this case Ouvrard was more fortunate than he was with the peculiar Russian deal of 1814. Talleyrand, without informing the King, discussed with Ouvrard a plan to keep—and supply—30,000 of the Russian occupation troops in Paris for several years. The plan fell through as soon as the King got wind of it for he realized that this was the surest way for enemies to undermine his power.

Before long, however, there was no need of a Russian occupa-

tion to undermine the position of the Bourbons. They themselves saw to that. Since 1789 they had either learned nothing or forgotten everything they had learned. The nation's finances were treated just as irresponsibly as before, although it should have been clear by then that England, the real conqueror of Napoleon, could not have carried on the struggle to the end, had she not possessed an extremely sound monetary system. The unpopular indirect taxes were retained, something that might have been excusable if the Bourbons before the restoration had not promised to remove them. The government could not make up its mind to confirm ownership of properties which had been taken from Royalists by the Revolution and sold. Orphanages were abolished but colleges for the children of nobility were established. There was a mass demobilization, as a result of which more than 22,000 officers were placed on the reserve list or sent home. In the growing discontent, one man only was satisfied: Napoleon.

On 26th February 1815, barely a year after he had been deposed, Napoleon escaped from Elba. Everywhere he was given an enthusiastic welcome. Four weeks later, on 20th March, he re-entered the Tuileries without a shot having been fired. Louis XVIII had fled the night before. Ouvrard, in common with all the others who had assumed that the new House of Bourbon would last and had made their peace with it, now had to decide whether to remain or to flee with the "good King". Characteristically, he stayed behind. Once again he resolved to take the bull by the horns. Not that he stood in any great danger. As he said, he was no politician but a merchant, who must be permitted to do business with whoever could make it worth his while. Indeed, the only serious risk lay in flight, for if Napoleon were to remain in power it would be extremely difficult for him to return and resume business.

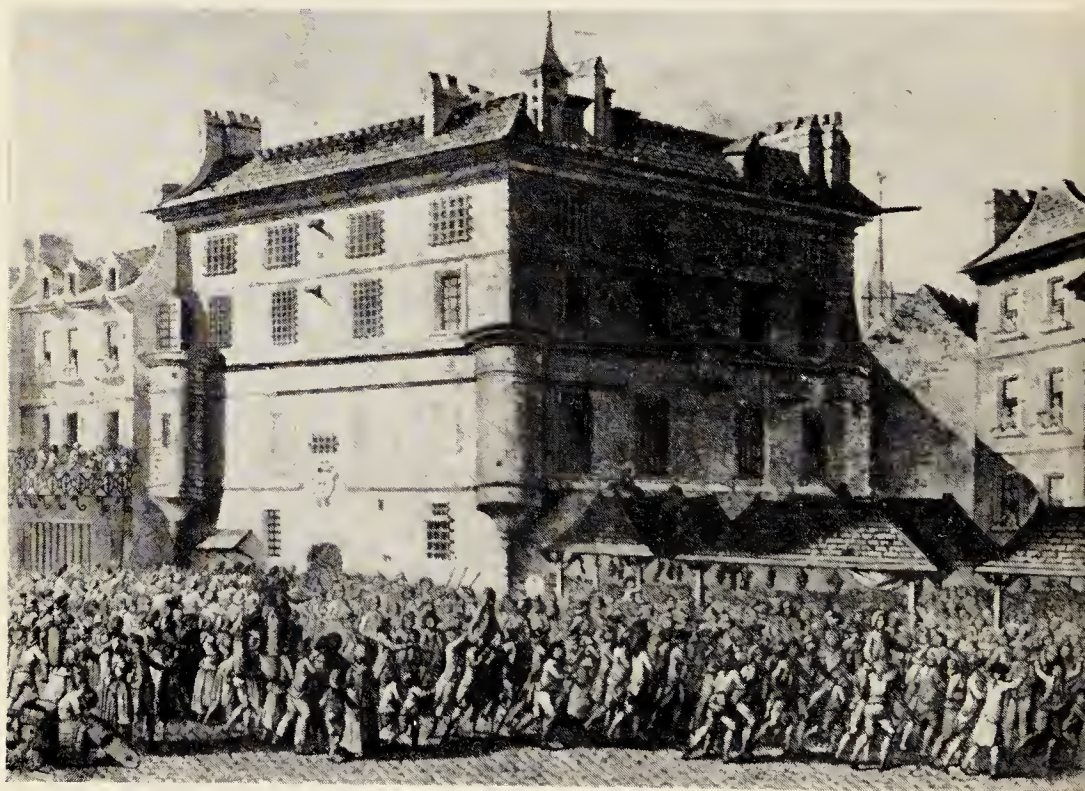
So Ouvrard remained. Suppressing any personal sense of animosity, which he never allowed to interfere with his work, he immediately set about making himself indispensable to the new ruler. He reckoned that, if he stood by the Emperor in this hour of need, then he could surely count upon his lasting friendship thereafter. After all that had already passed between these



Broker on the Paris Bourse. Coloured woodcut by Guilbaut. (*Otto Wolff Collection*)



The Abbaye Prison. Prieux (inv. et del.) Berthault (sculp.) Original title:
*"Le Peuple délivrant des gardes françaises à l'abbaye St. Germain le 30 Juin
 1789."* (Peter Haitan Collection)



The prison tower at Vincennes. Engraving by Berthanel. Original title:
"Affaire de Vincennes le 28 Février 1791." (Otto Wolff Collection)

two adversaries, after the way in which Napoleon, partly out of vindictiveness, partly out of stupidity, had brought the whole of Ouvrard's lifework down about his ears, any such hope or speculation on Ouvrard's part may seem naive. But for the moment Napoleon was really a different man. During his period in Elba he had learned a number of lessons. Whereas before he had always put the blame on others, at Grenoble, on his way to Paris, he solemnly declared that he had been too addicted to war and fame, that in future he would serve the cause of peace and indeed of freedom, and that his ambition was to be the first citizen rather than the sovereign of France. He would give the people a liberal constitution. He now had need of people who would give him advice and not just reports.

Ouvrard lost no time in appearing at the Tuileries. In his memoirs he said that Napoleon summoned him. At this first encounter Ouvrard adopted an approach, which had not produced the desired impression on Napoleon in the past but which could not fail at such a critical time. He surprised Napoleon with a question which had welcome implications: "Do you need money?" There was nothing Napoleon needed more and an agreement was immediately concluded for a loan of fifty million francs in cash to be paid within twenty days. Ouvrard knew he would have no difficulty in finding the money. He was in a position to dictate terms, and the terms provided the money. Firstly, the government was to pay immediately the fifteen million francs which the State owed the firm of Doumerc, of which Ouvrard was the real proprietor. Secondly, as security in exchange for the 50 million, Ouvrard received five million of consolidated rentes. Thirdly, the issue-price of the stocks was to be fifty, regardless of the market rate.*

* The French investor buys rentes as an annuity and therefore expresses their value according to the interest they yield rather than by their face value. His British counterpart, on the other hand, always refers to £100 nominal of two and a half per cent Consolidated Stock (for example) as £100, never as the value of the interest (in this case £2 10s.) to be obtained from it. In the present deal, therefore, Ouvrard was getting an equivalent in 5 per cent rentes to the fifty million francs of cash he was providing. At the market price of fifty on which he insisted, he obtained 100 millions nominal, which are here described as five millions.

The deal was satisfactory for both parties. The Emperor received the money he so badly needed, while Ouvrard made a substantial profit on the exchange. He maintained that the stocks were quoted at no more than 53 on the market, but, according to others, the rate varied between $63\frac{1}{2}$ and $67\frac{3}{4}$; it certainly seems safe to assume that it was no lower than at the end of 1815 when it stood at 57 or 58 francs. This was the first time Ouvrard had dealt in government securities. Previously one had only general reports of his stock exchange activities, which frequently involved him in appalling losses. But his first major deal in government securities was so promising that one understands why, from then on, he always fell back on this form of investment, which provided enough room for speculation but also an element of stability.

From what one knows of Ouvrard—particularly the preparations he made for the Spanish venture with Barbé-Marbois—this loan, for all the handsome profit it yielded, was merely a first step towards something quite different. Ouvrard was too well acquainted with Napoleon and the international situation not to know that war was inevitable. The Allies, who had begun to fall out with one another at the Congress of Vienna, had been reunited by Napoleon's return to the scene and were marching in unison against him. On the French side the Purveyor General, in other words the man responsible for all supplies on land and water, was—Ouvrard. He had waited fifteen years for this appointment, fifteen years to regain a position of which Napoleon had deprived him in January 1800. The Emperor, on the other hand, had certainly not decided to entrust him with supplies in order that Ouvrard could carry out his latest plan of meeting the cost of the war in enemy territory by general taxation instead of the arbitrary and ruthless system of requisitioning. However admirable Ouvrard's plan may have been, those critical months were no time for such experiments. Ouvrard was made responsible for supplies because there was no one else who could be trusted to do the job efficiently.

So, on 18th June 1815, Ouvrard was present on the fateful battlefield of Waterloo. Even for him it was a painful experience, for it brought the official status, for which he had fought so

skilfully, to an untimely end. Ouvrard's dream had also lasted a mere hundred days. But at least he tried to give it decent burial. If Ouvrard is to be believed, Napoleon asked him to give him several millions against guaranteed rentes and to take custody of his personal valuables. Ouvrard refused, because he might thereby have placed himself in a dangerous position. It is not unlikely that Napoleon still had the one-and-a-half millions in gold, which he had deposited before the Russian campaign on the estate of his Minister of Postal Services, Count Lavalette. But Ouvrard had no hesitation in hiding Napoleon's brother Jérôme, the King of Westphalia, on his brother's estate at Domy (although he had not been particularly well treated by any member of the family). He also allowed Colonel Labédoyère, one of the first to join Napoleon after his escape from Elba, to hide in his own house in Paris and gave him money to make what turned out to be a tragically unsuccessful attempt to escape to America.

Gestures of this kind, some of which became public knowledge, were naturally not likely to recommend Ouvrard to the new government. If he believed that he would at least be left in peace, he was mistaken. The Reactionary movement spread throughout the country. At times the royalists were as barbarous as the Jacobins had been. Some supporters of Napoleon or of the Republic were lynched. Marshal Ney and Colonel Labédoyère were executed; the wife of Lavalette, the Minister, who had organized her husband's escape from the Conciergerie, was held so long in prison that she lost her reason. And the Finance Minister lost no time in demanding a refund of certain sums which Napoleon had paid.

This method was clearly designed to take revenge on such people as Ouvrard. The Finance Minister had his own private reasons for taking this step, for he was the Abbé Louis, Baron by the grace of Napoleon. Abbé Louis had not forgotten the reception he was given by Hopes in 1806, when Napoleon sent him to Amsterdam to seize Ouvrard's assets. Nor had he presumably forgotten that Ouvrard, a year before, had described his budget as "miserable". Abbé Louis had coined the phrase that there was no one in France powerful enough to receive

Ouvrard with impunity. He was, therefore, delighted to find himself at last in a position to hit back at Ouvrard. He gave instructions for the re-transfer of the five million francs in rentes, which had been registered in Ouvrard's name, the pretext being that all the necessary formalities had not been observed in the original transfer and that the profits from it had been too high. It transpired, however, that the securities, in so far as they had been paid out, had long since changed hands. The Finance Minister, whose methods were somewhat unorthodox, tracked down the new owners and, in order to force them to press Ouvrard for compensation, imposed a general ban on the official transfer of debt claims. This immediately created chaos on the Bourse. The brokers rebelled against this preposterous ban and the whole money market closed down. Ouvrard went in fury to Talleyrand, the Prime Minister, who could not believe that his Finance Minister had been guilty of such extraordinary behaviour. Abbé Louis, with a sour face, withdrew his decree but he did succeed in preventing Ouvrard from laying his hands on those securities, originally worth 1,500,000 francs, which had not yet been transferred. But, as Ouvrard had already sold them, although they had not been formally handed over, he was now obliged to compensate the purchaser at a higher exchange rate, and for this purpose he had to find 2,500,000 francs.

Thus the unfortunate Ouvrard had hardly succeeded in settling all his differences with Napoleon when this financial bureaucrat blocked his path. Abbé Louis's talents were not much above average and he had neither the breadth nor the keenness of vision of Ouvrard, but he was the Minister and he was in power. For the moment at least, Ouvrard could only bide his time till the opportunity arose for him to take his revenge. And the opportunity did arise.

Throughout his period of office Abbé Louis was saddled with a deficit, which he could not reduce, of 800 million francs. The ultimate humiliation for the Finance Minister came when it was eventually discovered that Ouvrard alone could devise a plan whereby the government's debts would be paid and the occupation of the country brought to a premature end.

The Great Achievement: a Merchant Frees the Nation

THE second Treaty of Paris was signed in November 1815. The main problems now facing France were financial problems, and of these one was uppermost in the minds of the public: how to remove the burden of reparations and pay the occupation costs. In the first Treaty of Paris the Allies, with what then may seem incredible magnanimity, had waived their claims to war damages. But Napoleon's return had necessitated the elaborate preparation of a second campaign against France, and the Allies were no longer in the mood to write off the debt which amounted to 700 million francs. In view of what had happened, it was decided to leave an army of 150,000 men on French soil, till "peace and order" had been restored. The maximum period of occupation was fixed at five years, the minimum at three. France was to be responsible for the maintenance of the occupying army, which amounted—at three francs per head per day—to some 150 million a year. At the same time, the various Allied governments demanded reparations totalling about 500 million. The Bourbons had to meet outstanding internal debts of 650 million left over from the Napoleonic period. This made a grand total of some 2,000 million francs, which had to be found, quite apart from the money needed to run the country. Moreover, the value of the franc inside France was still very high in 1815.

Even with someone more ingenious than Abbé Louis in charge of its finances, the French Government would have been faced

with an almost insoluble problem. Where the money was to come from was a complete mystery, as the public coffers were empty and the screw of taxation had already been turned too far. The possibility of floating an internal loan by issuing government securities seemed, to say the least, unlikely, as no one would subscribe to it and the insolvency of France and her government would merely be confirmed. The sole result would be that the previous issue, which in any case had lost 50 per cent of its value on the Bourse, would become mere waste-paper. So what was obviously needed was some expedient whereby repayment of debts could be deferred, but no one could think of a formula. Abbé Louis created havoc in the world of commerce by trying to impose a forced loan on large private fortunes, but it was soon clear that this economically unsound principle would produce a mere 100 million francs, which was only enough to cover the support costs of the occupation troops for eight months.

In France the year 1815 ended in an atmosphere of acute depression. Only one man in Paris was still as optimistic as ever—Ouvrard. He had reason to be. At a time when all the leading men in the country were in a state of despair, because they could see no way out of what seemed a hopeless situation, Ouvrard was quite confident that he knew the solution. He was convinced that, if France followed his advice, she would not only be able to pay off these debts but to do so within a very short time.

Ouvrard's ideas, which subsequently turned out to be perfectly practicable, would probably never have been realized if Abbé Louis, his personal enemy, had remained Finance Minister. For he would rather have declared the State bankrupt than accept help from Ouvrard. But Baron Louis disappeared in September 1815 with the Talleyrand administration. During the Vienna Congress, in other words before Napoleon's return from Elba, Talleyrand had been working for an alliance between Austria, England and France against Russia. The indignation this had aroused in Alexander hardly made Talleyrand the ideal man to co-operate with the Allies in liquidating what was left of Napoleon's empire. His place was taken by the Duc de Richelieu.

Talleyrand remarked mockingly, and not without reason, that it was an excellent choice, as there was no one in France who knew more about the Crimea. For Richelieu was a complete newcomer to politics and, indeed, a politician against his will. Political activity of any kind had always been anathema to him. Yet now, because his country called him, he was compelled "to fling himself into this frightful abyss of passion, vice and corruption".

It is, in fact, true to say that he could not ignore the call, for he was the type of great leader who so often appears almost from nowhere in a nation's hour of need. Contemporary cartoonists did him an injustice when they showed him walking on stilts in an effort to correct his natural leanings. If the King chose to call upon Richelieu, it was because he was extremely highly respected abroad. He had spent twenty-five of his forty-eight years outside France, fought with the Russian army against the Turks, and, while serving as Governor of the Crimea, founded the modern city of Odessa, where, on Alexander's instructions, a bust of him was erected with the words: "In honour of Richelieu from a grateful Odessa." There seemed reason to hope that this man with the bluest of blood in his veins and a wide horizon acquired from his travels would give outstanding service both at home and abroad and that he was particularly well equipped to do justice both to the Crown and to a liberal parliament. The more so, as his excellent qualities were widely recognized: his tolerance and simplicity, his charitable disposition and incorruptible character, his nobility and his moderation were universally acknowledged.

Ouvrard naturally found no difficulty in gaining access to someone with such an open mind and to his Finance Minister, Count Corvetto. Richelieu's profound sense of duty was in itself a guarantee that even the ideas of a merchant without any official status would be given a careful hearing. Ouvrard's plans certainly called for the utmost forbearance: in the context of 1815 they must have seemed fantastic. Ouvrard was riding his old hobby-horse: "Taxes kill, debts stimulate." His plan was essentially the same as the proposals he had submitted time and again

to the Revolutionary Committee of Public Safety, the Directory and the government of Napoleon: the establishment of a very large National Debt, a very long-term loan, which would be secured by an independent Sinking Fund. The present, said Ouvrard, could only be safeguarded by mortgaging the future. These principles seemed, at first sight, particularly unrealistic, because the government had already tried, without much success, to float a loan on the Paris market. But Ouvrard was given an opportunity to elaborate his plan at a Cabinet meeting.

He argued that:

A State which cannot raise credit cannot develop.

A nation can raise credit only if it pays its debts.

The war debts must, therefore, be paid and as soon as possible.

As there was no ready money available and taxation to provide the required amount was not feasible, to borrow was the only alternative.

Domestic loans were, for the time being, unobtainable; the foreign debts must, therefore, be paid with foreign money.

Foreign money could be obtained by issuing French government bonds, in other words, against loan certificates, but only if this National Debt was secured by a Sinking Fund.

The Sinking Fund could draw on revenue from State forests and eventually on slightly increased taxation.

This rapid liquidation of war debts, according to Ouvrard, would immediately improve the State's credit at home and so automatically increase the exchange rate of the old government bonds. At the same time, a run would begin in France on the new issue as soon as foreign buying started. In this way France would build up a "truly national public debt", in which individual citizens would actively participate.

Ouvrard's plan was received with the utmost bewilderment. It seemed at that particular time highly paradoxical that money should be found abroad to pay foreign debts. Furthermore, it was hard to imagine what foreign buyers would be attracted by the new issue, which would run into thousands of millions. Ouvrard's answer was that the Allies themselves were to buy the entire

issue, and, in fact, without any reservations concerning changes in the market price; moreover, the Allied governments would recognize the issue of the bonds in itself as tantamount to payment. This last condition made Ouvrard's plan seem even more astonishing. It was inconceivable that the Allies, who were short of money themselves, would accept bonds issued by a State which was nearly bankrupt and which could give no sort of guarantee that the market price of the loan issue would remain stable. So the Allies would have to carry the entire risk. Furthermore, it was almost certain that, as soon as they offered a large consignment of these bonds for sale, their value would drop well below the market price.

Ouvrard was not in the least put out by such objections, which he had already foreseen. He had worked out four safeguards, which would protect the Allies against all risks. Firstly, the issue must be large enough to cover all the reparations, thus freeing France of all outstanding obligations and gradually reviving international confidence in her; her stock would then rise, not fall. Secondly, the stability of the market quotation could, to some extent, be guaranteed by the size of the independent sinking fund, because every buyer could then be certain of receiving payment in full, when it was due. Thirdly, the Allies, for their part, could stabilize the price by not immediately selling any of the bonds. Fourthly, when they were eventually sold, it would be not by the governments themselves but by a bank experienced in international finance and able to place major stocks skilfully on the market.

So the success of Ouvrard's plan depended, in the final analysis, on finding a firm able and willing to carry a tremendous responsibility of this kind, and which enjoyed the confidence of the Allied governments. There was no doubt in Ouvrard's mind that the only possible candidate was the firm of Baring Brothers of London, at that time the biggest financial concern in the world. In 1816 its head was Alexander Baring,* son of Francis Baring, who, before his death in 1810, had turned the family

* Alexander Baring's grandfather had emigrated from Bremen, where his father was a Lutheran preacher.

firm of cloth manufacturers into a banking-house. The phenomenal expansion of Barings under Alexander was due largely to the fact that, while studying in America, he ignored the only two pieces of advice given him by his father: not to buy uncultivated land and not to marry. He bought 100,000 dollars' worth of land in Pennsylvania and married a woman who not only bore him nine children but eventually inherited almost a million dollars from her father.

Ouvrard had connections with Alexander Baring, for the leading figure in Hopes, P. C. Labouchère, had married Alexander's sister. The English firm had also been involved, together with Hopes, in the Mexican deal, planned by Ouvrard. Moreover, Alexander himself, who served part of his apprenticeship with Hopes before going to America, must have had business dealings with Ouvrard.

So there was nothing fantastic about Ouvrard's proposal to make his whole scheme dependent on the participation of such a powerful, far-sighted and respected figure. The English firm was interested. But the time was not yet ripe; the French Finance Minister, Count Corvetto, had not Richelieu's courage, and the Allies were not yet in the right frame of mind. They still believed that they would get their money without lifting a finger themselves and, when it did not materialize, blamed the French for the wastefulness of their national budget.

Only with the passage of time and under pressure of events did they begin to see reason. For another year and more, however, as it became more and more difficult to get the French to pay, the Allies threatened to increase their occupation forces and even to occupy whole provinces of France in lieu of reparations. "The French," it was said, "will never change." The French, for their part, continued to complain of the "excessive demands" made by the other side, and there was growing "dissatisfaction throughout the entire country over the enormous reparations and forced levies, which imposed a much too heavy burden on the nation". (*Memoirs*.) Finally the point was reached where the Treasury in Paris was completely empty and where there seemed no possibility of even paying the current occupation

costs. The leading French Ministers realized that this was bound to produce tremendous political repercussions. To begin with, they looked round once more for a stopgap. The bankers were summoned but again gave a negative reply. Then Ouvrard was asked for a loan of at least sixty million francs, but, while he was quite prepared to make another deal with the government, he had even fewer illusions about the facts of the situation than the Ministers. His reply was couched in typically bold terms: "No one can raise sixty million for the government's present needs; but it would be child's play to raise a thousand million to enable the government to meet *all* the Allied demands." Ouvrard was back on his old course.

Meanwhile, the position of France had become so critical that the government had no alternative but to adopt Ouvrard's plan. He was sent to London to discuss the situation with Barings. Together with Labouchère he spent a weekend at Alexander Baring's estate outside London. The plan which Ouvrard put forward was still essentially the same: the Allies would take over the new issue of French bonds at a fixed rate, Barings and Hopes would be jointly responsible for underwriting it and would later sell against a fixed commission. Developments in 1816 had made it essential that the issue of bonds should also cover the occupation costs, and Ouvrard suggested to his colleagues that they should advance him 160 million a year for this purpose and should agree to accept repayment in the new French bonds.

Alexander Baring and Labouchère agreed in principle but insisted that any final settlement must depend upon the attitude of the Allies and on the details of the transaction being acceptable to them. This was all that Ouvrard wanted. The agreement in principle of two such powerful financial concerns provided Ouvrard with a lever which he could apply to the Allies. Moreover, when he returned to Paris, he was given the contract—again in the name of Doumerc—to supply all the occupation forces. But, while this was by no means unimportant to Ouvrard, the overriding fact was that he was the man on whose skill and acumen the success of a great national mission now depended. The Prime Minister, Richelieu, gave full powers to Ouvrard to

conduct alone the preliminary negotiations with the Allies on the payment of war debts. Once again, as in the splendid Madrid period, he had become a State Commissioner, and it seemed once more that the ideas he had formed during his years of apprenticeship in Nantes of the businessman playing a major part in world affairs were to be borne out in practice.

At the beginning of December Ouvrard set out to meet the man who had more say in a settlement with France than all the Allied ambassadors in Paris put together—Wellington. The Duke of Wellington, who had reached the rank of major-general at the age of thirty-four, and who by his Spanish victories paved the way for the eventual overthrow of Napoleon, was universally regarded not only as a man of rare distinction but also as possessing a cool, calculating brain, in fact as a very shrewd negotiator. If he could be won over to Ouvrard's plan, then it would not be difficult to get the Allies to accept it. And there seemed, on the face of it, no reason why Wellington should not agree, for he knew better than most how powerful, prudent and responsible the firm of Barings was.

When Ouvrard met the Duke at the Hotel Bellevue in Brussels, on 5th December 1816, he found him highly mistrustful and full of resentment over the difficulties of supplying the occupation army under his command. He threatened to increase the number of troops. Ouvrard, who always favoured the direct approach in any such discussion, suggested that, on the contrary, the occupation forces should be reduced by a fifth; this would make it all the easier to supply the remainder, would cut down France's public expenditure, improve her credit, so raising the market price of rentes and improving the prospects for a fresh loan—which the Allies *en bloc* would take over in repayment of war debts. Ouvrard then explained in detail the plan he had worked out with Baring and Hope, underlined the fact that they had agreed in principle, and within two days, thanks to his extraordinary powers of persuasion, had overcome Wellington's suspicions and convinced him that there was no other way by which the Allies could receive their money.

The plan was now set in motion. Wellington despatched a

courier to Castlereagh in London, suggesting that he confer with Baring. Ouvrard had no sooner reported back to Paris than he was off to England again on a fresh mission. In London he won the enthusiastic support of the French Ambassador, the Marquis d'Osmond, who for a whole year had been fruitlessly searching for a solution. Wellington himself returned home and talked the Cabinet into giving the scheme its blessing. So one of Baring's conditions was already in part fulfilled: that all the Allied governments should give their unanimous approval. Wellington travelled in person to Paris and stayed in Ouvrard's house in the Rue des Champs Elysées. On 8th January 1817 a reparations conference opened in Ouvrard's house, which was attended by Wellington, Richelieu, the Finance Minister, Corvetto and Ouvrard. The findings of this conference were submitted to the Allied ambassadors, accepted by them and immediately forwarded to the various Courts.

In the meantime Ouvrard managed to entice Baring and Labouchère to Paris, although they had told him that they were not prepared to become involved in further negotiations till the Allies and the French had reached a definite decision; he persuaded the somewhat credulous Ambassador, d'Osmond, to invite them to visit Richelieu, who was taken by surprise when they arrived on 14th January. But Ouvrard's stratagem worked, for it was now possible to complete the final details and save a considerable amount of time. The Allies were relieved to find that there was at last a real prospect of being paid in full and they gave their unreserved approval.* On 10th February the first *tranche* of the loan was issued, a round nine million rentes at an interest rate of 5 per cent and repayable at 100 francs a

* Although Wolff does not specifically say so, the reminiscences of the Comtesse de Boigne (daughter of the French Ambassador in London, d'Osmond) make it clear that Ouvrard employed the same kind of bluff that he had used in the peace negotiations of 1810. He now speciously represented to the other parties that Baring and Labouchère were prepared to undertake the loan issues on terms acceptable to everyone when in fact the bankers had not even discussed any such terms. When his bluff was eventually called, it was Wellington and the Russian Ambassador Pozzo di Borgo who threw all their efforts into bringing the negotiations to a satisfactory conclusion.—T.A.B.C.

piece. The Allies bought the whole issue at a take-over of $52\frac{1}{2}$ francs.*

The operation was staggeringly successful. Everything turned out exactly as Ouvrard had predicted, and Alexander Baring's precautions proved for the most part to be unnecessary. For as soon as it became known that the loan issue was being purchased abroad, and indeed by the Allied governments themselves, France's credit was fully restored. No sooner did people realize that, for the time being at least, the bonds were not for sale, than they were anxious to buy them. As a result there was a slow but steady improvement in the price. The clearest indication of Ouvrard's success was the fact that Barings and Hopes, who until then had firmly declined to invest in the loan themselves, suddenly expressed an interest in taking over the entire issue instead of merely acting as brokers for the Allied governments. The scene at the Bourse was reminiscent of the South Sea Bubble. All the streets leading to it were blocked and people literally came to blows in their eagerness to obtain some of the new

* In order to help the reader, a list of the various loans (all at 5 per cent) is set out here. All values are in millions of francs.

<i>Date</i>	<i>Proceeds to Govern- ment</i>	<i>Issue rate</i>	<i>Nominal value</i>	<i>Interest value</i>	<i>Participants</i>
Feb. 1817	100.0	55†	181.8	9.1	Barings and Hopes
April	100.0	58†	172.4	8.6	Barings and Hopes
July	115.2	64†	180.0	9.0	$\left\{ \begin{array}{l} \frac{2}{3} \text{ Barings and Hopes} \\ \frac{1}{3} \text{ French bankers} \end{array} \right.$
March 1818	25.8	64½	40.0	2.0	
May	197.9	66½	298.5	14.9	Barings and Hopes
October	165.0	67	246.3	12.3	Issued on Bourse
	100.0	74	132.3	6.6	Barings and Hopes
	803.9				

† This rate includes $2\frac{1}{2}$ commission, which should be deducted from the issue rate, and its value from the "Proceeds to Government", in order to arrive at the net figure.

It will be noted that as the French Government's credit steadily improved, Barings and Hopes voluntarily shared some of the issue with such Paris banks as Perrégaux and Laffitte and also waived their $2\frac{1}{2}$ per cent commission. The issue of May 1818 was made entirely without the aid of bankers and was over-subscribed more than ten times.—T.A.B.C.

government annuities. The army had to be called in to restore order.

As further instalments were issued what had seemed the most grotesque of Ouvrard's prophecies came true, namely that as the number of bonds increased, their value would go up. A further eight million were issued in April at $55\frac{1}{2}$ instead of $52\frac{1}{2}$. The July issue (nine million) rose to $61\frac{1}{2}$. By March 1818 the issue price for two million had gone up to $64\frac{1}{2}$, and when Barings and Hopes issued the last twelve million, they started at 67. By December 1818 they stood at 75.

A complete transformation had been wrought in France's financial position. Whereas in 1816 the Treasury had only been able to raise money on the domestic market at 15 to 20 per cent per annum, in 1817 large funds were being offered voluntarily at 4 to 5 per cent. As for the occupation forces, they had been reduced by a fifth, bringing the support costs down by 20 per cent.* The most remarkable achievement, however, was that within an astonishingly short time most of the war debts had been paid off, and France's internal stability gave her a contractual right to demand the early departure of the occupation forces.

In September 1818 the Allied monarchs met in Aix-la-Chapelle (or Aachen) to consider whether the occupation should be ended after three instead of five years. As the King of Prussia, the Emperor of Austria, the Tsar of Russia and finally the Duc de Richelieu arrived with full military pomp, the old imperial city relived something of its glorious past, its thirty-six coronations and its twenty-seven imperial assemblies. Yet to a casual visitor the streets, which had been completely transformed, must have suggested a trade fair rather than a political conference; there was an impressive display of trinkets, china, jewellery, paintings, tapestries and all kinds of other goods, while the centre of the town was chock-a-block with Highnesses and Excellencies, with

* Although the nominal rate of interest offered was 5 per cent, investors who obtained 100 francs' worth of stock for each payment of, say, 60 francs (when the issue price was 60) would in fact be earning 5 francs per year on each 60 francs invested = $8\frac{1}{2}$ per cent.—T.A.B.C.

Royal Prussian chamberlains and Imperial Russian generals and Ministers. There was also a large camp-following of artists, singers and painters, of English boxers and balloonists, all of whom hoped to do good business. There were plenty of elegant ladies like the beautiful Madame de Récamier, who went out walking with Prince August of Prussia, and, as a contemporary chronicler observed, the citizens of Aix-la-Chapelle "were sure to catch a glimpse from time to time of the most illustrious sovereigns, radiating geniality and charm, and to have an opportunity of paying their due respects with childlike confidence".

Meanwhile, the Allied leaders had set to work behind closed doors to try to clear up the last remaining problems. On 9th October the Treaty of Aix-la-Chapelle was signed:* Allied troops would leave French soil by the end of November; Allied claims still outstanding were fixed at 265 million francs, 100 of which were paid at once to the Allied governments, in French rentes, the remainder in bills on Hopes and Barings.†

Ouvrard's great plan had thus been fully realized. He himself had little more to do in Aix-la-Chapelle than take the air and arrange dinner-parties. But the importance of his contribution to these negotiations, which were so vital to France, was reflected in the presence of his business friends, Barings and Hopes, at all stages of the discussions. "Was not the settlement of France's financial problems," he enquired of his friends in Aix-la-Chapelle, "at a time when the country was in danger of collapsing under the sheer weight of its obligations, one of the greatest miracles which we have experienced in an age so rich in miraculous events?"

Ouvrard, one would have thought, had earned the gratitude of the French Government in particular. For months he had worked with endless patience and skill, not, of course, merely out of enthusiasm for his scheme or out of patriotism, but because, like Hopes and Barings, as a financier he was interested in making

* See Appendix IV.

† 100 million of these were paid at once to the Allied governments at 75·575, which Barings and Hopes purchased at 74·074. The remaining 165 million were covered by nine monthly acceptances on Barings and Hopes.—T.A.B.C.



Louis XVIII and Napoleon. Anonymous English caricature (1814-15).
Original title: *A Pleasant Draught for Louis or the way to get rid of a Troublesom fellow.* (Peter Haitan Collection)



Armand-Emmanuel, Duc de Richelieu. Drawing by Laguiche after the painting by Lawrence. Engraving by F. Lignon, dated 1824. (*Paris, Bibliothèque Nationale*)



Julien Ouvrard, Ouvrard's son. Lithograph by E. David. (*Paris, Bibliothèque Nationale*)

money. But even before the Treaty of Aix-la-Chapelle set the seal on his work, he had made the galling discovery that he stood to gain nothing. All he had asked was that twelve million of the government bonds should be sold to him—against cash—at the Allies' issue price, so that he would at least receive some benefit from the improvement in the rate, which he had predicted. The Finance Minister, Count Corvetto, who had played only a minor role in the whole operation, refused this concession on the grounds that he could no longer remember having given Ouvrard any verbal assurance. So once again Ouvrard emerged empty-handed, for he had been relying upon the good faith of the government and had not claimed any commission from Barings. On the other hand, Barings and Hopes, according to one of their employees, made a profit of eight million francs. In the circumstances it was understandable that Ouvrard should complain bitterly that the Finance Ministry had given him the most solemn assurances as long as it needed him but had dropped him as soon as he had done what was required of him.

Ouvrard had occasion before long to use the same words in quite another context. Since the fall of Napoleon, he and Vanlerberghe had been pressing an old claim for 13,200,000 francs, which, in their view, was still outstanding from the sixty-seven million which they had spent up to 1804 on supplies for the planned invasion of England. When Napoleon arbitrarily liquidated the Mexican undertaking in 1806, he had declared the remainder of the debt null and void. Ouvrard and Vanlerberghe, who had never accepted Napoleon's declaration, eventually succeeded in having their claim included in the French budgets of 1814-19. But when in 1819, the year following the Congress of Aix-la-Chapelle, payment was finally demanded, the Minister of Marine vetoed it. The case was brought before an administrative tribunal, not a proper court of justice, and the Minister's veto was upheld. The Cabinet, which was no longer headed by Richelieu, confirmed the verdict and threw out the merchants' claim. Vanlerberghe was completely ruined. Two days later he was dead.

Ouvrard, however, was still very much alive. A year later, in

July 1820, he submitted to Richelieu, who had returned to office as Prime Minister, a new plan which provided for a reduction in the property tax by 100 million francs. Before another year had passed, in June 1821, he came forward with a plan for developing France's network of waterways and so stimulating agricultural production. But in both cases luck was still against him, for work to implement these schemes had hardly been started when for the second and last time Richelieu laid down the burden of office which he had carried so reluctantly. He resigned.

Aristocratic Relations

DESPITE the fact that for twenty years, ever since 18th Brumaire, Ouvrard's grandiose schemes had ended unsatisfactorily, even sometimes disastrously, the tireless optimism with which he always made a fresh start was deeply tinged with realism. Such was his versatility and his innate ability that he never failed to discover a new avenue, which, suddenly and surprisingly, opened up yet another horizon full of promise. So, although in 1818 and 1819 he was denied enormous profits to which he believed he had a moral and material right, it did not occur to him to accept defeat.

He now embarked on the kind of venture which had not so far figured in his very varied repertoire. At the outset of his career he had confined himself to purely commercial transactions. Then he took to politics in order to expand what seemed to him a too narrow sphere of operations. Finally, in 1820-21, he decided that the time had come to make an investment of his family. His daughter Elizabeth was twenty-five and therefore ripe for marriage. Social convention assumed that she would marry not for love but as a deliberate act of policy. So Ouvrard behaved quite properly when he began looking round for a son-in-law who would further his business interests. Naturally it must be someone of noble birth. For all Ouvrard's professional self-assurance and individual way of life, he was not without the sense of inferiority of a humble bourgeois towards the old aristocracy. It had given him a unique feeling of pride to entertain such celebrities as Madame de Montesson, morganatic widow of the Duc

d'Orléans, the King of Etruria and the Duke of Wellington in his house. Moreover, in seeking a distinguished match for his daughter, Ouvrard was merely following a long-established tradition, for it had become the accepted practice, even under the old régime, for men of noble family to marry the daughters of successful merchants. The Intendant General of Taxes, Crozat, even succeeded in marrying his daughter to a Bourbon, the Comte d'Evreux. The Intendant General of Taxes, de Pondre, became the father-in-law of a La Rochefoucauld. The daughter of the Court banker, de Laborde, became Comtesse Noailles. In Ouvrard's own lifetime such alliances between money and blood were common occurrences; Napoleon had specialized in them. When General Junot, later Duc d'Abrantès, asked to be allowed to marry a certain Mademoiselle Permon, who had not a penny to her name, on the grounds that all the eligible heiresses were as ugly as maggots, the Emperor, who had become deeply indebted to the Permon family during his youth, advised Junot to think again and marry a rich woman. In 1805 he himself suggested to General Rapp that he should marry Mademoiselle Vanlerberghe, daughter of Ouvrard's business colleague. Marshal Marmont, Duc de Ragusa, married the daughter of the banker Perregaux. Mademoiselle Laffitte became Princesse de la Moskowa. Not that all these men found much happiness with their rich wives. General Rapp observed with telling brevity in his memoirs: "Unfortunately the marriage was not a happy one." Marshal Marmont's wife soon grew tired of being left so much on her own, and, when the Duc de Ragusa returned from the wars for good, he was virtually driven out of his own house by his wife's friends.

Little is known either of Elizabeth Ouvrard's physical attributes or of her moral qualities. But in 1820 it was quite enough, despite the setbacks her father had suffered, that he could offer a prospective son-in-law a dowry of a million francs. There was no lack of suitors. The Spanish General, Joseph Palafox de Melzi, was one who tried and failed. A betrothal with Raoul de Montmorency had to be broken off, when the bearer of this distinguished name found that, with the death of an uncle, he could marry his aunt. But Ouvrard soon had reason to be more than

grateful for this apparent reverse, when the opportunity presented itself of entering into a family relationship with the Prime Minister himself, the Duc de Richelieu. This opened up entirely new prospects, for, if Richelieu had hitherto given the most sympathetic hearing to Ouvrard's plans, family ties would doubtless make him even better disposed.

The son-in-law, whom Ouvrard welcomed so warmly, was the Comte Louis Victor Léon de Rochechouart, a nephew of Richelieu, who had been taken as an orphan into the childless Richelieu house and had become like a son to the Duke. At one time he had been Richelieu's adjutant, then adjutant to the Tsar Alexander of Russia; in 1821, at the age of thirty-three, he was Chamberlain to Louis XVIII. Before long he was appointed Commander of the Paris garrison and Richelieu himself presented him with a not inconsiderable part of his private fortune as a marriage-gift.

Quite apart from any business plans or prospects, Ouvrard had every reason to feel extremely gratified by the marriage, for it linked his family with one of the most illustrious in France. The Rochechouarts could trace their ancestors back to the year 965, among them Athénaïs de Rochechouart, Marquise de Montespan, who had managed to hold the affections of Louis XIV for twelve years and who had borne him seven children. The motto of the Rochechouart family, which Ouvrard's son-in-law still carried on his coat-of-arms, was a typically French device: "*Avant que la mer fut au monde, Rochechouart portoit les ondes*" ("Before the sea was created, Rochechouart carried the waves").

On 5th January 1822 in St. Roche de Paris, in the presence of the Duc de Richelieu, the Comte de Rochechouart married the daughter of Ouvrard, the merchant. At the grand levee that followed, the King himself signed the marriage contract. (Later, in his memoirs, Rochechouart paid the following tribute: "Mademoiselle Elizabeth Ouvrard was very agreeable, without being particularly beautiful; she pleased me well." It is hard to reconcile this dispassionate remark with the statement that he was the happiest of all men.) Then "two years later everything collapsed". That was in 1824, the year in which Ouvrard lost

both his fortune and his reputation in a gigantic public scandal. But at least the son-in-law had one satisfaction: the dowry of a million francs had been paid in full. The scoffers who maintained that Rochechouart had received a wife but Ouvrard had kept the dowry were mistaken. Nevertheless, it was disconcerting for a Rochechouart to have a father-in-law who was a bankrupt and in prison.

Meanwhile Richelieu had been inconsiderate enough to retire from political life in the period between the betrothal and the marriage. His deep-seated aversion to politics had grown rather than lessened since 1818. He was afraid to return to Paris from Aix-la-Chapelle because, after such a resounding success, there seemed no prospect that the King would release him. And if he remained in office a little longer, it was not his appointment as Chevalier du Saint Esprit which kept him, nor the handsome gift of a portrait of Louis XVI, incorporating a strand of Hugh Capet's hair, but simply the King's appeal to his sense of duty. In February 1820, when the Duc de Berry was assassinated, he was reluctantly compelled once again to answer his sovereign's call. But at the end of December 1821 the situation in France was calm, and to Ouvrard's dismay, who had woven so many plans around him, Richelieu finally retired into private life. In the following year, 1822, he died.

Count Rochechouart's career also failed to come up to Ouvrard's expectations. Before the wedding year was up, he was out of favour for no apparent reason, and was suddenly relieved of his post in Paris; he was given twenty-four hours to move out of his service quarters, although his wife had gone into confinement only four days before. Some time later, in 1830, he took part in the Algerian expedition as commander of a reserve brigade, but thereafter, from the age of forty-four onwards, he was obliged to live as a private citizen. He spent most of his time at his château at Jumilhac, which he had bought with his wife's dowry.

So, owing to events over which he had no control, another of Ouvrard's ventures had failed. Fortune, who had smiled on his early rise to power, seemed to have abandoned him. He was fifty-two years old.

Comedy and Scandal: with the Army to Spain

WITH the resignation and subsequent death of his new kinsman, the Duc de Richelieu, in 1822, Ouvrard was forced to abandon a number of ambitious plans, especially his hopes of renewing the old ties between his business interests and a settlement of the Franco-Spanish differences. At a time when fresh political crises were looming up, Ouvrard regarded such a settlement as supremely important. Although sixteen years had passed since Napoleon made him responsible guarantor for the Spanish Government's debts and took the precaution of confiscating his millions, Ouvrard had never given up hope of recovering the money which he had paid so reluctantly. On the other hand, he had little if any legal claim. It seemed to him, as a businessman, that the Spaniards would feel no inclination to make such a belated payment, unless he managed to interest the Spanish Government, which had since completely changed, in his present affairs.

The situation looked promising in the years 1820-22, when the Spanish Crown issued more and more urgent appeals for foreign support against its own subjects. Spain was in the throes of a revolution. Ferdinand VII, son of Charles IV, who had been restored to the throne in 1814, had returned no wiser than his Bourbon cousins in France and continued to rule as an absolute monarch. The King and his lackeys reimposed a tyranny as harsh as any that had gone before, stirred up class-strife, pampered the nobility and the clergy and allowed the common people to starve.

But the army was also neglected, and the first to revolt were the officers of some regiments due to sail from Cadiz to Central America. The cry "Long live the constitution" echoed throughout the country. As had happened in France, this was hailed as "the first year of the constitution for the well-being of the people"; the upper classes were divided into factions called "servile" and "liberale". The members of the Spanish assembly, the Cortes, were so carried away by the army's success that they forgot how in 1789 (that momentous year!) they had fallen on their knees before the King, when he appeared in parliament in person to send the members home. Ferdinand VII might well complain that times had changed, for this same Cortes now proceeded to clip his wings, despite his sudden decision to recognize the Constitution of Cadiz drawn up by the rebels. The Cortes, on the other hand, had reason to mistrust him, for the King tried again and again to arrange foreign armed intervention. The remarkably long-suffering revolutionaries allowed this to go on until the European Great Powers actually began to take the Spanish problem seriously.

A complex political situation of this kind had an obvious appeal for a man like Ouvrard. As a connoisseur of Spanish affairs and an addicted gambler, he immediately saw enormous possibilities. The French were bound to take some action. Since the defeat of Napoleon, Europe had been dominated by men of exceedingly reactionary temperament who saw the Spanish Revolution as a serious threat to the peace of Europe and its restored monarchies. They were now faced with the necessity of leaving the rebels in power or undertaking armed intervention.

The only man who had a different and better solution to offer was Ouvrard. Thanks to his intimate knowledge of the country, he was in a position to interpret the news from Spain with considerable accuracy. He realized that this revolution, which was causing so much anxiety throughout Europe, was very superficial. It was confined to certain influential circles and to a small section of the army. The common people had never taken much interest in the constitutional issue. The clergy believed that their destiny was inextricably bound up with that of the monarchy—

a belief that was fortified by the occasional plundering of monasteries by the rebels—and had ample opportunity to voice the battle-cry of the royalists: “Long live the King and the Holy Inquisition”.

It was on this internal split in Spain that Ouvrard based his plan. A full two years before the European governments finally reached a decision, Ouvrard had made up his mind. On 6th April 1821 he submitted a memorandum to the then Prime Minister, Richelieu, in which he underlined the dangers inherent in military intervention by the Allies. Either France would be entrusted with the actual operation, in which case the military and the domestic consequences were quite unpredictable, or a joint Austrian, Prussian and Russian expedition would be organized, in which case France, as military base, would once again be saddled with foreign troops only a few years after she had rid herself of them. All the risks and the expense involved could be avoided, Ouvrard argued, because there was a much simpler way to restore Spain to her monarchy, her religion and her ancient customs. The internal split in the peninsula must be exploited to revitalize the royalist party, which appeared to be the weaker, but, if one took the attitude of the masses into account, was in fact the stronger. Then the Bourbons would themselves be in a position to restore order. The royalists lacked only one thing. They had political leaders, officers, arms and ammunition; what they did not have was the money to pay the army. If the royalists were given the money, the clergy could be relied upon to muster an “army of the faithful” which would radically change the situation. Seven or eight corps of loyalist Spaniards would march on Madrid, force the Cortes to capitulate and free the King from its control.

Ouvrard's proposal should, on the face of it, have had a dual appeal for the Allied governments: it would reduce the risk of war and it would save a great deal of money. For it was inherent in Ouvrard's plan that the millions supplied to the Spanish royalists should be a loan against Spanish government bonds. Unfortunately, Richelieu, who had shown himself receptive to Ouvrard's ideas, was replaced by Monsieur de Villèle, a man by

nature averse to taking final decisions and basically opposed to intervention. He had to contend, however, with a powerful war faction headed by Chateaubriand.

This was the position in October 1822, when Ouvrard hurried off to the Congress of Verona where the Spanish question was to be finally settled by the Great Powers. He arrived just in time, for the Congress was on the verge of collapse. Ouvrard was received by Metternich and, in the presence of Gentz, Metternich's chief political adviser, he again underlined the hazards of a military intervention. It was agreed that his proposals should be considered but no decision was reached.

Ouvrard was not motivated by any passionate love of peace. He had sound commercial reasons for advising against an armed intervention. If his claims of 1806 were to be met, then he must place the King of Spain under some obligation, and this could only be achieved if the King owed his freedom not to the European Powers but entirely to Ouvrard. This plan, grotesque as it appeared to be, became a practical possibility provided aid to Spain was made a purely French concern. From the beginning it was Ouvrard's intention to give the Spaniards their loan without any support from the French Government. All he asked of Villèle was that he should recognize another Spanish body as legal representatives of the captive King, namely the three-man "Regency" which had been set up in August 1822 in the mountain fortress of Urgel after its capture by the royalists. The Regency consisted of a lawyer, a priest and a soldier. The Marquis Mataflorida, who had worked his way up from a private law practice to the Ministry of Justice, was a millionaire who had committed his entire fortune to the counter-revolutionary struggle; the Archbishop of Tarragona had the support of all those who believed that the future of the Church was linked to that of the monarchy; the Baron d'Eroles had displayed his military talents in the Spanish War of Liberation against Napoleon, which marked the beginning of the Emperor's downfall.

When the Spanish Regency at Urgel sent a delegate to Paris to obtain more money, French officials gave him plenty of

comforting words, promises, good advice and reproaches, but no money. "In an enlightened age," remarked Ouvrard drily, "the only ideas which arouse any enthusiasm are those which cost nothing." But in his heart he was naturally delighted that the government had turned a deaf ear to this request, leaving the Regency's emissary with no alternative but to apply to him. The request for two or three hundred thousand francs was turned down flat. Ouvrard acted on the familiar principle that a small credit was a waste of money, whereas an enormous loan was a safe investment. So he told his astonished visitor that what the Regency needed was not 300,000 francs but 400 million and that he would obtain it. The draft contract which Ouvrard drew up and duly handed over on 1st November 1822 provided for a loan at 5 per cent interest, 2 per cent amortization, and—the sting in the tail—the deduction from the loan of the money which, in Ouvrard's view, the Spanish Government had owed him for so many years.

It is more than doubtful if this method of collecting an old debt, which Ouvrard had used with Napoleon several times with success, would have worked in this case. The Regency of Urgel would certainly have declared that any such commitment was far beyond their powers. But neither party was called upon to make a final decision, for Ouvrard had laid down one condition which was not fulfilled, namely that the Regency should be officially recognized as legal government of Spain either by the Congress of Verona or at least by the French Government.

But Ouvrard's dreams were finally and irrevocably shattered when the European Powers decided, largely under pressure from Russia, to intervene in Spain. France, which only some thirty years before had launched a world revolution, was now called upon, "in the name of Europe", to crush the Spanish Revolution. The King's speech from the throne on 20th January 1823 carried a declaration of war on the Spanish Cortes.

There was only one consolation for Ouvrard: if the war was actually conducted by France, then this must provide an opening for him. Admittedly, the head of the government, Monsieur de Villèle, had made no secret of his dislike for him. Villèle was

simply opposed to anyone connected with his predecessor, Richelieu. But Ouvrard had foisted his services on a bigger man than he, Napoleon Bonaparte.

In Paris, however, where the Minister of War, Monsieur de Bellune, was in charge of all the preparations, Ouvrard did not make much progress. Estimates had already been publicly invited and supply-contracts given to a variety of firms. For the time being at least, Ouvrard had to be content with the order placed with the firm of Dubrac, in which he had a controlling interest. But this was much too modest for Ouvrard's liking. If he could not get what he wanted by direct means, then he must try to find some other way of upsetting the Minister's arrangements. So Ouvrard packed his bags and set out on a long coach journey through southern France, arriving at Bayonne on 3rd April.

Bayonne was the focal point of the military preparations, the Army Headquarters where the Intendant General, Sicard, was stationed. In and around the town were massed all the troops, equipment and supplies. The War Minister, the Duc de Bellune, had also gone down from Paris to inspect the army in person. Here at Bayonne, where Napoleon had lured the Spanish Bourbons into a trap in 1808 and forced them to abdicate in favour of Joseph, Ouvrard played a similar trick on the horrified Minister. While Bellune went round, beaming and blissfully confident that he had done everything to ensure the success of the campaign, the feeling grew amongst all those in responsible positions that the supplies for the army and particularly the transport facilities were completely inadequate. The Intendant General, Sicard, was wringing his hands, because he could no longer feel sure of guaranteeing the army's food-rations in Spain. The Bourbon Prince, the Duc d'Angoulême, who was Commander-in-Chief, had little or no idea what was going on and was merely waiting with mounting impatience for the moment when the bugles would sound and the war begin. Ouvrard, the expert, was given a warm welcome and made a thorough investigation which confirmed the Intendant's worst fears. He reported that in Bayonne there was just enough grain for ten days, enough biscuits for

two to three days, and there were no mills; where there was flour, there were no bolting-hutches;* where there were bolting-hutches, there were no ovens or bakers; infantry posts had been supplied with forage while cavalry posts had none; the number of baggage-vehicles and horses was completely inadequate. This picture was by no means borne out entirely by the facts, but even an impartial observer like Marshal Marmont said of the Duc de Bellune that his vague and often conflicting orders did not give the impression that France had ever waged a war before. Ouvrard doubtless did not fail to remind those in charge, the Chief of General Staff, Count Guilleminot, his assistant, General Bordesoulle, and the Intendant, of the fate of Junot's invading army in 1807, when, because of lack of supplies, the Spanish roads were soon crowded with stragglers and sick men.

As soon as the leaders in Bayonne realized that the transport available was quite inadequate to keep open the army's supply lines, Ouvrard's offer to guarantee supplies in Spain for the army seemed a godsend. And as, on the testimony of Marshal Marmont, he was generally considered to be equal to any emergency, he was called into consultation on 4th and 5th April in Bayonne, with a view to changing all the arrangements and placing them in private hands. The only one who knew nothing of the new contracts which were being drawn up was the War Minister, Bellune, who alone was, strictly speaking, authorized to sign them. Instead, the sanction of the impatient Duc d'Angoulême was obtained, so that there was little the Duc de Bellune could do. It was not until 8th April, when he was on the point of returning to the King in Paris, that the War Minister learned of the two contracts which "the distinguished son of France" had signed, together with Ouvrard, on the 5th. Completely taken by surprise, he had no choice, for the time being at least, but to give his approval. Complaining of his rheumatism and of the miserable way his excellent administrative arrangements had been carried out, he entered his carriage and set off for Paris. And the man who had been Purveyor General to the Directory and to Napoleon during his hundred days had now taken up the

* Used for sifting the bran after milling.—T.A.B.C.

same post with the Bourbon army, despite the fact that all supplies had already been contracted out to other firms.

The War Minister had ample time on his return journey to consider what had really happened. He now had an opportunity to study the thirty-seven clauses in the two contracts, which had completely upset his own arrangements. A careful perusal of the details was not designed to improve his temper. They were substantially as follows:

As long as French troops were on Spanish soil Ouvrard was entirely responsible for their supplies.

The prices were fixed: a 750 grammes ration of bread 30 $\frac{2}{3}$ centimes, 550 g. of biscuit 46 cts., $\frac{1}{4}$ litre wine 25 cts., $\frac{1}{16}$ litre cognac 8 $\frac{1}{4}$ cts., etc. If food prices rose more than 10 per cent, Ouvrard would be paid correspondingly more.

All foodstuffs and army equipment already supplied or about to be supplied would be placed at Ouvrard's disposal at the agreed prices, but he received a "handling fee": 5 centimes per ration of bread, 7 $\frac{1}{2}$ centimes per ration of forage.

Any bread ordered by Ouvrard for troops on the march but not consumed would be taken over by the army or sold in Spain at the army's risk.

As prices were not available for forage, Ouvrard only agreed to provide it against a commission of 2 per cent and a further 7 $\frac{1}{2}$ centimes per ration on distribution. Fuel supplies were also to be provided at a commission of 2 per cent.

Any losses suffered through act of God or by enemy action would be borne by the State; full payment would be made for any foodstuffs destroyed. The State would bear the cost of all buildings for storage and distribution and of all depots.

Purchasing and distribution would be carried out by Ouvrard's employees; in fact the administrative personnel of the army, who would be paid by the State.

Eleven-twelfths of all such payments would be made in advance and within the first five days of each month. The State was obliged to pay in cash. Any disputes between Ouvrard and any government department arising from this contract would be submitted to a court of arbitration.

"The registration fee for the foregoing contract is fixed at one franc."

The War Minister must have winced as his eye fell on the last signature: "Louis Antoine (de Bourbon, duc d'Angoulême)". Then followed a second contract, in which there were twenty-one clauses covering transport. Its main provisions were that:

Ouvrard had to provide 600 rack-waggons and 6,000 mules, saddled and harnessed. The State would hand over to him, against payment, all the mules already available.

The crews of the mule-brigades—one driver to every two animals—would be paid, clothed, fed and quartered by the State, which would also be responsible for feeding and stabling the animals.

Ouvrard would receive three francs a day for the hire of each mule. For the hire of each waggon he would receive 11½ francs per day per yoke; the normal waggon would have four yokes.

The State would be responsible for any losses incurred by act of God, enemy action or plague and also for losses incurred by a breakdown in food supplies, which Ouvrard had agreed to provide on a commission basis. The indemnity rates were: 600 francs per waggon, 500–600 francs per draught animal.

The State was obliged to buy from Ouvrard at these prices any waggons and animals which had become superfluous by the end of the first year. In the second year the State was required to pay only a sixth of these prices.

Any animals remaining in Ouvrard's possession after hostilities had ceased would be fed by the State for another three months in order to guarantee the entrepreneur favourable selling conditions.

An arbitration tribunal would also deal with any disputes arising from this contract.

By the time he had come to the end of these documents the War Minister, Bellune, was also at the end of his tether. He had spent two months making preparations, and now Ouvrard was entitled by these contracts to make his first deliveries from the

stocks accumulated by Bellune himself along the Pyrenees. His grain, his cognac and his draught-animals were simply to be handed over to the Purveyor General; it was not Ouvrard who was supplying the State but the State which was supplying Ouvrard. And yet, as if to add insult to injury, it was he, Monsieur de Bellune, who was being blamed in Paris for having made such inefficient arrangements that this emergency contract had become inevitable. And Ouvrard had not even money to offer! He was not required, as was otherwise customary, to put down a substantial deposit. On the contrary, he received almost the whole of his money in advance at the beginning of the month. And there was nothing to be done about it; the contract ran for the duration of the war and Ouvrard had had the impertinence to insert an arbitration clause, which invalidated the normal procedure of revising contracts unilaterally by simple administrative decree.

While the Minister drove on towards Paris in a state of mounting rage and frustration, the army began to march, on 7th April 1823, from Bayonne. It was almost ten years since Napoleon's army, in June 1813, had been compelled to evacuate Spain so ingloriously. Under the terms of the contract, the Purveyor General was paid 1,000,000 francs in cash on 6th April, 2,000,000 francs on 7th April, 3,400,000 francs on 11th April, a total of 6,400,000 for the month. He was able to draw on the War Minister's stocks for ten days and only made his first purchases, 1,500,000 rations, in the second half of the month.

With his usual enthusiasm Ouvrard concentrated mainly on the most difficult problem, transport. He sent out his agents along the country roads to buy up every vehicle they could find at any price. In spite of that, only a part of the ammunition and half the artillery could be moved in the first month.

It was very soon clear that Ouvrard had been right in his assumption that supplies could not be sent forward from France but must be obtained, but not under any circumstances requisitioned, in Spain itself. Requisitioning, which must have been a part of the War Minister's vague plans, could only serve to drive the loyalists amongst the Spanish people into the arms of

the constitutional party. In fact, Ouvrard gave a practical demonstration of a principle which he had tried to impress upon Napoleon, the principle of purchasing supplies inside enemy territory, and in this case it saved the situation. After a few days' march the army found itself in the kind of mountainous, inaccessible country where roads were few and far between. The first reaction of the peasants, who still remembered the harrowing guerilla war against Napoleon, was to keep out of the way and only sell their produce—if at all—at very high prices. But Ouvrard's knowledge of human nature proved invaluable. His solution was a very simple one: he looked for the chink in the peasants' armour. He showed them plenty of hard cash, gold and silver, let them feast their eyes on it, and said, in so many words: It is all yours.

At Tolosa, when the officers demanded to know where his stores, his depots and his supplies were, Ouvrard gave orders for tables to be set up in the market-place, spread out his money on them, then summoned the local council, the clergy and the merchants and asked them to get the peasants to deliver food and supplies for cash: bread, vegetables, meat, oats, hay, horses and waggons. Anything delivered before eight in the morning would fetch ten times the normal price, before nine, nine times, before ten, eight times, and so on. "Self-interest is a motive that never fails" was one of Ouvrard's mottoes. At Tolosa the peasants fell over one another to prove how true it was. From the early hours they could be seen hurrying across the hills in order to be amongst the first. Very soon the law of supply and demand began to work in Ouvrard's favour, so that he had no further need to pay abnormal prices. All the army's needs were more than adequately met; the Second Corps had enough supplies for ten days in advance.

To begin with, of course, Ouvrard had been obliged to pay enormous prices, which no professional army officer would have dared pay, but it was justified by events. From then on the army enjoyed an excellent reputation, and Ouvrard managed to feed the troops throughout the entire campaign without requisitioning and without building up any reserve stocks. Spanish

traders became interested and soon Ouvrard was able to revert to his old method of letting sub-contractors do the work.

Everything would have turned out splendidly for Ouvrard, had it not been for Monsieur de Bellune sitting in Paris and wondering how he could get rid of a Purveyor General he had never wanted. He tried in vain to vent his rage on the Intendant General, Sicard, who had also put his signature to the contracts. Sicard, it is true, had been relieved of his post, but the Military Intendant of the Tenth Army, Bourdon, whom the War Minister had appointed in his place, was not even allowed to enter Bayonne and had to return immediately to Paris. In the meantime, at the Prime Minister's instigation, a Monsieur Regnault had been despatched to the front with the rank of Royal Commissioner to undertake an enquiry into the contracts. The War Minister gave Regnault, who had a strong personal bias against Ouvrard, strict orders to cancel the agreements and not to conclude any further contract until the Minister had seen it. The final result of this manœuvre was that on 2nd May, a few days after Regnault had seen Ouvrard, the Vittoria Agreement was drawn up—without the Minister's knowledge—which by and large confirmed the agreements made at Bayonne. Certain changes were made in the prices, but while some were reduced, others were even increased. The War Minister was beside himself when he heard that, despite all his telegraphic instructions, his new Intendant had not only renewed the Bayonne contracts but even extended them. For at Vittoria Ouvrard was also given complete control of the forage and fuel supplies, which he had hitherto provided only on commission. And the 10th and 11th Divisions, which had been supplied by the government, were also included in Ouvrard's new contract.

Naturally Monsieur de Bellune did not take this lying down; the third Intendant General followed his predecessors into obscurity, to be succeeded by the Baron de Joinville. By this time it was the end of June and Ouvrard had reached Madrid with the troops. Monsieur de Joinville immediately investigated prices throughout the country, had discussions with the Prince, the Chief of General Staff, the Assistant Intendant, and naturally

with Ouvrard, and came to the conclusion that, while the campaign was in progress, it was impossible to make any radical change. On 26th July yet another contract was drawn up in Madrid with Ouvrard, who again had to accept certain minor modifications in his prices. The bread ration was now 29 centimes instead of 30 $\frac{2}{3}$, forage 2·67 instead of 3·15, cognac 8 instead of 8 $\frac{1}{4}$.* But once more the Bayonne contracts were substantially confirmed. A price-index clause was even added, which spoke only of increases in the market prices and higher rates of reimbursement but not of any drop or further reduction. To start with, the reimbursement for the meat ration was even increased by 8 $\frac{1}{4}$ centimes.

This whole affair, which everyone took so seriously, suggests that neither the War Ministry in Paris nor the Army Headquarters had anything more important to think about. And indeed this was so, for though France was at war with Spain yet the troops had no worries apart from sleeping, eating and drinking. They encountered no resistance. The Duc d'Angoulême rode at the head of his army, as though he were leading a march past. The rebel army of 130,000 men, which, early rumours had it, would oppose his 100,000, did not materialize. The fearsome mountain passes, scenes of countless ambushes in the Napoleonic war, were now deserted. Only the occasional group of shepherds or peasants gazed down curiously from the mountains—at the strange host of armed men passing along the roads below. When the French troops entered Madrid by the north gate, the troops of the Spanish constitutionalists left it by the south gate.

So the calculations Ouvrard had made at the time of the Congress of Verona had been correct. The broad mass of the people was loyal to the monarchy and the revolutionary movement's fighting strength was negligible. But the wealthy intelligentsia was deeply committed to the cause of freedom and a constitution and gave the French an unfriendly welcome. In one house where officers were quartered the lady of the house appeared at table with a napkin over her arm and said to one of Ouvrard's staff: "Now that the French are here, we must regard

* See p. 158.

ourselves as slaves; I am starting my service." In another house when Ouvrard paid compliments to the daughter and said she would be overwhelmed with suitors, she replied: "I would rather die a virgin than belong to a slave." The different behaviour of the common people, though they had waged guerilla war against Napoleon, was explained by Ouvrard as follows: "Independence is something people defend in blind fanaticism, out of national pride, whereas civil freedom can only be defended by those who understand it and appreciate its value. In the struggle for independence every man is a soldier and the whole people takes to arms; only fully fledged citizens will fight for their personal freedom, and they are in a minority in most countries, particularly in Spain." Even in the capital the mass of the people were for the King, and the Duc d'Angoulême had the greatest difficulty, after the Spanish troops had withdrawn, in protecting the remaining supporters of what was in fact a very moderate constitution from the fury of the population.

The indignation of the people of Madrid was all the greater as the rebel army had taken the King with it when it left Madrid on 23rd May. Incredible as it may seem, the French Commander-in-Chief made no attempt to rescue him, when he allowed the Spanish troops to withdraw. The only one who could derive any satisfaction from this was Ouvrard, for it meant that the war and his contract were prolonged for another four months. The French army was compelled to pursue the fleeing rebels throughout the length of Spain, first to Seville, then to Cadiz, where the Trocadero, which was generally considered to be impregnable, was taken by storm on 30th August. Four hundred French soldiers were killed, the only casualties of the entire campaign. But the siege of the town still continued, because the French fleet which should have made a simultaneous attack on the town had not arrived.

As soon as the army was stationed for any length of time at one spot, Ouvrard ran into difficulties. Before long, all food supplies in the vicinity of Cadiz were exhausted, and Ouvrard was compelled, not for the first time, to do something out of the ordinary. Failing the treasure of Mexico, which was of no further

use to him, there was the Emperor of Morocco. Armed with letters of recommendation from the Duc d'Angoulême he set off in the brig *Zebra*, but even on the short crossing to Tangiers she was blown back time and again by contrary winds. But his nephew, Victor Ouvrard, succeeded in reaching Gibraltar, with the help of a robber chief, and crossed from there to the African coast. Gifts to the Pasha of Tangiers and the Emperor in Fez produced the desired effect: in November a trade agreement was signed, enabling Ouvrard to import 300,000 cwt. of barley and 4,000 oxen.

This agreement, however, was one of many somewhat unorthodox transactions, the conclusion of which gave Ouvrard so much satisfaction and aroused great expectations only to lead to the most appalling complications and eventually end in complete chaos. The conclusion of the agreement had, in the nature of things, taken some time, and, before the negotiations had been completed, Cadiz had fallen. The French fleet had finally appeared and bombarded Cadiz at the end of September, the army of the Cortes had capitulated, and by 1st October the King was at liberty again and the French troops were marching slowly northwards. The contract with the Emperor of Morocco was transferred to an agent, Ducroc, who was to continue supplying Cadiz. Unfortunately, he went bankrupt, which led to bill protests, the forfeiture of pledge guarantees and official re-criminations.

The collapse of this venture was followed by premature termination of his contract with the government. Ouvrard had suffered so often from the bad faith of governments that he can hardly have been surprised by this. His services were no longer required—at least not so urgently. The Army Intendants had got to know the country and had learned all they needed to know of Ouvrard's methods of obtaining supplies from the Spaniards, while the Generals could now dismiss all possibility of enemy action and the complications that might ensue. So the Duc d'Angoulême, nephew of the King of France, who had hitherto been Ouvrard's mainstay, at last gave way to the War Ministry in Paris, where official feelings were still ruffled. He asked Ouvrard

for premature cancellation of his contracts. Ouvrard made certain counter-proposals and a fresh agreement was concluded. "In order to give the Purveyor General proof of our satisfaction and, at the same time, compensation for the premature termination of his contract", on 14th November the Duc d'Angoulême decreed that the price reductions introduced in the Madrid contract as against the Bayonne contracts should be "declared invalid once and for all".

So Ouvrard gradually dismantled his whole organization. He now had time to study at close quarters the political consequences of this strange crusade. One day, for example, he saw the Duc d'Angoulême leaving Ferdinand's house, flushed with anger, after the King had abruptly rejected the suggestion that he should adopt a more liberal constitution and, above all, should show leniency towards the rebels. In the words of the royal proclamation of 1st October, the King had "been restored to the throne of the saintly Ferdinand—by the wise and just hand of the Almighty". In Seville, where the Feast of the Holy Rosary was being celebrated even more joyously than usual, the voice of the people echoed the will of the ruler: "Long live the absolute King and the Holy Inquisition." And in Madrid the first grim example was made when General Riego, who had sought the protection of the French troops in vain, was held prisoner in a chapel for three days and then, dressed in the white shirt of a condemned man, was dragged behind a donkey through the streets of the city, in a basket which was held just clear of the ground by monks; then he was delivered to the gallows. A few days later the King returned to his palace; the streets were crowded yet he received a cold welcome; the open carriage moved at a swift trot through the rain, while a lackey held an umbrella over the royal pair.

Having thus witnessed the end of the campaign, Ouvrard lost no time in turning his wartime commitments into more peaceful projects. He had not forgotten the plans which began to take shape in his mind when he argued so passionately at Verona for purely financial intervention in Spain. He was still dreaming, in fact, of the treasures of Central America, and he

could not believe that the good old times of 1804-5 were gone for ever, when he "so to speak balanced the accounts of the Spanish monarchy in both Continents and drew up a budget for them". Although the armed intervention had frustrated Ouvrard's plan to free the King for the Spanish legitimists by means of a loan arranged entirely by himself, he had taken every opportunity during the campaign to renew his acquaintance with them. At Bayonne he had personally advanced money to several penniless Spanish leaders, and he claimed to have made a loan of two millions to the Regency temporarily set up by the Duc d'Angoulême at Vittoria in May. After the army entered Madrid, he entered into negotiations for a very big loan, the interest and eventually the capital to be paid out of the quicksilver mines, but the government in Paris put a stop to this. Then in June 1823, with the help of the bankers Wismann & Co. and an English Consul, he managed to pass large sums of money to the King in Seville to facilitate his release. The first coach and horses which the King used in Cadiz after his escape belonged to Ouvrard, who placed them at the ruler's disposal, knowing that other means of transport would be difficult to come by. In October the King expressed his gratitude in an extremely friendly letter, so Ouvrard had reason to hope that he would find an attentive audience if he once more preached the gospel of the Promised Land, America.

But Ouvrard knew from his experience of 1804 how long it took for decisions to be reached in Spain. He found himself a suitable residence in Madrid and settled down to plan a magnificent social début for himself. It was not difficult, for he had only to copy the parties he had given at Raincy or the receptions at the Palais Montesson. And it worked. As before, he chose a house with historic associations, a palais in the most fashionable part of Madrid, which the French Ambassador had decorated in the best French style. The stables could accommodate 200 horses, the coach-house sixty carriages. The great attraction was the estate of 600 acres; formal gardens in the French style were divided into great squares edged by box-hedges with flower-beds in the middle; the park was full of splendid trees and the whole place

was watered by numerous small streams. A fine lawn, such as not even the British Embassy could boast, was laid with turf cut on the banks of the Manzanares.

This was the sort of milieu in which Ouvrard could happily renew his old contacts with the leading families of Spain. His son-in-law, the Count de Rochechouart, and his daughter did the honours with much elegance and skill. At a ball held by Ouvrard, everyone who counted in society or in the army would be among the five or six hundred guests. Those who remembered the beautiful women at Ouvrard's house in 1804 now met their charming daughters. The entire diplomatic corps would be there. One of the regular guests was Princess d'Ossuna, one of the most distinguished ladies in Spain, whose life Ouvrard had once saved at a reception for Barras in Paris, when her dress caught fire and Ouvrard, with great presence of mind, wrapped a carpet round her. Ouvrard gave a special dinner-party for Pozzo di Borgo, the Russian Ambassador in Paris, who was sent to Madrid to congratulate Ferdinand on his restoration.

On one occasion, at a masked ball, the twenty-two-year-old Abbé Mézière appeared disguised as an elegant Parisienne. The following day he was sharply reprimanded by his superiors. A more serious note was struck with a visit by Father Cirillo de la Méda, the spiritual ruler of 15,000 Franciscans, whom Ouvrard had known from the very beginning of the military campaign as one of the most active supporters of the King. He was only thirty-six, elegant and yet, unlike the heavily perfumed abbés of Louis XV, possessing all the dignity of a Prince of the Church. This man was of particular interest to Ouvrard, who could see how the enormous power he wielded was based on an excellent information service supplied by all his monasteries throughout the peninsula.*

Ouvrard now had ample time to enjoy life. He bought a pack of hounds and went hunting. In the economic crisis following the war, which compelled many people to sell their valuables, he bought precious stones, pearls and old paintings. A court

*When Ouvrard returned the visit, he found him with a large basket of letters, from which he selected one from his monks at Bergara reporting the capture of an officer of the constitutional party and asking for Christian guidance on whether to let him escape or have him stoned.

jeweller made two magnificent necklaces for his two daughters. The younger of the two took painting lessons with Ribera.* Ouvrard himself maintained that this splendid mode of living was quite within his means. There was, indeed, only one distinction which he coveted and could not himself acquire; his great ambition was to be rewarded for his services to the war effort with a hereditary title, "in order to perpetuate the memory of his achievements in the family". It is hard to believe, however, that Ouvrard can have seriously expected such an ambition to be fulfilled, for it was soon clear to everyone that the last thing Paris had in mind was to do him honour.

For all his splendid way of life, Ouvrard naturally did not forget for one moment why he had remained in Madrid. Whenever an opportunity presented itself of engaging the appropriate Spanish Minister in a serious conversation, he employed all his considerable powers of persuasion on behalf of his new project, his new American plans. Circumstances demanded—this was his latest thesis—that America should be used to bolster up an ageing Europe. One must, therefore, see to it that the Continent did not continue to lose the vast sums which had been sadly lacking since Joseph Bonaparte took Charles IV's place in 1808 and trade with metropolitan Spain had almost entirely disappeared. Ouvrard believed that Europe could not afford to lose Latin America. Indeed, he believed that the independent South American States might develop into a direct threat to the industry of Europe. The day must come when the new States of America, once peace had been restored, would begin to copy European methods of industrialization, to employ new inventions and new machines, and to grow European agricultural products themselves. Spain, and particularly France, would suffer the same fate as England, whose production was, he believed, being almost strangled. "Blinded by the economic boom, which brought with it a rapid, day-to-day improvement in the means of production but also put them out of date, so to speak, from one day to the next, the English did not realize the problems they were creating

* Ribera y Fernandez, Don Juan Antonio [1779-1860] became Court Painter to Charles IV.

for themselves; they lost sight of the fact that while capital and running costs could only be covered by a steady increase in production, there was no corresponding increase in consumption; in the end the manufacturers became so dependent on their machines that they, not the manufacturers, became the masters." This, Ouvrard maintained in 1824, was the problem with which France and Spain would also inevitably be confronted but which would become even more acute if the prevailing economic relations at least with Central America were not maintained. "Unfortunately," Ouvrard added pointedly, "no one paid any attention to me when I suggested to the Prince of La Paz in 1807 that the Spanish monarchy should transfer its official residence to the new world of America"; there the monarchy could so easily have found "support in the love and loyalty of these primitive peoples, who look upon their kings as gods in earthly form".

Ouvrard was naturally not prepared to revive this particular plan. More than one and a half decades had passed, during which time, he also felt, conditions beyond the seas had so completely changed as to make the survival of the Spanish Crown much too uncertain. In fact, all the South American colonies had broken free from Europe; in the Argentine the independence movement had begun as early as 1809, in Venezuela in 1811; since 1814 Paraguay had been ruled by a national dictator; Chile became free in 1818; Bolivia and Peru only achieved full independence in 1824. In Mexico itself the Creole immigrants had sided with Spain against the native Indians and even defeated the 100,000-strong army of independence, which the Spanish priest, Miguel Hidalgo, had collected; but the Creoles suddenly changed sides and, after several fruitless appeals to Spain between 1820 and 1822 to create an independent Mexican monarchy under a Spanish prince (which would virtually have realized Ouvrard's dream of 1810), the Creole officer Iturbide made himself Emperor of Mexico. Within a year the Spaniards had to admit that even the monarchical system could not survive, for by 1823, when Ferdinand regained the Spanish throne, the independent States of Central America had a federal republican constitution.

One might have assumed that in face of this ineluctable process of history, Ouvrard would finally have abandoned his dreams of the Mexican treasure. But he found it impossible to give up the most cherished ambition of his life, which had been the basis of his plans in 1804 and 1810 and which he now revived for the third time. The apostle of credit was still so completely under the spell of the mountain of gold which his brother had seen in the Mexican State Treasury at the beginning of the century, that he was capable of tossing even the most sacred of his principles overboard. He had suddenly forgotten the lesson he had always tried to teach Napoleon, that there was more to be achieved with one clever man than with 500,000 soldiers, and persuaded himself that swords and firearms had their virtues. The whole of his new American plan was based on armed intervention, on a military reconquest. What he had in mind was something on the lines of the British East India Company with its private army of 150,000 men and 20,000 sailors. In his many conversations with Spanish Ministers Ouvrard pressed more and more for the establishment of a "West Indies Company", which would first bring the overseas possessions of the King "under the administrative control of the company, having subdued them by force", and would then have an exclusive trading monopoly with America.

Ouvrard even drafted an agreement:

1. A "*Compagnie armée espagnole au Nouveau Monde*" would be set up in the form of a joint-stock company.

2. The total share capital would be 400 million reals or 100 million francs.

3. The money accruing from the shares would be paid to the National Exchequer.

4. The company would be run by a Board headed by three native Spaniards, each of whom must possess a nominal share-capital of 100,000 francs.

5. The Board would appoint all civil and military officials and fix their emoluments.

6. The initial military force would be 30,000 men strong. It

would consist of Spaniards and Swiss, and it would subsequently be reinforced from the native population.

7. The State would grant this company a monopoly of trade with America for a period of thirty years.

8. All State-owned installations in the Spanish colonies would be ceded, together with all that they contain, to the company.

9. The company will have the right not only to intervene militarily but also to undertake political negotiations regarding the *status quo* and the form of government in each individual territory.

10. Should the colonies at any time be granted political independence, they would have to pay an indemnity totalling 1,000 million francs or 4,000 million reals, for all the territories together.

11. This indemnity would be paid to the National Exchequer; the company would receive 10 per cent as commission.

12. The company would be obliged to issue a yearly balance sheet and to publish it.

One feature of this splendid plan was that Ouvrard had apparently left himself out of account, for as a native Frenchman he would be unable to play any leading part. By a remarkable oversight, however, Ouvrard had managed to omit the stipulation that all the shares in the company should be registered shares and that they should only be held by Spaniards.

In view of the developments in the New World, Ouvrard's scheme must have seemed, at first glance, highly Utopian to his contemporaries in 1824, particularly as not only the Central American States with Mexico at their head but also the former Spanish colonies in South America—Colombia, Peru and Chile—were to be handed over to the New West Indies Company. On the other hand, there is little doubt that Ouvrard's plans were politically practicable, given speedy and determined execution. Independence had not put down such deep roots either amongst the natives or amongst the Creoles that they would not have bartered it against the sort of economic advantages which the thirty-year trade agreement offered them. The next

few decades were to show that most of these countries, including Mexico, were only republics in name and were, in fact, ruled by dictators. Moreover, the whole independence movement would not have materialized, had it not been for the severance of all links during the Spanish wars. Not one of these colonial territories could muster a fighting force capable of standing up to a well-trained European army of 30,000 men.

If Madrid kept putting off a decision on Ouvrard's plan and finally let it die through sheer neglect, it was not because Ouvrard had found it impossible to convince the Spanish statesmen that his plan had at least economic advantages. While the discussions were going on, there was a most unwelcome interruption. Great Britain, which had been forced to swallow the independence of her North American colonies, saw no reason why Spain should fare any better in South or Central America. Most important of all, Britain's trade with the new autonomous States in the south, which had developed so nicely, would be seriously affected and possibly even killed altogether by a West Indies Company with a trade monopoly. So the British Ambassador at the Spanish Court, Sir William A'Court, employed every weapon of secret diplomacy he could lay his hands on, in order to wreck Ouvrard's scheme.* He did not have much difficulty, for Spain was a highly vulnerable country, which had just managed to find its feet again with foreign help. So Ouvrard's third American project suffered the same sad fate as its predecessors.

Yet Ouvrard's spirit remained unbroken. His mind was brimful of ideas. But, before he could produce a new one, events took a turn which dashed once and for all the hopes which had brought him to Spain. For steps were taken in Paris early in 1824 to wind up the military expedition to Spain both politically and financially. The Duc d'Angoulême received a delirious welcome

* The weapons of secret diplomacy whereby British representatives abroad—particularly nineteenth-century ones such as Stratford de Redcliffe—are popularly supposed to protect their country's interests were in fact not needed in the present instance. A'Court's despatches to Canning suggest that he did not take Ouvrard's schemes very seriously; in any case, as Wolff admits, Spain's precarious internal condition gave little hope that such a plan could ever become a reality.—T.A.B.C.

home. For four weeks he was hailed as the hero of "this glorious and memorable war", as a "noble scion of Saint Louis and Henry IV", as "a worthy descendant of the virtuous Louis XVI", as "the illustrious warrior" who, to quote the speech from the throne, had led his troops "with courage as well as wisdom". To his dinner guests Louis XVIII compared his nephew with the homeric Achilles, the thunder of whose voice put even the brave Greeks to flight.*

The wave of enthusiasm died away, however, a few months later, on 5th April 1824, when the French Prime Minister mounted the rostrum in the Chamber to explain just how much this glorious page in France's history had cost. He was reluctantly compelled to ask for a supplementary credit of 110 million francs, as the war credits so far approved, exactly 100 million, did not cover even half the cost. Immediately there was a gigantic scandal. The deputies thought that this was going much too far and that the victory, which had "restored the foundations of the social system", had nevertheless been won at too high a price. Had the army left 10,000 dead, instead of a mere 400, in Spain, the elected representatives of the people would have found no difficulty in voting a few more war memorials, but 100 million francs was not so easy to swallow. A scapegoat must be found.

None of the politicians was, of course, prepared to take the blame; neither the Prime Minister nor the Finance Minister, and still less the War Minister, who had always said that the contracts signed with Ouvrard were scandalous. Once the magic name of Ouvrard had been uttered, it dominated the whole acrimonious discussion for the next two years. It gave the French public a focal point for all its grievances. Only fifty to sixty of the total 208 million francs had been spent on supplies, despite the fact that the armed promenade had been conducted without any real military expenditure. But this did not make any difference. There was at least one man who could be thrown to the wolves; the whole of Paris was in a turmoil. Ouvrard was accused of having lined his own pockets with thirty-three million out of the fifty or sixty million supply budget. Particularly well-informed people

* In fact, Achilles' voice threw the *Trojans* into chaos!—T.A.B.C.

also claimed to know that, as soon as Ouvrard received his monthly advance, he put three-quarters by and spent only a quarter on supplies. The Prime Minister, Monsieur de Villèle, realized with dismay that his Cabinet was in danger. Then he devised an apparently excellent scheme for bringing the whole business to an end. He mounted the rostrum one day and declared before God and the world that Ouvrard, and Ouvrard alone, had been responsible for the smooth conduct of the campaign and that, thanks to his experience and skill, the food supplies of the army had been guaranteed throughout the campaign. Without Ouvrard's co-operation the war could not have been concluded in six months. Ouvrard had saved the country money, because inexperienced administrators would have been much more costly.

But even these strong words produced no effect. The texts of the contracts signed at Bayonne, which had made such distressing reading for the War Minister on his return journey, had now been made public. Such agreements, it was said, could only have been concluded in one way: by bribing highly placed officials. In the Chamber Ouvrard was openly accused of this crime by Count Labourdonnaye, and the following day it was printed in the *Moniteur*. The Chief of General Staff, Count Guilleminot, and his deputy, General Bordesoulle, together with the Intendant General, Sicard, were more or less openly accused of having suffered from itching palms. Unfortunately, the Duc d'Angoulême had also signed the contracts, had indeed warmly welcomed them and defended them throughout the campaign against all the War Minister's onslaughts. But the poor Prince, the illustrious warrior, of whom it would have been almost blasphemy to expect that sort of expertise, had simply been an innocent victim of his unscrupulous advisers. The whole affair was said to be "an attack on the loyalty and the good faith of a generous prince".

Much to the regret of the Prime Minister a Committee of the Chamber was set up to investigate. Their findings two and a half months later completely vindicated Ouvrard: "The food rations of the army on the eve of its departure for Spain were inadequate; there was no forage. Worst of all, however, was the shortage of

transport. The Commission recognized the need for new measures—the measures finally adopted were completely justified.” The Chamber had no alternative but to approve the supplementary credit of 110 million francs on 29th June 1824. The general public, however, were still not satisfied. There were further references in the Press to the “thieving hand of shameless and unscrupulous swindlers”; one pamphlet even recalled the case of M. de Marillac, Marshal of France in the reign of Louis XIII, who was condemned to death for having received bribes and, to the delight of the populace, was executed in the Place de Grève. So Monsieur de Villèle felt obliged to reverse his previous judgement on Ouvrard’s contracts and to set up a second Commission of Enquiry. On 30th June 1824 a royal decree announced the names of its members: a retired Field Marshal, an Admiral, a former Imperial Intendant, two serving officials and Count Daru, who, as Napoleon’s Military Intendant, was accused by the Emperor in July 1809 of having allowed 18,000 prisoners on the island of Lobau to die of starvation. These, then, were the gentlemen who had to decide whether to vindicate the organizing ability of their colleague, the Minister for War, Duc de Bellune, or the work done by the merchant Ouvrard. The choice cannot have been difficult.

Ouvrard himself was no longer in Madrid, witnessing these developments in the Chamber and the Cabinet from a respectable distance. Monsieur de Bellune and the government were not content merely to bring the Spanish contract to a premature end, they were also determined to put a stop to his quasi-political activities at Ferdinand’s Court. Monsieur de Villèle was not prepared to let a private individual, and still less a supporter of the liberal Richelieu, represent France’s interests in Spain. So Ouvrard was more or less smoked out of Madrid. On 17th May an Order of the Day was issued which was clearly directed at Ouvrard; it ordered all persons previously employed by the army to leave Spain by 1st June. The quartermasters were instructed to send any outstanding accounts not to Ouvrard but to the Quartermaster General. The papers in Ouvrard’s office, for which he had rented an entire house, were bundled together

Mémoire

sur les Finances,

*Adresseé au Roi et à la Commission de la
Chambre des Députés, chargée de l'examen
du Budget proposé par les Ministres
le 23 Décembre 1815;*

Par J. Ouvrard, en février 1816.

OBSERVATIONS PRÉLIMINAIRES.

AUSSIÔT que le Gouvernement Royal eût été rendu à la France, au mois d'avril 1814, je m'occupai de la formation d'un plan de Finances qui pût embrasser, tout à la fois, la satisfaction due aux CRÉANCIERS de l'État, le soulagement des CONTRIBUABLES et la restauration du CRÉDIT public.

Je ne connaissais pas encore le projet du Ministre des Finances

Title page of budget proposals by Ouvrard. Frontispiece: *Ouvrard, Mémoire sur les Finances . . . 1816. (Paris, Bibliothèque Nationale)*



The Duke of Wellington, Engraving by Richard Dighton,



Attorney-General Bellart, Drawing by Mlle Manger. Lithograph by

in two days, packed in old boxes and despatched in open hay-waggons to Toulouse, where Monsieur de Bellune had decided to make the final settlement. Ouvrard's departure on 14th June, when a French military escort was provided, was not without incident. Ouvrard had never shown a passionate interest in paying his debts at the best of times, but when the Army Paymaster, obeying orders from Paris, had stopped any further payments to Ouvrard on 2nd January, Ouvrard adopted the same attitude towards his Spanish creditors, clearly hoping either to force the French Government's hand or place it in an embarrassing position. But he also refused to accept accounts, even when they were perfectly correct and countersigned by his employees, if the prices were higher than those he himself received. So when he finally departed it was amidst a chorus of cat-calls from an organized street mob. It was a very different scene from the one in spring 1805 when he left Madrid in triumph. Ouvrard ironically suggested that it would have been more appropriate to be "taken in handcuffs to Toulouse by the very people for whom I paved the way to Spain".

When he reached Paris the situation seemed more favourable than he had dared hope. The Committee of the Chamber had just announced, on 21st June, that it regarded the Bayonne contract as inviolable. But then came a setback with the appointment of an official Commission of Enquiry. Five long months passed before this bunch of aristocrats had completed its interrogation, compared all the lists, collected all the documents and seen all the reports. Only one man was not summoned to appear before the Commission, the man whose whole livelihood and reputation was at stake: Ouvrard. All the army quartermasters, all the assistant quartermasters, all military officials and store superintendents were interrogated about the supply position in Spain; only the head of the Commisariat, Ouvrard, was not questioned. So Ouvrard decided to give his evidence in the form of a printed "*Note du munitionnaire-général de l'Armée d'Espagne*". This was his contribution to the flood of pamphlets, which were issued by all concerned in an attempt to sway the Commission.

All of them were playing the popular game of pinning the blame on someone else. The Chief of General Staff, Count

Guilleminot, blamed the War Minister for a deficit of 3,500,000 rations at the start of the campaign; the War Minister was furious with Count Andréossy, the officer in charge of the Commissariat, for not carrying out his instructions; Andréossy held André Marchand, the former Inspector General of the Commissariat, responsible; Marchand complained that the time had been too short and the circumstances unfavourable; as far as the Intendant General, Sicard, was concerned, the sole culprit was the War Minister, and the War Minister accused the Quartermaster General, whom he himself had appointed, of abysmal ignorance. So it went on, till every divisional quartermaster and store superintendent had said his piece.

Finally, on 30th November 1824, the Commission of Enquiry produced a *Rapport au Roi*. . . . Its length was phenomenal: it ran to five volumes in large quarto size with more than 2,000 pages. It was touching to see how the résumé endeavoured to cast a mantle of Christian brotherly love over the shortcomings of the civil servants and to conceal the fact that the report was a shattering indictment of the War Minister and the whole military bureaucracy under him. It was, indeed, possible, by juggling with figures, by adding or subtracting millions of rations, to show that the War Minister had really accumulated adequate supplies of provisions at the Pyrenees frontier or arranged for their delivery. Given this kind of sweeping generalization, Ouvrard's assertion that no preparations had been made at Bayonne was described as incorrect. There were, in fact, only 1,500,000 rations of forage for the 25,000 horses of the 100,000-strong army, and even the Commission considered this too little. There was virtually no dry biscuit, although it was important as the only substitute the soldiers had for bread. This too the Commission found inadequate. But a cautious reckoning showed that at the beginning of April there were sufficient stocks of flour, rice, vegetables and cognac at the frontier to keep the army well supplied for the first few weeks of the campaign. Unfortunately no one knew of their existence, neither the Duc d'Angoulême nor the Chief of General Staff, nor, for that matter, the Intendant General, Sicard, himself. Before Ouvrard arrived

at Bayonne it was generally assumed that the supplies were completely inadequate.

All this the report could not deny, so it moved on hastily to deal with the vast reserve supplies which the far-seeing War Minister had built up for the months after the start of the campaign. For a period of six months, the Commission stated, the army could have drawn on these reserve supplies, but it was compelled to add, regretfully, that there were no means of transporting them to the army. For the War Minister had omitted to provide transport. It would have required 7,200 provision or munition waggons, 34,900 horses with crews. The War Minister had ordered only about 500 waggons and not all of these had actually arrived. On the other hand, no plan had been drawn up to tap the only possible alternative source of supply, Spain; the money was there but no single individual who could have made the necessary decision on the spot. So at the Bayonne headquarters, the report continued, feeling was running high, when Ouvrard suddenly appeared on the scene. The Commission could not very well deny that everyone, and especially the Prince, gave a sigh of relief when someone arrived who was known to be a man of action and of experience.

All the more reason for the members of the Commission to move on rapidly to the price Ouvrard demanded to save the campaign. It was shameful of him to ask for advance payments, to require that his staff be paid by the government, to stipulate a completely unbureaucratic system of accounting, and—the height of impertinence—to demand that any disputes be submitted to an arbitration tribunal. Naturally great prominence was given to the unusual contract concerning vehicles and the hire of horses, but the report actually admitted at a later stage that Ouvrard, by applying his principle of living on the country, was still using only 300 waggons two months after the campaign had begun. The Commission expressed consternation at the War Minister's comparative figures, the source of which was never divulged, showing the prices then current in Spain and the prices fixed in Ouvrard's contract. The War Minister was confident that he had discovered a discrepancy of thirty million

francs on food and forage supplies alone. This did not emerge very convincingly in the report, for it showed that, of the sixty-five million claimed by Ouvrard, a total of fifty million was approved. Actually the Commission's report itself ruled out any possibility of Ouvrard having made such net profits by pointing out that Ouvrard had handed over the actual business transactions to Spanish sub-contractors. In other words, as he had done in 1789 with the paper deal and later with the Mexican project, he resorted to the same method of leaving the subsequent running profits to others.

Army quartermasters, who to their chagrin had found themselves learning the tricks of their own trade from the civilian Ouvrard and even taking orders from him, testified before the Commission that the transfer of business to Spanish contractors had not benefited the army. If the detailed evidence that filled the entire fourth volume of the report was to be believed, then a remarkable picture emerged. At the head of the marching columns the military officials were busily collecting foodstuffs from the local inhabitants against promises of money, while at the tail-end the population were pestering the officers or Ouvrard's staff for money which was no longer there, because it had been paid to Ouvrard in advance. Although, only a few sentences before, Ouvrard had handed over all deliveries to sub-contractors, his hirelings were bringing up the rear of each column, collecting receipts in the villages and only paying cash at a substantial discount. There can be no doubt that Ouvrard stood to gain quite considerably by the Bayonne contracts—he did, after all, perform a major rescue operation—but to represent him as a failure was to ignore the fact that, right up to the end of the campaign, the Duc d'Angoulême refused time and again to have him replaced by the military bureaucrats. So it is only one of many contradictions in the mass of documents published in 1824 when the report concludes, with an obsequious bow to the Duc d'Angoulême: "If, even so, it was found possible to effect the deliveries, this was due entirely to the general confidence in the sterling qualities of the Prince, in his speedy decisions, in the skill of his military operations, and—it must be said openly—

in the honour which everyone derived from being privileged to contribute to his success."

The tribute to the Prince was followed by a slap in the face for Ouvrard: "The business transactions initiated by Ouvrard were ruinous to the public interest." The Commission did not think it necessary to investigate other items of expenditure not concerned with supplies.

While the government were still debating what action should be taken following this adverse report on Ouvrard, he was suddenly confronted by a new and, for the moment, much more dangerous enemy: Armand Séguin. Séguin was well known in Paris as a double-dyed scoundrel. By profession a chemist, he had laid the foundations of his great fortune about the same time as Ouvrard, in 1795. He had managed to convince the Convention that he could reduce the normal period required for tanning leather, from one to two years, to seven to eight days, and in the case of calfskin even to twenty-four hours. The Convention gave him two properties, a great deal of money and a contract for the entire supply of army boots. Séguin supplied the leather and the boots, but the soles were like cardboard. Yet together with this commercial instinct he possessed exquisite taste. His palais in the Rue d'Anjou contained a famous picture gallery and a delightful music-room. (He had one peculiar mania: he took to pieces old Italian violins from the seventeenth and eighteenth centuries in an attempt to discover the secret of their beautiful tone.) Next to his bedroom was a chemical laboratory, in which he also produced an incredible number of pamphlets. So that no one could see into his park, he surrounded it with a twenty-foot-high embankment covered with shrubs. In his riding-stable he had forty magnificent horses, which he seldom rode himself but constantly admired. Although he also kept eight coach-horses, when his wife went out she was given thirty sous to take a cab.

This strange character had a lively sense of humour in everything except money. Ouvrard was made painfully aware of this in December 1824. In February 1823, two months before Ouvrard left for Bayonne, Séguin had fought a successful legal action against him over the unhappy liquidation of the Mexican affair,

which Napoleon had so abruptly terminated. When Ouvrard went to Spain in 1805, Séguin had taken over part of the payments on the large loan which Ouvrard had made to the government.* Séguin earned a fixed commission, all the proceeds going to Ouvrard and Vanlerberghe, who, however, guaranteed Séguin against any losses he might suffer. When the scandal broke and Napoleon held all those involved responsible, he demanded 1,600,000 francs, from Séguin. Ouvrard paid it to the State Treasury. But it was immediately set off by the authorities against Ouvrard's debts and Séguin had to pay the same amount himself. He quoted the indemnity clause. Ouvrard, incensed at the idea of having to pay twice, refused. Séguin had to wait twenty years before he saw an opportunity of getting his money back. On 27th February 1823 the Court condemned Ouvrard to repay Séguin's debt with compound interest—a total of three million francs. Ouvrard refused before the war and he continued to refuse after the war. He had spent three years in prison rather than pay Napoleon and he proposed to treat Séguin in the same way. The challenge was accepted. On Christmas Eve 1824, just as he was leaving his office in the Rue du Brac for home, a heavy hand fell on his shoulder. Ouvrard was escorted—for the third time—to Sainte-Pélagie. It was the fifth time he had been arrested.

This time Ouvrard apparently had reasons of his own for not making his imprisonment quite so comfortable as before. He acquired two rooms from other inmates, one for himself, the other as an office, but he furnished them very modestly. The floor was covered with a plain baize cloth; there was a plain stove, a few chairs, a mirror costing forty francs, an alabaster clock and an old iron camp-bed. For Ouvrard life in prison could not have been simpler. But his hopes of being left in peace to enjoy these simple surroundings were soon dashed, for within three weeks he had started on a round tour of the prisons of Paris. On 12th February 1825 he was transferred to the criminal prison. Having sampled Sainte-Pélagie, the Abbaye and Vincennes, he finally saw the inside of the Conciergerie, in which so many State prisoners,

* The rate of commission on Séguin's loans was the excessively high one of 18 per cent, for Ouvrard, liable as he was at any time to the depredations of Napoleon, was a very bad risk.—T.A.B.C.

amongst them Marie-Antoinette, had spent their last hours. Following the *Rapport au Roi*, the Minister of Justice was instructed "to proceed according to the laws of the Realm", and Ouvrard was accordingly accused of having bribed senior State officials and generals of the French army. It was rumoured that Guilleminot had engineered a lucrative post for his brother-in-law, and that General Bordesoulle had been in a position, on his return home, to buy an estate worth 600,000 francs. The Baron de Joinville was said to have received 400,000 francs for giving his approval in Madrid to the Bayonne contracts.

With Ouvrard's incarceration in the Conciergerie the wheel had come full circle. For in 1824 he entered the same prison from which, thirty years before, he had rescued his fellow citizens from Nantes, when they fell foul of the Revolutionary Tribunal. Strangely enough, even in the Conciergerie he managed to enjoy considerable freedom of movement. He was given permission to transfer his belongings from Sainte-Pélagie, two clerks were allowed to work in the vestibule, and, when this became too uncomfortable for Ouvrard, he was allowed to break down the wall between the two rooms and turn them into one. On Sundays he entertained his family, and a frequent visitor was the famous actor, Talma, with his small son. Ouvrard was even at liberty to attack the government, both verbally and in print, a freedom unusual for the age.

Ouvrard began his attacks on a purely commercial basis. Monsieur de Villèle, the latest of his great adversaries, tried to reduce the State's heavy interest payments by converting the 5 per cent loan to 3 per cent. There were indignant protests from all those who held 5 per cent rentes. Ouvrard tried to whip up this indignation by publishing letters in the Paris newspapers in September 1825, in which he warned the public against the Prime Minister's intentions and offered to give details of another form of conversion which would be quite safe, quite simple, less ruthless and just as productive. Naturally this offer was not taken up.

Ouvrard was soon to have an opportunity of giving an account of himself. But for the time being he lapsed into silence in order to obtain trial by the Court of Peers. In December 1825,

when he was brought before the Cour Royale, the Public Prosecutor, Bellart, complained of the obstinacy of the accused: "Whatever questions one puts to him—he never replies. If one asks him to explain a very significant fact—he does not know what one is talking about. If one shows him a letter—he does not know who it came from. If one asks him to clarify a certain passage—he does not know what the correspondent had in mind. If one enquires how he came by such and such a paper—he does not remember. If he is called upon to say whether a certain matter turned out thus—he thinks: yes or he thinks: no. But he is unable either to confirm or to deny it."

But Ouvrard's tactics proved effective, for the Supreme Court found the whole affair so embarrassing that it declared itself incompetent to deal with it: only the Chamber of Peers could decide whether its two members, Count Guilleminot and General Bordesoulle, had accepted bribes. Until this decision was reached, judgement could not be passed on Ouvrard.

The Court of Peers decided to take the matter up. In February 1826 Ouvrard had to return to the Conciergerie. Two months later the hour of freedom seemed to be at hand. On 22nd May a Commission declared that it was convinced of the innocence of the accused generals. But on 10th June the Court of Peers decided to make a fresh investigation of the Bayonne contracts, regardless of the bribery charges. A second edition of the five-volume report of the previous Commission was issued. A fresh report by the Chairman was a shattering indictment not merely of the War Minister but also of the first report. Such food supplies as had been accumulated around Bayonne were not even available for the troops when the advance began. All the War Minister's orders came too late. Forage: "There was neither hay, nor straw, nor oats." Transportation: not even the 495 waggons were there as stated. Administrative staff: hardly trustworthy and undermanned; of 157 doctors only forty were present when the troops marched off. The final conclusion: "The contract with Ouvrard may have been carelessly drawn up, but it was justified by events." So on 3rd August the Court of Peers acquitted all the accused, including Ouvrard, of the charge of corruption.

None the less, the question of *attempted* corruption was referred back to the ordinary courts. It was decided that Ouvrard should remain in custody till this question was settled.

Another three months elapsed before judgement was passed. Then at last, on 9th November 1826, the final stage was reached. "All lawsuits," remarked Ouvrard, "have a natural tendency to expand indefinitely; mine was unique in that it contracted more and more." And, in fact, this mammoth trial petered out miserably in a common police court.

Ouvrard was acquitted and released. Even the Public Prosecutor had withdrawn his charges. The general public had almost entirely lost interest. "It is our greatest weakness in France," said one contemporary observer, "that we are immediately excited by a major event. In a burst of enthusiasm we put pen to paper but almost always we catch no more than a glimpse of the truth. We do not give it time to make a proper impact on our minds. When it eventually does, the matter has long since been settled and has lost all interest." Ouvrard would certainly have found little to add to this summing-up. An innocent man, he had wasted two years of his life in custody. He had been severely punished for saving the army and the country from disgrace and perhaps from disaster, against a War Minister's will.

Even now, however, Ouvrard was still not a free man. As the government was not prepared to fulfil the Bayonne contracts or to accept arbitration, but was prepared to go back on the solemn word of the Duc d'Angoulême as commander-in-chief, Ouvrard's disputed millions were simply not paid. In the circumstances, he could not see his way to paying Séguin the three million francs, a debt imposed on him by another quirk of fate. So he returned to Sainte-Pélagie, where he remained a further three years. Not until the end of 1829 was he finally set free. The moment of his release was fortunate. For once again France was about to be faced with crucial political decisions and, as before, there was everything to be said for making certain long-term provisions. And—something that meant a great deal to Ouvrard—he was soon to have the opportunity for a final showdown with competitors who were steadily growing in power, the Rothschilds of Paris and London.

The Slump of 1830; Battle with Rothschild

DURING his five years of imprisonment Ouvrard had been far from idle. Whereas in Vincennes in 1810 he found it necessary to scatter and pick up pins in order to preserve his sanity, he spent the period from 1824 to 1829, while he was waiting to be released, in planning, discussing, corresponding and dictating. He did not employ two clerks in prison merely to create an impression. Apart from the documents he printed in his defence, he also produced several pamphlets attacking his former colleague Tourton, who was suing him for part of the profits from the Spanish campaign. MacGregor, one of the generals in the Spanish War of Independence, enlisted his help to get property acquired in Colombia legally recognized in Madrid. A large number of people visited Ouvrard in the debtors' prison in the hope—it was a vain hope!—of interesting him in the sort of wild speculation that was rife at the time. Ouvrard was primarily interested in a plan, in which Lord Cochrane in London was also involved, to restore the Order of the Knights of St. John of the Cross in Malta and the independence of Greece by setting up a Levant Company, which was simply the old idea of an armed West Indies Company in a new form.

In 1828 he even tried to revive his Mexican scheme in another part of America, when he offered to help Colombia pay off debts, amounting to 150 million francs, on condition that he was given an “eternal” concession to exploit public lands, forests, lakes and salt-mines. The offer was not accepted.

Of vastly greater importance, however, was the writing of

his memoirs, in which he set out not merely to answer the accusations and suspicions directed against him but also to depict his own career in the wider economic, historical and political context of his time. For all their bias and the frequent signs of revision, these memoirs make such impressive reading that one might almost suspect they had been written not by a merchant but by a professional writer of very high standing. Ouvrard's efforts did not go unrewarded: the three volumes comprising a thousand pages had to be reprinted three times in one year.

There was no lack of topicality. The then Prime Minister, Monsieur de Villèle, came in for frequent and bitter attacks. He was described as a man "who in times of emergency displays so little courage and, when the danger has passed, plays the despot"; a man "of petty and unscrupulous vanity, of vulgar ambitions and quite detestable envy". Ouvrard referred to the government "lies". He said that the charge of corruption must be thrown back at it, that the refusal to accept arbitration resulted in nothing more nor less than "common robbery" and was "the hall-mark of a predatory system"; that the Finance Minister was "dishonest and malicious" and that the War Minister was guilty of "an incredible dereliction of duty, for he endangered the army's supplies in the face of the enemy".

So Ouvrard did not mince matters in defending his contracts, a defence which he was allowed to print with impunity. He lost all sense of proportion, however, when he came to discuss the government's dealings with the Rothschild brothers. The expansion of this firm touched him on the raw. In France he alone had been in a position, which no one had seriously challenged, to devise the really big and complex schemes. "Now the houses of Rothschild think they are destined to be the financiers of the world's States." The time was long since past, however, when the Rothschilds could be dismissed contemptuously as mere traders, who dealt in tobacco and liquorice, walking-sticks and lanterns, in short, anything and everything. Ouvrard had seen how, year after year, slowly but surely, they had expanded.

In 1800 Nathan went to England, in 1811 James appeared in Paris, in 1820 Solomon settled in Vienna. In 1815, when Ouvrard

was going round with his plan to finance France's war-indemnity through Baring and Hope, the Rothschild brothers tried to squeeze in, but at that stage all they managed to achieve was the transfer of a few millions, which France was still able to pay in cash to the Allies. Ouvrard had also seen them prowling around at the Congress of Aix-la-Chapelle in 1818, by which time they were being invited to lunch with Metternich but still had to leave the lion's share to Baring and Hope. He met them again in the autumn of 1822 at the Congress of Verona, where he tried to bring about a peaceful settlement of the Spanish problem, and at that time he even watched them conducting margin deals on the Paris Bourse by spreading rumours that the intervention which Ouvrard was urging would not take place. It may be that Ouvrard also learned to his chagrin that after the Congress of Aix-la-Chapelle the influential Austrian Councillor of State, Gentz, wrote to his friend Adam Müller (the great conservative economist) that the most profound reasoning of Alexander Baring inspired less confidence in him than a penetrating (off the cuff) judgement by one of the more intelligent Rothschilds. At all events, it must have upset Ouvrard to see heaped upon the three brothers so many of the honours which, for all his efforts, had completely passed him by. Solomon had been made a Prussian Commercial Counsellor in 1815, Nathan Austrian Consul General in 1822, and eventually all three were raised to the nobility, something that Ouvrard had always coveted. Solomon even received the Order of Saint Vladimir in return for a loan of ten million pounds to Russia.

Ouvrard might perhaps have resigned himself to all this, had the Rothschild brothers not become involved in the financial affairs of the French Government, and this at a time when Ouvrard was in no position to defend himself, except with his pen. So he suddenly emerged as a custodian of the public conscience, an aggrieved patriot, an honest taxpayer. On its monetary transactions for the government in the Spanish War of 1823, the house of Rothschild, it seemed, had earned 3,300,000 francs; this was completely unwarranted. In the same year Monsieur de Villèle had "wangled twenty-three million rentes" for this

firm; before they were put on the market, which had to be stimulated with secret offers, he had told James de Rothschild privately what was the highest offer so far made, so that the latter was able without risk to tender only slightly more. Most scandalous of all, however, was the fact that the brothers did not even have to pay for the rentes they had bought—they paid the Treasury 4 per cent for them and earned 6 per cent from them. Prior to the Treasury audit, Rothschild paid in an uncovered cheque, and after the audit it was returned to him. Finally, the conversion of the rentes in 1824–5, that unjust and cruel exchange of a 5 per cent for a 3 per cent loan which was to save the State thirty-four million a year in interest, was concocted by the Rothschilds. For Ouvrard, who was allowed to print all these accusations with impunity, this was the last straw.

He and he alone in France should be permitted to conduct this sort of business transaction, which, incidentally, he claimed to have suggested in his newspaper appeal, though, of course, with much greater regard for public welfare. He now let himself go. This whole conversion was “nothing but a clever manœuvre”, which would guarantee the Rothschild brothers a net annual profit of 1,400,000 francs. He pulled out the patriotic stop: what induced the Minister to be “so generous to the German banker”? Ouvrard hinted at some kind of involuntary treason by Monsieur de Villèle: the whole affair was, after all, “suggested by bankers, who were in very close contact with foreign Cabinets and acted to some extent as their tools”. Then Ouvrard, sitting in the debtors’ prison, appealed to the anti-Semitic instincts of the populace: “these bonds, issued by royal decree and bearing the Arms of France, do not gain in value by first passing through Israelite hands”. There was an appeal to the man-in-the-street: the Minister was “filling Rothschild’s coffers with the French taxpayers’ money”. In this way Ouvrard “exposed the crooked methods by which the Finance Minister extracted money from the Treasury and transferred it to Rothschild’s pockets. Any other Minister would have been found guilty of misappropriating public funds. By rights Monsieur de Villèle should be sitting in my place in the Conciergerie.”

Neither Rothschild nor Villèle answered this attack. These diatribes appeared, unchallenged, in four successive editions. Presumably neither party was anxious to have his affairs discussed in public before the courts. The result could have been, to say the least, embarrassing. So Ouvrard had to wait for another opportunity to bring his enemy into the open. The opportunity eventually came, as indeed it was bound to come, for Rothschild speculated "*à la hausse*", Ouvrard "*à la baisse*", and both in the same stocks, namely, French rentes. In the long run only one of the two could be right; sooner or later one of them was bound to take grist from the other's mill.

It is an interesting fact that Ouvrard, the incurable optimist, felt very pessimistic about the future in the years 1825-6. The wave of wild speculation, which broke over France after the Spanish war, filled him with misgiving. Whereas at the time of the 1817-18 war loan the issuing of rentes was still an event, the markets were now flooded with new loans, especially for American countries. The most insecure scrip was immediately bought up. Everyone was dealing in export goods; factories were working day and night. Mining shares soared, Paris was in a fever of excitement, new consortiums and companies shot up overnight like mushrooms. "People looked for profits," Ouvrard reported, "in the mists of Nicaragua and the savannahs of Texas, just as they had looked for it in Law's time in the mists of the Mississippi and the salt trade of Honduras."

Ouvrard did not allow this to unsettle him, although the transatlantic commerce in which he was so deeply interested was very much involved, and the building fever in Paris left him completely unmoved. All available building-sites were being bought and broken up into fresh lots. "Paris is like a town which has been stormed by architects and bricklayers." A man could go to bed poor and wake up rich. He tells the story with obvious amusement of a laundry in Neuilly covering six arpents (about six acres); one day the owner was asked how much he wanted for it and named what seemed to him the very high figure of 30,000 francs; to his astonishment the potential buyer said: "Thirty thousand francs per arpent seems a bit much," and then paid him

six times 30,000 francs. To Ouvrard this boom seemed utter lunacy, for he could see no possibility of property rents rising correspondingly.

Ouvrard was proved right. In fact, his forecast of the conversion came true remarkably quickly. Instead of 150 million francs only 30 million could be converted. Ouvrard had always maintained that the 5 per cent rente was not high enough. Now the new 3 per cent issue slowly collapsed: from 75 to 70, from 70 to 68, from 68 to 63, to 62. The Rothschilds came hurrying to Paris from all points of the compass, till four brothers stood together beside the grave of a beautiful dream.

The year was 1825. There were no major crashes, the political situation remained stable, Europe stood firm, and yet Ouvrard was still filled with misgiving. The remarkably inept behaviour of the Bourbons justified his pessimism. In 1814, when Louis entered Paris, there were tremendous scenes of rejoicing. The streets were so festooned that whole rows of houses were no longer visible; more than 20,000 members of the National Guard carried flowers on their muskets; the "Te Deum" in Notre-Dame was immensely impressive and moving. "Only those who were actually present," said Rochechouart, "could have any idea of the jubilation, the acclamation and the many signs of quite insensate joy, which Paris displayed." Napoleon's dictatorship was over, and in its place was a king who, since 4th June 1814, had promised a constitution which would guarantee the rights of the people. But Louis died ten years later and Charles X, Comte d'Artois, was out of sympathy with the whole trend of events. Although parliament had become completely reactionary under de Villèle's leadership, its mere existence disturbed the King, who felt that the aristocracy, which had long since resumed the habits and privileges of the ancien régime, must nevertheless be given an even stronger position; the position of the clergy was also strengthened as never before, so that, for example, army chaplains were promoted to higher rank than divisional commanders and made regular reports on the conduct of individual officers, which the War Minister frequently consulted before recommending promotion.

The power of the Jesuits grew by leaps and bounds; a law was passed which imposed the same penalty for sacrilege as for parricide. The freedom of the Press and scientific development were increasingly restricted. The feeling of resentment in Paris grew from year to year. In 1827, at the parade on the Champ de Mars, the obsequious servants of the King were greeted with cries of "Down with the Ministers", "Down with Villèle", "Down with the Jesuits" from the ranks of the National Guard. The response was not long in coming: the National Guard, the citizens' army of Paris, was disbanded. Before another two years had passed, even Villèle's Cabinet of diehard royalists was no longer good enough for the King. Ouvrard, who was still probably the only bear speculator in Paris, was not at all displeased by the growing tension. He certainly expressed his satisfaction when his arch-enemy had to make way for Prince de Polignac, an Ultra of the deepest dye, even although the change came six years too late for Ouvrard.

All Ouvrard's misgivings throughout these years, vague as they were, were now substantiated. In August 1829 Polignac and his friends seized power; in May 1830 the unco-operative Chamber was dissolved; in mid-July the election results were declared, showing that at most 125 out of 428 deputies supported the government. What followed could not have been foreseen by even the shrewdest of bear speculators: the King and his Ministers agreed on a *coup d'état*. Behind locked doors they decided to dissolve the Chamber before it reassembled, to change the electoral law by royal decree, to fill the parliament with King's men, and to ban all newspapers and periodicals which did not have a special licence.

The King and his Ministers were agreed that, if this calculated coup was to succeed, then the element of surprise was essential. So all rumours of a coup, which no one seriously believed, were ironically shrugged off by the government. Mid-July passed in an atmosphere of general unrest, no one knowing what would happen with the resumption of parliament. But few doubted that it would resume.

The only one who had doubts was Ouvrard. He had been at



Five volumes of published evidence of the Commission of Enquiry into Ouvrard's financial affairs during the Spanish campaign. Paris, 1824. (*Otto Wolff Collection*)



The Conciergerie prison. View at the time of the French Revolution



Nathan Rothschild. W(under) sculp., circa 1820. Coloured engraving.
(*Otto Wolff Collection*)

The German caption, translated as “We enfold you, many millions”, is from Schiller’s *Ode to Joy* (and introduced by Beethoven into his Ninth Symphony) alluding to the brotherhood of man the world over

liberty for six months and was once more extremely well informed, better informed than the Ministers' closest friends. The Public Prosecutor, Bellart, once said that Ouvrard knew more about the Ministries than the Ministers themselves. This was no exaggeration, although for the moment he knew no more than the Ministers, but that was quite enough.

It is said that the London Rothschild was present at the battlefield of Waterloo. As soon as he saw that the tide had turned against the French, he set out hotfoot for the Channel, and, after a stormy crossing, arrived at the Stock Exchange in London in time to make a handsome profit. (Ouvrard was also present at Waterloo, as Purveyor General. "I was there," he related subsequently with obvious gusto, "and witnessed the finest stage drama I have ever seen.") Fifteen years later, in 1830, Ouvrard made hotfoot for the Channel and arrived at the London Stock Exchange in time to set the ball rolling.

His moment of revenge had come at last, the moment when either bull or bear, Rothschild or Ouvrard, must come out on top. One fine day in July—it must have been about the 20th—when Nathan Rothschild entered the London Stock Exchange at his usual time and at his usual unhurried pace, he attracted even more attention than normal. What would he do? There was Ouvrard, the Paris financier, selling French rentes at steadily falling prices, a transaction in those same State bonds in which the Rothschilds held such a high stake. It was, after all, the Rothschild brothers who, only a few months before, had underwritten the last French Government loan, which was to pay for the Algerian campaign. There were 78,300,000 at 102 per cent and Rothschild had met with strong competition from other firms. Nathan Rothschild was completely at a loss to understand what Ouvrard was up to. His firm had an exclusive news service and, if there were any grounds for alarm in Paris, his brother James would certainly have informed him with all possible speed. It was only a few days later, when Ouvrard still continued to sell million after million on surrender, without himself possessing the scrip, that Nathan became worried. Not that there was much he could do now. If he was to prevent the exchange-rate of the rentes from

collapsing completely, then he had to buy what Ouvrard was offering. Ever since 1824 Ouvrard had been waiting for just such a "rare opportunity to find a solvent opponent on a bear market".

Which of the two was correctly informed? Nathan or Ouvrard? As James had still not sent any message, Nathan despatched an express courier to Paris. James was no less bewildered than Nathan. If Ouvrard was acting so confidently, then he must have his reasons, but he himself knew of none. Although the 25th July was a Sunday, James leapt into his carriage and drove to the Ministry of the Interior. He implored the Minister to tell him the truth about the official decrees, of which there was so much talk, and about the resumption of parliament, on which there was some doubt. James reminded the Minister that as State banker he had certain responsibilities and that he must be informed of any political plans before anyone else. The Minister said that he could not understand how such a shrewd man as Rothschild could become so excited over baseless rumours. The government knew of nothing, was planning nothing and feared nothing. Moreover, the Prince de Polignac himself had given the Russian Ambassador, Pozzo di Borgo, on Saturday night his most solemn assurance that no major development was contemplated.

The following morning, Monday, 26th July 1830, the official decrees were printed in the *Moniteur*. Only a few hours before Rothschild saw the Minister of the Interior, Charles X, having attended High Mass, had put his name to the suspension of the constitution. The King and his Court took the precaution of retiring to St. Cloud, outside the gates of Paris. "The citizens of Paris," Marshal Marmont once remarked, "always see themselves as heroes in time of peace." Marmont, commander of the Paris garrison, learned to his cost in July 1830 how misplaced his *bon mot* had been. On Tuesday the 27th Paris realized that it either had to fight or lose its freedom and its civic rights.

The struggle began with clashes in the Rue St. Honoré, the street in which Robespierre had once lived. Gendarmes were pelted with stones and opened fire. A state of siege was declared.

Troops were brought in to occupy key-points in the capital: the Boulevard des Capucines, the Place du Carrousel, the Pont Neuf, the Place Vendôme and the Place de la Bastille. The mob felled trees in the boulevards and set up barricades. The soldiers were bombarded with slates torn off the roofs. The white flags of the Bourbons were trampled in the gutter. "Down with the Bourbons." A murderous hail of bullets poured down on the troops from the windows. Whole columns were cut off and massacred. The mob took a special delight in storming and plundering the Archbishop's Palace; a Jesuit monastery was the next target. Such was the fury of the mob that 12,000 regular soldiers were thrown back. Many isolated groups and three complete regiments joined forces with the civilians. Marmont concentrated the remainder around the Louvre and Tuileries, but they too had to be abandoned. The Marshal withdrew his troops, leaving over 1,000 dead behind, more than twice as many in three days as had been killed during the whole Spanish War of 1823.

The Court, which remained as optimistic as ever, issued only one order; namely, that the royal treasure should be taken to St. Cloud. But on 30th July even Charles X saw the red light: he rescinded the official decrees, but it was three days too late. On 2nd August he was forced to abdicate and flee to England. Prince de Polignac was caught disguised as a servant and was condemned to lifelong imprisonment. Louis Philippe, Duc d'Orléans, a liberal, ascended the throne. Soon all that the people of France remembered of Charles X's reign and of his Ministers was a series of amusing and not very flattering caricatures.

Marshal Marmont was not the only one who was impressed by the energy and singlemindedness of the citizens of Paris in their fight for freedom. Ouvrard, still in London, must also have been surprised and delighted. The effect on the price of French State bonds exceeded even his wildest hopes. On the first day the rente dropped only 4 points in Paris; the Dauphin remarked confidently at St. Cloud: "It will go up again." But it dropped another 20, then 30. The 3 per cent loan, which had stood at 75-80 before the coup, now stood at 50. By December it had pulled up to 58½, but by February 1831 it was down to 48. In March it was still

only worth 53·20, in June it had risen to 60, but only ten years after the Revolution did it return to normal at 73.

The Rothschild brothers were beside themselves. Solomon and James had remained in Paris throughout the troubles, not merely their money but also their lives in jeopardy. As financial advisers to the old régime, they were afraid of being lynched. But no one molested them. Their financial losses had, on the other hand, been very heavy; when the house of Rothschild in London, Paris and Frankfurt worked out the extent of the damage, it came to thirty-four million francs.

A substantial part of this money went into Ouvrard's pocket. His great ambition, as he explained in 1824 to the London banker Sir Isaac Goldsmid, had been "to divert Rothschild's money legally into our safe". The bonds, which he had sold at short rates before the Paris coup to Nathan Rothschild—who was compelled, however reluctantly, to back them—he was now able to buy cheaply in order to hand them over to their "rightful owner".

The duel was over and Ouvrard returned to Paris. It is impossible to say how much he had gained. One of his firm's bill-brokers estimated his net profit at two million francs, but it must have been considerably more. In any case, Ouvrard was once more the man of the hour, the lion of the Bourse. The Conciergerie was forgotten; his memories of Monsieur Séguin and the debtors' prison had faded. He rented a suite of rooms behind the Bourse and furnished them, according to contemporary reports, "with indescribable lavishness". It became a sort of ante-chamber for agents de change and a host of acquaintances, who came from near and far to see the great man in his sanctum in the hope of picking up a useful tip.

But Ouvrard, never the sedentary type, was soon back in London. The Rothschilds followed his every movement with a suspicion born of bitter experience. "The famous Ouvrard", Nathan wrote to Solomon on 5th March 1831, "today bought a great many stocks, so tomorrow will probably bring better reports from Paris." He clearly found it difficult to make this man out, for he was now engaged in bull-buying at a time when Austria's armed intervention in Italy had led everyone else to sell.

Yet nine days later, on 14th March, he was back in Paris, indulging once more in bear operations. "Casarus,* Ouvrard's illegitimate son [by Madame Tallien], is selling rentes", James wrote to Solomon in Vienna. "This is frightening people from buying, and any slight drop immediately has a damping effect on their spirits."

Many other letters in the same vein passed from London to Paris, from Paris to Vienna or Frankfurt, and reflected the anxiety which the Rothschild brothers felt about Ouvrard's activities. They were afraid of him, because he had beaten them. They still bore the marks of the lion's claws. And yet there could be no doubt that the centre of financial power in France was no longer Ouvrard but Rothschild. The past ten years of Ouvrard's life had taken too heavy a toll; his five years in prison had drained his energy. He would never again completely recover from the innumerable setbacks he had suffered. He would still try his hand at various schemes; finding a husband for the Duchesse de Berry in 1833,† raising a loan for Don Carlos in Spain in 1836—but these gestures lacked the breathtaking grandeur which had characterized so many of his transactions up to the July revolution. From now on Ouvrard was more or less confined, and with varying degrees of success, to gambling on the Stock Exchange.

When Ouvrard reached this turning-point in his life he was sixty years old.

* He meant Cabarrus.—T.A.B.C.

† This episode is an amusing example of Ouvrard's resourcefulness. The Duchesse, the widowed mother of the legitimist pretender, the Comte de Chambord, was found to be pregnant. A hasty search had to be made for a husband. Once again Ouvrard was sent for; he knew exactly where to look for a princeling of suitably ancient lineage and—owing to heavy indebtedness—suitably pliable, and he paved the way with a gift of 300,000 francs.—T.A.B.C.

The Last Quarter-Million

FROM the time Ouvrard abandoned politics, his tracks become hard to follow. He was playing the market now here, now there; at one moment in London, at another in Paris, depending upon which of the two places offered the best prospects in any particular deal. But finally Ouvrard appears to have overcome his restlessness to the point of taking up permanent residence in London.

It was in London that a tragi-comedy of speculation began, which showed that not only the Rothschilds had reason to curse the French rente. In 1840 it was the turn of Ouvrard after his resounding, much admired victory in 1830. The story, which is of slight importance in itself, must be told because it revealed him in an entirely different light from the generous and intelligent man one has met so far. Ouvrard had worked out a new form of margin-trading in rentes. It could only succeed, however, if he himself remained in the background. Every move he made was still being watched for market trends.

It was by no means a simple operation. More than one middleman was necessary to guarantee secrecy and all his reliable nominees were well known. Finally Ouvrard thought he had hit upon a solution. Looking back afterwards, he must often have bitterly regretted his carelessness, for soon he was to meet in the court room the very men whom he chose as his agents. Legal records, still extant, enable us to reconstruct these events quite accurately.

Ouvrard began by transferring a considerable sum of money

from London to one of the lesser Paris banks. But not in his own name. He used the name of an Englishman, Francis de Berkem, who was a bill-broker on the London Exchange, and who, as a safety measure, was to open the deal himself in Paris and there to introduce the bankers, Louis d'Eichtal et Fils, to their new customer. So Mr. de Berkem arrived in Paris in July 1840 and started with a minor rente operation. He made use of a local broker, a certain Textoris, whose security was the credit balance with Eichtal et Fils. Berkem then departed and Ouvrard himself set off from London via Brussels, carrying a letter from de Berkem to Eichtal et Fils, authorizing the bearer to carry on where he had left off. The current credit account was, of course, still in Berkem's name.

The first thing Ouvrard did on reaching Paris on 18th August was to fill in the blank space in the letter with the name Paul de la Gironnière, a gentleman of private means. In what dark corner he found this second man of straw with the beautiful name is not known. He installed him in his own hotel in Paris where he would be readily available and could not make any stupid mistakes, for Ouvrard was clearly more concerned about his money than about the personal comfort of his hireling. Monsieur de la Gironnière did not, in fact, make any stupid mistakes but he got up to some tricks which were not at all to Ouvrard's liking.

To begin with, however, it was the broker Textoris who gave Ouvrard trouble. The returns for the month of August were satisfactory to all concerned, but a new deal which started in the beginning of September came to an abrupt and rather disreputable end. Textoris was summoned to the Hôtel de Paris, where de la Gironnière gave him written instructions, signed by himself but dictated by Ouvrard, to buy 120,000 francs' worth of French 3 per cent rentes, nominal value four million francs, as soon as the premium rate stood at fifty centimes. It was such a simple operation that Ouvrard, who in any case did not want to be seen at the Bourse, took a few days off and spent them with his son Julien at his Château Gilly and with his daughter, the Comtesse de Rochechouart, at Châtillon-sur-Seine.

He thought it safer to take de la Gironnière with him. But he

was sadly mistaken in thinking that all was well, for at Châtillon de la Gironnière received a letter from Textoris on 10th September, in which he explained, with every appearance of innocence, the extraordinary way in which he had carried out his instructions. He had bought 120,000 francs' worth of rentes, at rates of 77·50-78·25, although the closing price, "due to a panic, the reason for which I could not ascertain", was 73·50. The best part of it was that Textoris ignored the strict instructions given him to buy only at a premium of fifty centimes and paid a one-franc premium.

Ouvrard was beside himself. Not only was there no hope of making a profit but there was a real danger of losing money. He immediately returned to Paris and wrote to London to de Berkem, through whose account the whole business was passing, that he should refuse to recognize the deal as it was contrary to instructions. Strangely enough, however, he apparently did not tell de la Gironnière to lodge a protest with Textoris. He may have thought that, by some fluke, he would still break even on settlement of the September accounts and that, in any case, he had Textoris well under control. Ouvrard certainly assumed that he was covered. Textoris had exceeded his instructions and had therefore acted without authority. Moreover, the whole operation, in Ouvrard's view, was a swindle, as Textoris had not, in actual fact, bought at 77·50-78·25 but at the closing price of 73·50. He was hoping to use the difference to make good, at Ouvrard's expense, losses he had previously incurred. The truth would come out, as soon as Textoris was made to present his books and the proofs of purchase!

Legally there is no doubt that Textoris had exceeded his instructions and that the rente purchase was not binding on the person who had issued the instructions. Unfortunately Ouvrard had overlooked one small point; namely, that it was not he or Francis de Berkem in London who had formally issued the instructions but Paul de la Gironnière. And de la Gironnière now started to be awkward. He suddenly decided to act on his own. He could afford to do so. Textoris, it is true, had paid Ouvrard 100,000 francs, but that was before the dispute began, and the

money had been used for further speculation, again in Gironnière's name though on Ouvrard's instructions and this time without the help of Textoris.

For a swindler it was a very happy situation and, when the time came to settle the September accounts, Textoris had no difficulty in persuading Gironnière to wind up the whole affair, including the disastrous September speculation, in defiance of Ouvrard, which meant recognizing the rente purchase at high rates and with one-franc premiums, which had been directly contrary to Ouvrard's instructions. The sum involved was 227,220 francs. Ouvrard tried to get some kind of temporary injunction but he was too late. An hour before he entered Textoris's office with the legal document in his hand, Gironnière had received the balance of 22,324.75 francs from Textoris and moved hurriedly out of the Hôtel de Paris.

Ouvrard was, to all intents and purposes, out on the street. He had no control over de Berkem's account with Eichtal et Fils, in other words he could not draw on his own account. Nor did he have any evidence of the 227,220 francs owed him by Textoris and Gironnière, for the latter had absconded with it. Gironnière had not even paid Ouvrard the first 100,000 francs, which Textoris had refunded on 20th September in Ouvrard's presence and which Ouvrard had re-invested in Gironnière's name.

Ouvrard was compelled to start on a long and wearisome journey through the courts. He brought a simultaneous action against Textoris and Gironnière. As far as Textoris was concerned, he had known by the end of September at the latest that de la Gironnière was only acting as Ouvrard's man of straw and consequently had no authority to settle with him. As for his original purchase, that was to be declared null and void, because Textoris had contravened instructions and had fraudulently misrepresented the transaction, which was completely fictitious. De la Gironnière should be condemned to make good all losses incurred and to give a full account of the whole business, in particular to refund the first 100,000 francs. He should be made to repay immediately the balance of 22,324 francs which he had misappropriated.

To Ouvrard's dismay, the court decided on 23rd July 1841 that the Gironnière-Textoris settlement was in order. Textoris could not be expected to know that he was dealing with Ouvrard and not with de la Gironnière, as the latter put his signature to hundreds of thousands of francs and issued all instructions. The rente purchase of 9th September, however, was held to be genuine, as the books presented by Textoris provided documentary evidence that the purchase had been made at the high rates stated. There was no reason to suspect fraud. As far as exceeding the instructions was concerned—buying at a premium of one franc instead of fifty centimes—this could only be the subject of legal dispute between the real contracting parties, Textoris and Gironnière. Monsieur de la Gironnière had lodged no complaint. The judges were unable to form a sufficiently clear picture of Gironnière's obligations towards Ouvrard, and both parties were advised to try to reach a settlement out of court with the help of a third party nominated by the court. The judges found that Ouvrard should pay all costs.

Although he was now over seventy, Ouvrard was still as tough as ever and refused to take the very explicit judgement of the court lying down. In the appeal submitted by his lawyers in April 1842, he once more went into the attack, all guns firing and trained upon the whole of Paris: "Justice cannot be fobbed off with words and pretexts. She must have facts, and she knows how to assess them. She must have the truth. She seeks it with endless care and persistence, and it is hard to evade her searching enquiries."

This was the last court-case in which Ouvrard fought for high stakes, with the help of French advocates, with all the cut and thrust of legal dialectic and with prodigious pathos. Unfortunately it is not known whether Dame Truth displayed in the court of appeal those features which Ouvrard would have liked her to display. But, to whichever side the scales were finally tipped, Ouvrard, having been forced to admit the validity of that foolhardy purchase of rentes, doubtless considered himself fortunate when he recovered the amount Paul de la Gironnière had received from Textoris.

Such, then, was the outcome of the ambitious, carefully planned gamble, which had brought Ouvrard hurrying across from London to Paris and for which he had enlisted the services of two "dummies" and a broker. His enemies, of whom he had many right up to his death, must have rubbed their hands at what they regarded as an act of poetic justice; that the old fox, who had stolen so many grapes in his lifetime, should at last have fallen into a trap. But, had Ouvrard written his memoirs in 1842 instead of 1826, he would surely have maintained, with a profound and genuine sense of grievance, that this trap had also shown how almost all his carefully laid and honestly devised schemes had come to grief on the baseness of his agents. The impartial observer, on the other hand, can only express his astonishment that a speculator of such genius should have made his last bow in such a pitiable fashion.

The Final Reckoning

SIX years after the abortive deal in rentes, Ouvrard settled his final account. He died in London in October 1846. There is no record of those last hours when he had to leave the life to which he had been so attached.

Ouvrard's death passed unnoticed. His contemporaries were unmoved and, in fact, uninterested. Sixteen years had passed since he had fought his last major battle in July 1830, and during those years he had grown old. He had outlived his time. Friends and enemies had died before him. Madame de Montesson, the charming old lady whose circle of acquaintances had proved invaluable to him, died in 1806; Josephine, the second of the women who had helped him, in 1814. Berthier, Napoleon's chief of staff, through whose friendship he had come by untold wealth, threw himself out of a window in Bamberg in 1815. His wife died in 1818. Vanlerberghe, who had been both friend and ally, succumbed, a broken man, in 1819. Fouché followed him in 1820. Napoleon, who was only a year older than Ouvrard, died in 1821, and Richelieu in 1822. In 1824 it was the turn of Cambacérès; in 1826 Ouvrard lost his youngest daughter. Barras survived at the Château of Chaillot near Paris in bourgeois splendour until 1829. Madame Tallien, Comtesse de Caraman, Princesse de Chimay, passed away in Brussels in 1836 at the age of sixty, followed the same year by Séguin. The same year the news of Nathan Rothschild's death sent a shock of disbelief through the London Exchange. Barbé-Marbois hung on, as old

as Methuselah, until 1837. Talleyrand, who had been French Ambassador in London since 1830 and had led such a full life, died, at the ripe age of eighty-four, in 1838. The Bourbon chief of staff, Comte Guilleminot, was cultivating his garden until 1840, and in 1841 Ouvrard had the satisfaction of seeing the War Minister, Bellune, carried to his last resting-place. Only Alexander Baring survived Ouvrard by two years.

So Ouvrard outlived not only four different régimes—Republic, Consulate, Empire and Bourbon Monarchy—but also all the leading men of his day with whom he had had dealings. It was little wonder that he soon became a spent force, that he looked round in vain for familiar landmarks. When he died in 1846 Ouvrard had seventy-six phenomenally eventful years behind him. What did he get out of them? His financial position at the end remains something of a mystery. Three diarists, who knew him personally, have spoken of the hardships of his closing years. When Nolte met Ouvrard in 1835 in Rome, he described him as neatly but shabbily dressed. Captain Gronow even claims that the rente speculation of 1830, which began so well, finally ruined Ouvrard, because he was reckoning that Louis Philippe would soon go and that another slump would follow. The Comtesse de Boigne states quite categorically that Ouvrard died a poor man. Yet he can hardly have died a pauper in London. A few years before he had visited his son at his château at Gilly, which was almost certainly a present from his father. And if his brother was able to live in another château at Douy, then it was probably as Ouvrard's nominee. His daughter, the Comtesse de Rochechouart, also had her château at Châtillon-sur-Seine. In 1840 he could still gamble with a quarter of a million francs, so that his private fortune must have been considerably larger. Ouvrard does not appear to have fallen into the same desperate straits as Law, who in his declining years had to pawn his diamond ring and, when he died, left only a few pictures.

One thing is certain: Ouvrard lost a great deal of money. Yet the countless millions he lost always seemed to him merely a step towards further gains. With his imperialist vision, he aimed at heights of financial power, which he only achieved for brief

periods. Nothing came of the financial dynasty, which he dreamt of establishing on the Baring model. His son, Dr. Cabarrus, who had a great talent for commerce, did not bear his name but the maiden name of his mother, Madame Tallien; as for his only legitimate son, Julien Ouvrard, all that he could achieve, with the help of his father's money, was a seat in the chamber, which led to some kind of administrative post on its Finance Committee. Fate also denied Ouvrard many of the public honours which were heaped upon other successful financiers such as the Rothschilds. And yet few of these men, who were given such preferential treatment, ennobled and covered with honours, could stand serious comparison with him. They lacked his tremendous vitality. They lacked his vision. Few of them possessed his mental agility. He surpassed them all in charm and courtesy. Some made even higher profits, but no one could compare with him for sheer brilliance.

At the same time, Ouvrard was sadly mistaken when he ascribed the failure of his schemes to external circumstances alone, to lack of ability in his partners or malice in his adversaries. He himself was the final arbiter of success or failure. He trusted all too much in his star, which had led him to such dizzy heights in the ten short years from the beginning of the Revolution to the end of the Directory. Like his great adversary, Napoleon, he finally lost all sense of reality, of what was really possible. Speculation on a big scale gave him so much personal enjoyment that the success he looked for was out of all proportion, whereas he greatly underrated the difficulties. He became obsessed with more and more astronomical figures and chose to ignore the relatively confined space in which business had to be conducted. And when he could no longer turn a blind eye to confines of reality, he tried to employ political weapons, of which he had no experience, in order to widen the field of commerce. His main weakness, however, was that he lacked an interest in detail which would have curbed his passion for expansion; that his tremendous capacity for imaginative planning was not matched by an equal ability to execute the practical details of his plans. So inevitably the scales were weighted against Ouvrard as they had been

twenty-five years before against Napoleon Bonaparte. Both men failed magnificently, but the result—from a commercial and a social viewpoint—was a fiasco.

Yet in 1846 Ouvrard could look back on a life that had been remarkably full and successful, a life of frequent, outstanding triumphs. He was also sufficient of a philosopher not to allow his setbacks to blind him to the richness and variety of his life. Sitting at his English fireside in those closing months, he could review many decades in which he had not only witnessed but also helped to shape a momentous period of world history. And the parting was not made any easier by the knowledge that one final, splendid throw could still be made. For the time had almost come to make good any losses he may have suffered in 1830, when he is said to have miscalculated the length of Louis Philippe's reign. The year 1848, in which Louis Philippe actually lost his throne, was already throwing out faint shadows, and Ouvrard was certainly contemplating yet another major flutter when death decided otherwise. But even if he had scored one further resounding success, it would not have changed the overall picture of his life. When death closed the account in October 1846 the final statement had already been drawn up.

Epilogue

In the original (German) edition of this book, Wolff's collaborator, Dr. Alfred L. Schmitz, of Berlin, outlined some of the sources for Ouvrard's life. In order to make room for the additional material that is now available to historians, the original Epilogue has been abbreviated.

—T.A.B.C.

It has been possible to tell the story of Ouvrard's life as it is told here, with its many dramatic episodes and frequent flashes of comedy, largely because of the memoirs which Ouvrard wrote in prison and published in 1826-7. This three-volume work, running to close on a thousand pages, is often breathtaking and at times almost incredible. It astonished contemporaries just as it astonishes us; many of them, indeed, were highly embarrassed at the candid revelations contained therein. However, the fact that it ran to three editions in two years without evoking any serious refutation from those involved in the events described or mentioned by name who were still alive, suggests that the memoirs are basically reliable.

This hypothesis has been confirmed as a result of checking Ouvrard's account against the most trustworthy supporting evidence, which falls into two categories: on the one hand, the official archives and, on the other, the correspondence of eminent men of repute.

The archives show, for instance, that during the Terror he did undoubtedly destroy the list of condemned men at Nantes; an anonymous note to this effect has survived. They also amply confirm the prominent role he played as supply agent to the Directory's armies and the vast sums that passed through his hands as naval victualler-in-chief. Napoleon's correspondence

similarly helps to chart the vicissitudes of the Emperor's relationship with the financier whom he could never entirely do without. Among the documents included are the demand for repayment of fourteen million francs in 1800 when the supply contracts with Ouvrard were renewed, a further claim by the Emperor for commission on the export of grain to relieve the Spanish famine of 1804, and a reference to Ouvrard's memorandum of 1810 outlining his peace proposals *vis-à-vis* Britain.

Ouvrard's account of the Mexican silver affair is supplemented by the long reports from Vincent Nolte, Hope's agent in New Orleans, the accuracy of which Dr. Schmitz was able to verify in 1931 from the Hope Archives in Amsterdam. The despatches and letters of the agent in Philadelphia, David Parish, are also of value; see P. G. and R. Walters: "The American Career of David Parish", *Journal of Economic History* (1943-4). The various phases of the transaction are chronicled in R. W. Hidy: *The House of Baring in American Trade and Finance* (1949). The British Government's attitude to the affair is still "little known and obscure", according to F. Crouzet in *L'économie britannique et le blocus continental 1806-1813* (1958). He found next to nothing of relevance in the British official archives after an exhaustive search, apart from an interesting memorandum from Baring to Pitt and Huskisson. M. Crouzet plans to devote an article to the whole subject, but this does not seem to have been published as yet.

Another Frenchman who worked in both the British and French government archives was P. Coquelle, the translation of whose important work appeared in 1904 as *Napoleon and England 1803-1813*, and who investigated fully the peace negotiations of 1810 with Britain. Talleyrand's complicity in these negotiations was accepted by G. Lacour-Gayet in volume II of *Talleyrand* (1930). The memoirs of Pasquier and Savary, Duc de Rovigo, also provide supplementary evidence.

Ouvrard's services in bringing about the early evacuation of France by Allied occupation forces, through arranging the series of government loans, have been confirmed by letters from Richelieu, the Prime Minister, and the memoirs of the

Comte de Rochechouart and of the Comtesse de Boigne. The latter was the daughter of the French Ambassador in London, d'Osmond, and described Ouvrard as "the most capable if not the most honest of financiers". Hidy: *House of Baring*, gives useful details of the various loans.

There is a vast fund of contemporary material on the Bayonne scandal of 1823 to set against Ouvrard's account. Relevant memoirs include those of Castellane, Pasquier and Villèle. Some interesting British diplomatic reports on Ouvrard's proposals that year for a "West Indies Company" are contained in C. K. Webster's *Britain and the Independence of Latin America* (1938). The protracted legal wrangles between Ouvrard, Séguin and the State have left in their trail many documents, particularly the reports in the *Gazette des tribunaux*.

Ouvrard died too obscurely for his death to be noted in *The Times*, the *Annual Register* or the *Gentleman's Magazine* for 1846, nor was a will proved for him at Somerset House. An entry for his son Dr. Cabarrus is included in the *Dictionnaire de biographie française* (1956); this work has not yet progressed beyond the letter C.

An important annotated article, overlooked by Wolff, is G. Weill's "Le financier Ouvrard", in the *Revue Historique* for 1918. J. Savant's *Tel fut Ouvrard* (1954), although written in a popular style, is on the whole reliable and is amply provided with reference notes. He attributes Ouvrard's failure, in spite of exceptional gifts, to reach the summit of success—which is generally put down to his unmethodical cast of mind—to a lack of vanity; he also emphasizes the way in which Ouvrard shunned publicity and the limelight in order to give the best possible chance to his audacious schemes.

A. Arthur-Levy's *Un grand profiteur de guerre* (1929—extracts were published in the *Revue de Paris*, August and September 1929) was described by D. S. Landes in *Bankers and Pashas* (1958), p. 44n., as "simply a frothy popularization"; it misleadingly depicts Ouvrard as a greedy war profiteer whose memoirs are a tissue of untruths and historically worthless. In contrast to that of Wolff, neither Savant's nor Arthur-Levy's biography makes any

attempt to assess Ouvrard's role in relation to the domestic and international events of his time. Landes's own brief studies, in Chapter 2 of *Bankers and Pashas*, of the psychology of the "prudent, thrifty, discreet" nineteenth-century merchant bankers who firmly closed their ranks against a "maverick" such as Ouvrard, and of Ouvrard himself doggedly "opposing their wealth with his imagination, their influence with his energy and persuasiveness, their self-righteous complacency with his mercurial ambition" are well worth reading.

Of general histories that mention Ouvrard, G. Lefebvre: *Napoléon* (3rd edn. 1947), volume XIV in the *Peuples et Civilisations* series, skilfully and concisely explores all aspects—including the economic one—of Napoleon's reign; there is no substitute for this superb and lapidary work. L. Madelin's *Histoire du Consulat et de l'Empire* (1937–54), on the other hand, runs to sixteen volumes and is seriously defective on the economic and social sides. Volume IX, for instance, entitled *La crise de l'Empire 1810–11*, completely ignores the vitally important industrial crisis of those years; for other criticisms of the whole work see the notes to Savant's book.

Volume IV of M. Marion: *Histoire financière de la France depuis 1715* (1925), covers the years 1797–1818; his account of the financial panic of 1805 is especially valuable. He quotes extracts from Barbé-Marbois's letters to Napoleon, including the one of 21st August 1805 which may have caused Napoleon to abandon his attempt to invade England and attack Austria instead. The industrial crisis of 1810–11 in the context of the Emperor's practical efforts to foster French industry is described by O. Viennet in *Napoléon et l'industrie française* (1947).

Not surprisingly, Ouvrard's colourful career has inspired two novels: directly, E. J. Tobi's *Speculant onder Napoleon* (Amsterdam 1950, apparently never translated into English), and indirectly Hervey Allen's *Anthony Adverse* (New York, 1933; London, 1956). The hero of the latter novel was portrayed as Hope's agent in New Orleans during the Mexican silver affair.

Appendixes

I

OUVRARD'S VERSION OF THE TRADING CONTRACT WITH CHARLES IV
OF 26TH NOVEMBER 1804 COVERING TRADE WITH THE SPANISH
COLONIES. (OUVRARD'S *MEMOIRS*, VOL. I, PP. 95-6)

1. Deed of partnership between H.M. Charles IV and the firm of Ouvrard & Co. for the duration of the Anglo-Spanish war.
2. The firm receives permission for the duration of the war to import all goods and foodstuffs into all ports in the New World and, for the same period, to export from these colonies all indigenous products and the total output of gold and silver.
3. H.M. C(harles IV) promises to grant the firm all the necessary concessions for the despatch of ships from Europe to America, on the basis of demands made by myself as sole responsible director of the firm.
4. The profits accruing from all the firm's transactions will be divided equally between H.M. C(harles IV) and M. Ouvrard.

II

TEXT OF SUPPLEMENTARY AGREEMENT TO CONTRACT OF 26TH
NOVEMBER 1804 COVERING TRADE WITH THE SPANISH COLONIES.
(OUVRARD'S *MEMOIRS*, VOL. II, PP. 338-42)

- Article I. The firm François Ouvrard is obliged to convey to Europe all goods and colonial products, which H.M. Charles desires to have exported from America. The agents of H.M. C(harles) will hold the goods ready for the firm François Ouvrard & Co. in the ports of Santa-Cruz, Havana, Caracas and Montevideo and will deliver them to the representatives of the firm François Ouvrard. The firm may claim at least a third of the cargoes it ships to Europe. The agents of H.M. are obliged to deliver the goods punctually on the dates fixed for sailing; should they not have sufficient goods ready by the date of sailing for a complete cargo, then the firm François Ouvrard may complete the cargo on its own account.
- Article II. The firm François Ouvrard & Co. is further obliged to ship all foodstuffs and goods, which H.M.C. should wish to export from Europe to the ports of Vera-Cruz, Havana, Caracas and Montevideo. The goods in question will be conveyed by H.M.'s agents to the various European ports and delivered to the firm François Ouvrard & Co. in good time, so that the loading and departure of the ships can be effected without delay.

Article III. All goods and foodstuffs, which, in accordance with the two previous articles, are shipped from Europe to America and from America to Europe for H.M.'s account, must be insured against all risks. The firm François Ouvrard & Co. will be entitled to recover the insurance costs.

Article IV. Likewise the firm François Ouvrard & Co. will be reimbursed for the transport costs and local incidental expenses, which arise from the shipment of goods from Europe to America and vice-versa, in so far as they fall upon H.M.'s portion.

Article V. The firm François Ouvrard & Co. will sell for H.M.'s account, against a commission given below, all goods and foodstuffs which are transported from America to the various European ports, with the exception of direct shipments to Spanish ports. The sale must be effected immediately after the arrival of the ships at their port of destination, and the firm François Ouvrard & Co. must render an account to H.M. within one month.

Article VI. In return for these services the firm François Ouvrard & Co. receives a commission from H.M.C. which is made up as follows:

1. One per cent of the total value of all goods shipped from Europe to America, which fall to H.M.'s portion. The value will be based on the price of the goods in Europe.
2. One per cent of the total value of all goods and foodstuffs, which are shipped on H.M.C.'s account from America to Spain.
3. Two per cent of the proceeds from the sale of goods or foodstuffs, which are transported from America to European ports, with the exception of Spanish ports.

Article VII. In Article 14 of the contract of 26th November 1804 the commission on shipments of gold and silver from America to Europe on H.M.C.'s account is fixed at one per cent of their value. This commission is herewith reduced to one half per cent.

Article VIII. Further to Article 18 of the contract of 26th November 1804 concerning the import and export duties to be paid to H.M.C. by the firm François Ouvrard & Co., it is reaffirmed that Ouvrard & Co. must pay these duties in full at the standard rates, in accordance with the law and with royal decrees. Only those exceptional conditions of payment quoted in the said article also remain in force.

Article IX. To facilitate a speedy and smooth fulfilment of the contract, the firm François Ouvrard & Co. will take all the necessary steps and bear all the costs, to obtain letters of safe-conduct from England.

Article X. The costs incurred in obtaining these letters of safe-conduct, in so far as they concern H.M.C.'s share of the shipments, will be carried in full by him, the remainder to be met by the firm François Ouvrard & Co.

Given at Madrid in duplicate
on 4th December 1804
François Ouvrard & Co.
Manuel Sixto Espinosa.

Approved
I, the King.

III

ROYAL DECREE OF CHARLES IV IN 1804 ON THE EXPROPRIATION OF RELIGIOUS FOUNDATIONS. (ISSUED AS PART OF OUVRARD'S PLAN TO CLEAN UP SPAIN'S NATIONAL FINANCES: OUVRARD'S *MEMOIRS*, VOL. II, PP. 102-5 (UNCONFIRMED))

"We, by the Grace of God, King etc. On my royal command of 1st December last year, my Council in the West Indies was sent a copy of the ordinance of 28th November together with the relevant instructions for the sale of the real estate owned by all religious foundations in my West Indian Kingdom and the Philippines. The instructions are as follows:

"In my royal decree of 19th September 1798 I commanded, for reasons stated therein, that the real estate owned by all religious foundations should be sold and the proceeds of their sale paid into the royal amortisation fund. Interest of three per cent per annum will be charged on their sale value and this interest will be covered by the revenue from certain customs duties. The money which is paid into the royal treasury will be employed to settle the national debts, in particular to redeem the rentes. The rights of the property owners will be safeguarded both as regards their outstanding liabilities and their other sources of revenue, on which interest of three per cent will also be payable. It was not my original intention to make these regulations applicable to my oversea possessions, but I decided to do so after they had proved effective and beneficial in Spain both to the religious foundations themselves, which, freed from all risk, can better fulfil the aims of their founders, and to the monarchy and my subjects. For these reasons and out of love for my American subjects, I wish to grant them the same benefits. I command, therefore, that throughout all my realms overseas the real estate property of any kind belonging to religious foundations should be sold and that the proceeds from their sale be paid into my royal amortisation fund. An appropriate amount of interest will be paid at local rates on the funds of these foundations. The revenue from certain customs duties, which were given in detail in my ordinance of 30th August, will serve as security for these interest payments. This pledge and the solicitude of my Cabinet are a guarantee that the obligations entered into will be scrupulously fulfilled. But in order to provide additional security, I have also pledged the revenue from the tobacco monopoly and the turnover tax, as well as the royal funds which are paid into the local treasuries, to indemnify dispossessed landowners. I leave it to the owners to decide in what form they prefer the indemnity to be paid. I hereby declare all sales and contracts arising from the aforesaid ordinance to be exempt from turnover tax and all other taxes and I call upon the reverend Archbishops, Bishops and Prelates to support me in the execution of this decree in a manner which I expect of their devotion and loyalty. This is my royal will, which is to be made known to all con-

cerned, principally to my West Indian Council, so that it can take all steps necessary for its fulfilment.

Signed by H.M. the King's own hand
on 28th November 1804. A.D.

Miguel Cayetano Soler.

Certified copy of the original signed by His Majesty, which is in my possession.

Miguel Cayetano Soler."

IV

THE TREATY OF AIX-LA-CHAPELLE OF 1818

Article I. The Troops composing the Army of Occupation shall be withdrawn from the Territory of France by the 30th of November next, or sooner, if possible.

Article II. The Strongholds and Fortresses which the said Troops occupy shall be given up to Commissioners named for that purpose by His Most Christian Majesty, in the state in which they were at the time of their occupation, conformably to the IXth Article of the Convention concluded in execution of the Vth Article of the Treaty of 20th November, 1815.

Article III. The sum destined to provide for the pay, the equipment, and the clothing of the Troops of the Army of Occupation, shall be paid, in all cases, up to the 30th of November next, on the same footing on which it has existed since the 1st of December, 1817.

Article IV. All the accounts between France and the Allied Powers having been regulated and settled, the sum to be paid by France, to complete the execution of the IVth Article of the Treaty of 20th November, 1815, is definitively fixed at 265,000,000 of francs.

Article V. Of this sum the amount of 100,000,000 effective value, shall be paid by Inscriptions of Rentes on the great book of the Public Debt of France, bearing interest from the 22nd September, 1818. The said Inscriptions shall be received at the rate of the Funds of Monday the 5th of October, 1818.

Article VI. The remaining 165,000,000 shall be paid by nine monthly instalments, commencing on the 6th of January next, by Bills on the Houses of Hope and Co. and Baring, Brothers and Co., which, as well as the Inscriptions of Rentes, mentioned in the above Article, shall be delivered to Commissioners of the Courts of Austria, Great Britain, Prussia, and Russia, by the Royal Treasury of France, at the time of the complete and definitive evacuation of the French Territory.

Article VII. At the same period, the Commissioners of the said Courts shall deliver to the Royal Treasury of France, the six Bonds not yet discharged, which shall remain in their hands, of the fifteen Bonds delivered conformably to the IIInd Article of the Convention concluded for the execution of the IVth Article of the Treaty of 20th November, 1815. The said

Commissioners shall, at the same time, deliver the Inscription of 7,000,000 of Rentes, created in virtue of the VIIIth Article of the Said Convention. Article VIII. The present Convention shall be ratified, and the Ratification thereof exchanged at Aix-la-Chapelle, the 9th Day of October, in the Year of our Lord 1818.

(L.S.) CASTLEREAGH

(L.S.) WELLINGTON

(L.S.) RICHELIEU

V

OUVRARD'S CONTRACT TO SUPPLY TRANSPORT VEHICLES FOR THE FRENCH ARMY IN SPAIN (1823). (THE TRANSPORT CONTRACT WAS COMPLEMENTARY TO THE MAIN CONTRACT WHICH COVERED FOOD SUPPLIES.) OUVRARD'S *MEMOIRS*, VOL. II, PP. 354-63.

Between the undersigned: M. Charles Sicard, Intendant General of the French army in Spain, with the consent of H.R.H. the Duc d'Angoulême, Commander-in-Chief of the Army
and

M. Victor Ouvrard, landowner, resident in Paris, 27 Rue de Richelieu, at present in Bayonne, his guarantor being M. Gabriel-Julien Ouvrard, resident in Paris, 24 Place Vendôme, at present in Bayonne, 34 Rue Bourg Neuf, the following contract has been concluded:

Article I. Victor Ouvrard commits himself to hold at the permanent disposal of the army six hundred four-span rack-wagons and six thousand mules complete with saddles and harness.

Article II. Three quarters of the said number of wagons and mules will be held at the disposal of the Intendant General at Bayonne and one quarter at Perpignan.

The draught animals must be five to six years old, must stand at least four feet six inches chest-high, and must be sound and strong; as it will be difficult, however, to muster so many mules of the same type, the contractor may, in exceptional cases, take bigger animals.

Article III. The mules purchased in the provinces of Poitou and Limousin will be transported in troops of a hundred or more. They will receive the prescribed ration of forage and will remain until further notice with the tenth and eleventh divisions. The mules purchased in Vélay will also proceed by easy stages to the tenth and eleventh divisions, after they have been handed over to an assistant-quartermaster and the usual experts. They will receive the same ration of forage.

Article IV. The harness of a pack animal consists of a pack-saddle, a trough, a snaffle, a halter, two straps, two saddle-bags and a blanket, or, failing a blanket, a curry-comb, a brush and a wire-brush. The horses and mules yoked in the wagons will have the same harness as horses in French or Spanish wagons.

Article V. Under no circumstances should a wagon be loaded with more than five hundred kilos gross weight per yoke and a mule with more than a hundred and twenty-five kilos.

In view of the mountainous terrain and the bad roads in Spain this restriction is essential; in France it need not be so rigorously applied.

The laden wagons and mules may not travel more than six miles per day.

Article VI. The pack- and draught-animals will be divided into formations.

Each mule brigade consists of a hundred and twenty-five mules with one mule-driver for every two animals, as well as eight reserve drivers including the trumpeter and the blacksmith. It also contains:

- 1 Brigade Commander
- 1 Adjutant
- 2 Quartermasters
- 4 Cavalry N.C.O.s.

Article VII. The brigades of wagons will be composed according to the instructions of the Intendant.

The brigades will be at the disposal of the Intendants and their deputies but may not under any circumstances be employed for other than purely military purposes; the rates of pay of the crews will be determined by the Intendant General.

Article VIII. As employees must provide their own clothes and mounts, they will receive one extra month's pay as service bonus.

Article IX. Clothing and arming wagon- and mule-drivers will be the responsibility of the State; if the contractor is made responsible, he will receive compensation in accordance with the clothing regulations. Should the war last so long that the point is reached, as foreseen in the clothing regulations, where a fresh issue of clothing is necessary, then the cost will be borne by the State.

Article X. Employees, drivers and mule-drivers will receive food, forage and quarters in accordance with their service-grades. Wagon-horses and mules will receive the same forage rations as artillery horses, pack-animals as light artillery, in accordance with the regulations. These rations will be issued both in camp and on the march.

Article XI. The contractor will receive eleven francs fifty centimes per day and per yoke for the running costs of the six hundred wagons, which must be kept in a constant state of readiness. From this he must maintain the wagons, harness, horseshoes etc., but the cost of forage and stabling will be covered by the State.

Article XII. The hire of each properly harnessed and equipped mule will amount to three francs per day.

Article XIII. The money to be spent on wagon-drivers, mule-drivers, horses and mules will be paid to the contractor on the first of each month by the Army Paymaster on presentation of a monthly account. The final settlement will be made at the end of each month. Payment will be in cash, either in French or Spanish currency at the daily rate or in Treasury bills at the daily rate.

If no settlement has been made within thirty days of the date fixed and

the Commissary General has not been paid in full, the sum still due to him will carry interest at five per cent per annum, till it is paid in full.

Article XIV. Losses incurred through unforeseeable circumstances will be borne by the State. Amongst these are:

1. Capture by the enemy.
2. Abandonment of equipment to the enemy.
3. Losses through pestilence.
4. Losses caused by shortage or inferior quality of foodstuffs or by forced marches.

Losses must be recorded by the assistant-quartermasters. As compensation for these losses the contractor will receive six hundred francs for each wagon, five hundred francs for each horse or draught animal, six hundred francs for each pack animal with harness. It is expressly agreed that the contractor will be indemnified monthly for these losses on presentation of a list, which is compiled from the assistant-quartermasters' records, in accordance with the regulations in Article XIII.

Article XV. The contract is valid for the whole duration of the campaign or as long as French troops are stationed in Spain. Should the mule and wagon brigades be partially or entirely disbanded during this period, the contractor will receive compensation on the following terms: If the mule and wagon service is entirely or partially disbanded within a year after the present contract comes into force, then the contractor will be paid the full value of each wagon and mule at the rates determined in the previous article.

If disbanding only takes place in the second year, then compensation will be reduced to a sixth of the value. In both cases the animals and the wagons become the property of the State.

Article XVI. On expiry of the present contract, mules and wagons remain the property of the contractor.

Article XVII. In order to give the contractor a reasonable time to sell his wagons and mules, the State will feed the horses and mules for three months after expiry of the contract or pay the contractor a corresponding sum in compensation. The latter will be at the rate of two francs daily per horse and mule.

Article XVIII. Should the means of transport specified in the contract prove inadequate, so compelling the contractor to requisition further horse- or ox-wagons, he will receive for these vehicles the price laid down by the appropriate local authority. From this money he must pay compensation to the original owners. For the trouble he has taken he will also receive ten per cent of the total amount.

Article XIX. The contractor will take over all mules which the State has already acquired and will be held responsible for them. The value of these mules and their harness will be determined by experts.

Article XX. The present contract is binding upon both contracting parties until the end of the campaign.

Article XXI. Should divergences of opinion arise over the interpretation or execution of the present contract, either with the Intendant General of the Army or between members of the Intendant's staff and the Com-

missary General's employees, they are to be settled by an arbitration tribunal. Each party will nominate an arbitrator and, if they cannot agree, they will choose a third who will have a casting vote.

If the two arbitrators cannot agree on the third, each of them will write down two names: lots will then be drawn to decide which of the four persons suggested is to give the casting vote.

Article XXII. The registration fee for the present contract will be one franc.

In duplicate at Bayonne on 5th April, 1823.

Signed V. Ouvrard.

As guarantor

Signed J. Ouvrard.

Seen and approved by the Chief Intendant of the Army, subject to the agreement of the Generalissimo of the Army, H.R.H. the Duc Louis Antoine d'Angoulême.

Bayonne, 5th April, 1823

Signed Sicard.

Approved

Signed Louis-Antoine.

VI

OUVRARD ON IMPRISONMENT FOR DEBT OR PENDING INVESTIGATION

Written in prison, 1826

Memoirs vol III pp. 103-21

1. *Imprisonment for debt*

(The Paris prison) Sainte-Pélagie stands at the entrance to the Faubourg Saint-Marceau next to the Jardin du Roi and is extremely uncomfortable for inmates and visitors alike. Small rooms without fireplaces and long, narrow, badly ventilated corridors, in which collect all the fumes from the small cooking-stoves on which the prisoners must prepare their own meals, make living-conditions almost unbearable. The courtyard is surrounded by high walls and is so small that there is neither fresh air to breathe nor space to move about.

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... Sainte-Pélagie is also very uncomfortable for the prison staff, because its structural shortcomings make it impossible to carry out the prison regulations. There can hardly be another prison in which such chaotic conditions prevail. It was in vain that Baron Pasquier drew up reasonable prison regulations in the year 1811 and had them displayed on all the walls; even he could not bring about any improvement in the situation, because it was essentially a problem of accommodation. Baron Pasquier was more successful with the second wing of the building, the department for convicts, which was organ-

ized like a large factory, in which all prisoners, including children, were employed on the manufacture of uniforms and other items of military equipment, for which there was then a great demand. The atmosphere of industry and comparative well-being in this department was in sad contrast to the enforced idleness and the misery in the debtors' prison. . . .

. . . The legislators of *Germinal* in the year VI were vastly mistaken, when they assumed that imprisonment for debt was essential for trade! In my view it harms trade just as much as the lotteries and gambling-halls, which were reintroduced in the same period. By this I mean that moneylenders, borrowers and gamblers were all equally ruined by these laws. The sole beneficiary is the national exchequer.

My personal experiences in Sainte-Pélagie will give a clearer picture of conditions than any theoretical arguments.

The number of people who are imprisoned for debt is about three hundred a year, and this number rises—contrary to the general opinion—with an increase in prosperity and in the circulation of money, and falls in times of depression and shortage of money. In the last three years, which have witnessed an unprecedented commercial boom, the number of persons imprisoned for debt has more than doubled.

To give the reader a fair idea of the advantages which trade derives from imprisonment for debt, I propose to consider the social status of the three hundred prisoners as well as the nature and cause of their debts. Then I shall deal with their creditors.

Of the three hundred prisoners twenty or thirty are usually small traders, who have borrowed from moneylenders. Ten to fifteen are bankrupt merchants who are held in custody until their affairs have been wound up. Not surprisingly, they are always very small in number, because the appropriate authorities have no interest in allowing matters to drag on too long, as there is usually nothing to be gained by it and as trade in general is opposed to imprisonment for debt. Its speculative transactions are based, after all, on credit and not on the partners' freedom. All the other prisoners, nearly three hundred of them, are either young men of good family from all over France, who have lost money, health, morals, inheritance and finally liberty in Paris, or students, soldiers of all ranks, minor civil servants and pensioners, foreigners and a few unfortunate workers, who had put their names to bills in a moment of weakness. Almost all are victims of usury or revenge.

A few examples may serve to prove this.

If a prisoner is held for several months in Sainte-Pélagie, then it is no longer because his creditors wish to force him to pay, for they already know that he cannot pay, but out of revenge because the unfortunate culprits, whose pleas to be set free pass unanswered, have been stung into using insulting language.

The French love freedom so much that no one remains five years in Sainte-Pélagie because he will not pay but only because he cannot pay. When he is set free at the end of five years, he is completely destitute.

The records of Sainte-Pélagie also have some very instructive things to say about creditors, about the nature of their credit and the reasons behind these cruel penalties. There are creditors or people who buy up outstanding claims merely in order to land a hated opponent in prison.

Women employ a third party to have their husbands imprisoned, formerly to obtain a divorce, today with a view to obtaining a judicial separation or to enjoying their extra-marital pleasures in greater freedom. Partners in a business have a troublesome colleague locked up, thereby depriving him of his rights in the business and of his share of the profits.

Trustees or solicitors, who were described at one time as "cut-throats", employ stooges to have their former clients imprisoned for debt.

The prison records of Sainte-Pélagie contain the names of countless officers of the old and the new army, from Second-Lieutenants to Lieutenant-Generals, who are on the retired list or on half-pay; of small rentiers and officials on pension, all of them victims of moneylenders, whom they went to for help and who now shamelessly exploit their desperate plight.

Suppose, for example, that a man with a rente of a thousand francs wants to borrow three thousand francs from a moneylender. He gets the money, if he surrenders his rente or pension to the moneylender for five years and also pays him a certain commission. As double security the moneylender demands further that the borrower should sign ten promissory notes for five hundred francs each, payable a few days before the end of the first half-year, but he gives him a *verbal* assurance that he will make no use of these IOU's. As the borrower is seldom in a position to meet any of these, even when the first falls due, he has to throw in his life insurance; if he refuses, then he is arrested, condemned and imprisoned.

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Charming ladies employ this method to get rid of lovers, whom they have already ruined. Monsieur de Jouy, in his book *Ermîtes en prison*, quotes a pretty poem to a woman, the creditor and mistress of a young man, for whom, with the help of her dressmaker, she engineered a prison sentence.

There is also an outstanding scholar in Sainte-Pélagie, who holds an important post in the civil service and has never signed an IOU in his life. In a moment of weakness he gave his wife full power of attorney, and, when she lost heavily at gambling, she turned to a moneylender. She told her husband nothing of this, and it was only when the bailiffs arrested him in the street that he learned that he was heavily in debt.

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Imprisonment for debt, therefore, only benefits the moneylender, brings ruin to a great many young people and misfortune to workers, small rentiers, officials on pension, officers etc., etc., undermines public morals and encourages crime.

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When a prisoner, who has no family behind him, is released from Sainte-Pélagie, he is liable to become all too often a burden on public or private charity. Many find their way back to Sainte-Pélagie, after spending some time in La Force and the Conciergerie! Those poor wretches, who are released completely destitute from prison, where they have acquired more vices than virtues, will probably be less scrupulous than before in earning a livelihood. Must we not conclude from this that imprisonment for debt is the basic cause of their misery, of their lack of scruples and of the consequent lapses, which brought them into conflict with the law?

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The position of those in debtors' prisons is even more desperate than is generally supposed. Only someone who has himself witnessed it day after day can form a true picture. If their creditors visit them at any time in prison, they must be not only entirely devoid of humanity but also so obsessed by hate as to be blind to their own interests, if they do not immediately arrange for their debtors to be released. Each debtor is entitled to claim twenty francs a month from his creditor, of which at least eight francs go towards the compulsory charge for accommodation, leaving twelve francs, or forty sous a day, for subsistence. In winter there is even less remaining for subsistence, for a stove must be rented and the heating paid for.

I have suggested that imprisonment for debt should be confined to sums over three thousand francs, for the simple reason that all debtors are made to pay the same living-costs, which, therefore, fall particularly heavily on the minor offenders.

2. *Imprisonment pending investigation*

I have given much thought to our penal system and would like to make a few comments on it at this point.

Before the introduction of the laws governing judicial inquiry, which we owe to State Councillor Treilhard, there were three kinds of court order: an order to appear before the police, an order to appear before the Court and an order for arrest. The last of these could only be issued following an inquiry, in order to safeguard the ordinary citizen against imprisonment on unjust charges; furthermore, the arrest warrant must give the name, profession and address of the arrested man, the reason for his arrest and the law under which the arrest was being made; otherwise the prison authorities could not take delivery of the accused without incurring a charge of false imprisonment. The Court of Prosecution, a useful institution which was unfortunately abolished under the tyranny of the Empire, then pronounced judgment.

The man who was intent upon gathering all power into his own hands (Napoleon) was not content to abolish this time-honoured institution but also introduced imprisonment pending investigation as a fresh penalty. The warrant for arrest pending investigation need only give the name of the accused, not the reason for his arrest. Whether the arrest is just or unjust,

the prisoner can only be released after at least fifty to sixty days, for an investigation of even the simplest charge takes that amount of time.

The new process of arrest pending investigation means, therefore, that a man can be put in prison in order to make it easier to try him, whereas formerly he could only be put in prison after he had been tried.

By abolishing the preliminary investigation and the usual formalities, without which a warrant for arrest was once invalid, and by relieving the prison authorities of any responsibility, a three-fold assault was made, in my view, on the freedom of the individual. The facts prove better than all theoretical observations how much damage is done to society by these measures. In Paris 2,300 people a year are thrown into prison by this convenient and rapid expedient and only afterwards does a more or less protracted judicial inquiry begin. Only two thirds of the accused are handed over to the criminal police court or the assizes; a third, that is at least 800 people, must be released, because, in spite of the most intensive inquiry, nothing incriminating can be laid against them. So, but for the introduction of the system of imprisonment pending investigation, eight hundred people would not have been deprived of their freedom. Perhaps the unhappy consequences of this measure would be less severe if the judges entrusted with the investigation were not, for the most part, young people or men engaged on a temporary basis.

At best I would grant the validity of such a summary process where vagabonds are concerned, but, as the majority of the people arrested are from the working-class and are permanently resident in Paris, I do not understand why a judge should be given the dangerous and unpleasant power to have these people imprisoned merely on suspicion, instead of allowing them to remain with their families and at their work and simply summoning them to appear before the Court.

As a result of this misuse of prisons, the prison-accommodation, which is in any case inadequate, is grossly overcrowded, a further burden for the cost of forty to fifty thousand prison-days is placed upon the Exchequer, the general public are demoralised and an irremediable injustice is done to the victims as well as to their wives and children.

Every patriotic and humane citizen must condemn the excessive severity of our penal system, yet he must at the same time admit in all fairness that, due to the deep sense of justice and humanity of our judges, their worst effects have been considerably reduced. How often it happens that the judges make a special effort to cut down the period of arrest and even pay compensation out of their own pockets to someone who has been wrongfully arrested! The prison authorities, on the other hand, levy the same charge for their "separate rooms" on the acquitted as on the condemned.

How much injustice would be averted, how much misfortune remedied, if the generous idea of compensation for wrongful arrest were made law! I quote as an example the high-minded Minister of the unhappy Louis XVI, whose humane efforts are in particularly blatant contrast to the tyranny and severity of our present Ministers.

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